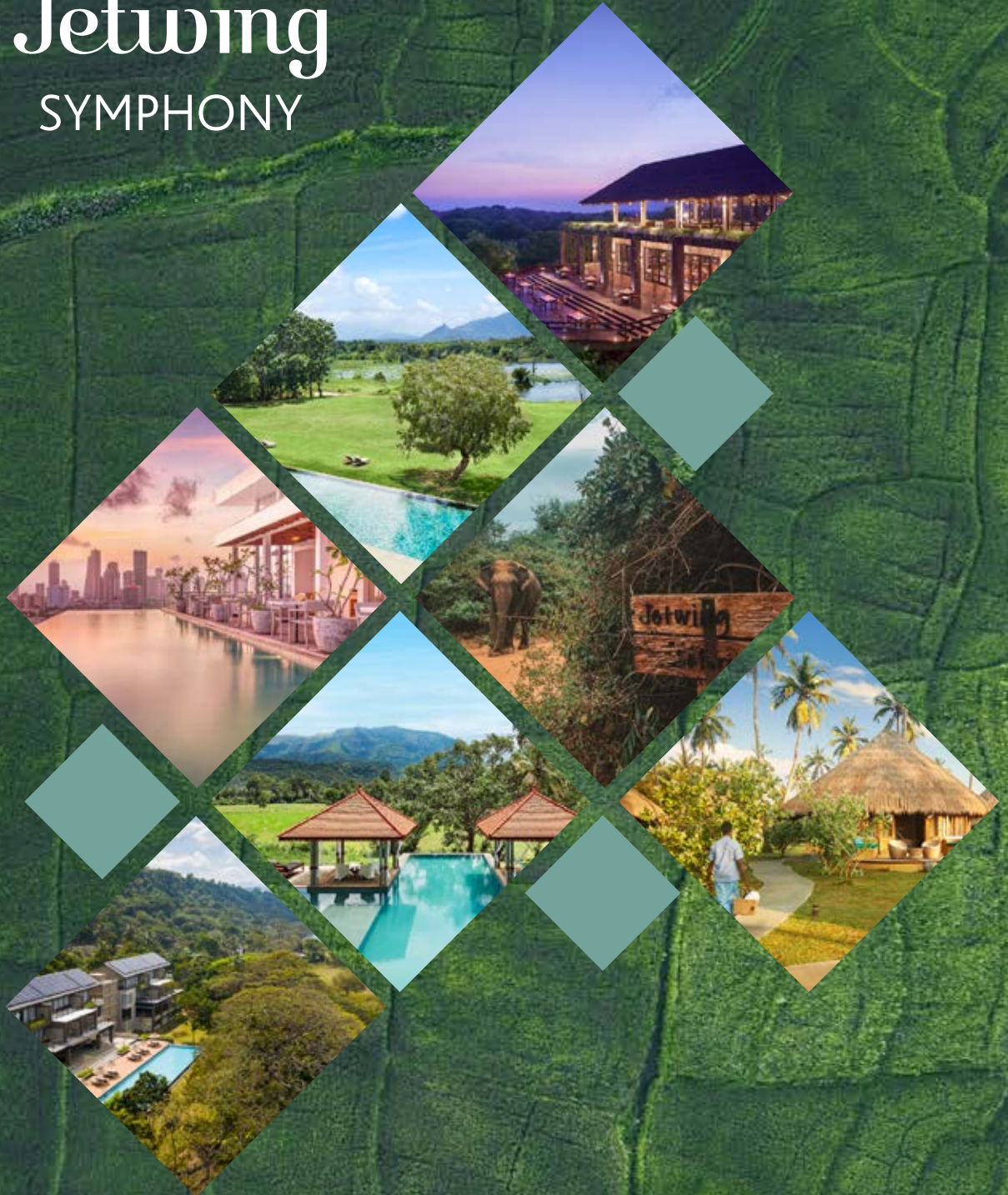


Jetwing

SYMPHONY



ANNUAL REPORT
2021/22





With Jetwing Symphony PLC, you will find properties that are unique, elegant, hospitable, and most of all, quintessentially Sri Lankan. The company's portfolio encompasses the very best of Sri Lanka's tourism sector, as we merge traditions with innovation, design local architecture to go hand in hand with sustainable technology and initiatives, and curate experiences to leave you with memories that will last a lifetime.

From the moment you step through our doors and are greeted with a warm smile and the traditional "Ayubowan!" you will know that you are really at the home of authentic Sri Lankan hospitality.



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About Us

Jetwing Symphony PLC is poised to become the growth engine of the Jetwing group, driving the future of Sri Lankan hospitality. With resorts spread across key destinations in Sri Lanka, Jetwing Symphony PLC is laying a sustainable foundation for the country's tourism ecosystem, building on experience of almost five decades in the ever-changing hospitality industry.

In the portfolio currently are Jetwing Yala and Jetwing Safari Camp (Yala),
Jetwing Kaduruketha (Wellawaya), Jetwing Lake (Dambulla),
Jetwing Colombo Seven (Colombo), Jetwing Surf (Pottuvil Point),
and Jetwing Kandy Gallery (Kandy).



Jetwing Symphony Properties



Jetwing Yala | Yala

Sprawled over 38 acres of uncharted coastal wilderness, close to the Yala National Park, Jetwing Yala is the quintessence of blending wildlife with refined luxury. Featuring 80 rooms, world-class restaurants, bars, and an infinity pool overlooking magnificent greenery, coupled with the legendary hospitality offered by our dedicated team makes Jetwing Yala the picture-perfect escape to soak in the wilderness.



Jetwing Kaduruketha | Wellawaya

Located in the breathtaking village of Wellawaya, at the foothills of the magnificent Poonagala mountains, is Jetwing Kaduruketha – the island's first agro eco-luxury resort. Modeled after a traditional village home, Jetwing Kaduruketha offers a tranquil respite complemented by 25 rustic dwellings, butler service curated to perfection, stunning views and a wealth of unique experiences.



Jetwing Lake | Dambulla

With a deep commitment to sustainability, Jetwing Lake blends history and nature into one seamless experience in the heart of our island's famed cultural triangle. Featuring 94 spacious rooms, a wide array of dining outlets, a tranquil spa and a pool overlooking the breathtaking Siyambalawewa Tank and lush lands, Jetwing Lake offers a luxury getaway complemented by legendary hospitality.



Jetwing Colombo Seven | Colombo

Offering modern, contemporary accommodation surrounded by Colombo's vibrant city life, Jetwing Colombo Seven is conveniently located in the heart of the island's commercial capital. Featuring 70 deluxe rooms, 28 serviced apartments, multiple dining outlets, a rooftop infinity pool and state-of-the-art conference facilities, Jetwing Colombo Seven is the perfect urban resort for leisure and business alike.



Jetwing Surf | Pottuvil Point

Designed by the renowned architect John Balmond, Jetwing Surf – the island's first eco-luxury surf resort, is nestled in the pristine coast of Pottuvil Point. Seamlessly entwining luxury with sustainability, Jetwing Surf offers the ideal tropical respite for the discerning traveler, replete with cozy living in 20 lavish cabanas, exotic culture and food, an endless expanse of tranquil beaches and an abundance of adventures.



Jetwing Kandy Gallery | Kandy

Drawing inspiration from the timeless traditions and magnificent landscapes of Kandy, Jetwing Kandy Gallery offers the warmest hospitality, along with novel experiences centered around art, culture, and adventure. Blissfully located away from the city, Jetwing Kandy Gallery boasts 26 luxurious rooms with panoramic views, world-class fusion cuisine and a tranquil pool overlooking the majestic Mahaweli River.



Jetwing Safari Camp | Yala

Nestled at the edge of wilderness that is the Yala National Park, Jetwing Safari Camp is every wildlife enthusiast's ideal getaway. A stay in one of our 10 jungle tents offers an immersive experience of the surrounding nature, made more memorable by our team of dedicated butlers and rangers ready to curate personalized experiences.

Financial Highlights

Performance for the year ended 31 March

		2022	2021
Revenue	LKR '000	1,288,040	556,856
Earnings before interest, tax , depreciation & amortisation (EBITDA)	LKR '000	378,515	(103,635)
Profit/(Loss) before tax (PBT)	LKR '000	(912,419)	(828,504)
Profit/(Loss) after tax (PAT)	LKR '000	(896,032)	(830,090)
Earnings/(Loss) per share	LKR	(1.76)	(1.63)

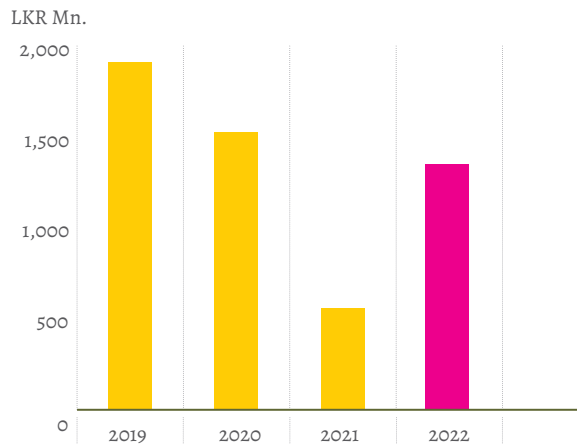
Financial Position as at 31 March

Total Assets	LKR '000	10,636,941	9,932,545
Total Debt	LKR '000	6,066,685	5,304,709
Total Equity	LKR '000	3,876,141	4,124,127
No of Shares in Issue	No.'000s	502,189	502,189
Net Assets per Share	LKR	7.72	8.20
Gearing Ratio	%	61	56
Debt/Total Assets	%	57	53
Current Ratio		0.21:1	0.11:1
Quick Asset Ratio		0.18:1	0.09:1

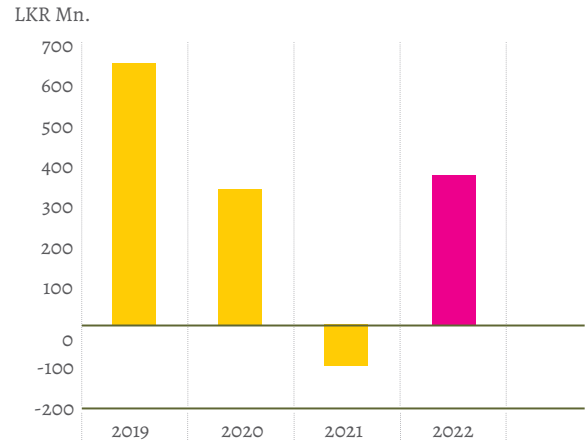
Market/Shareholder information

Market price per share as at 31 March	LKR	10.50	9.00
Market Capitalisation	LKR '000	5,272,980	4,519,697

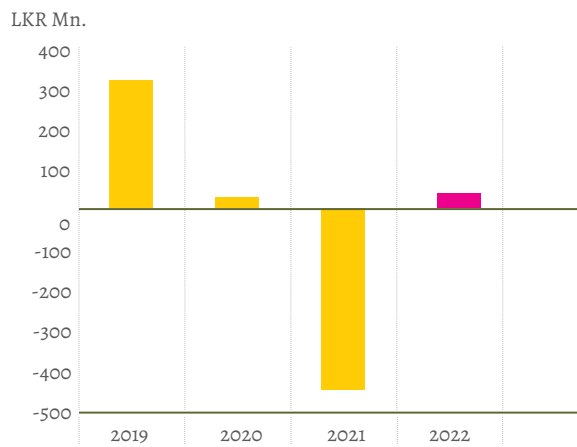
Revenue



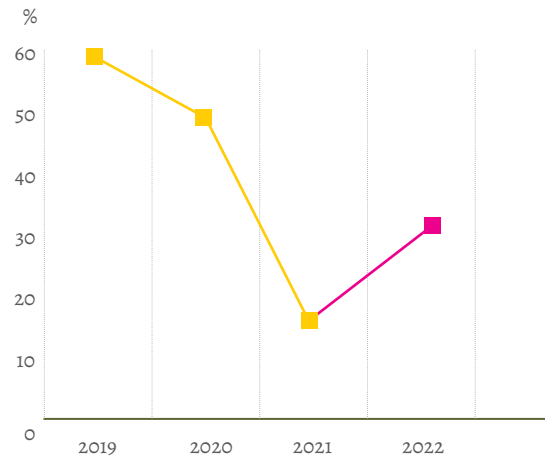
EBITDA



EBIT



Occupancy





Celebrating the artisanal heritage of the island and the historic kingdom of Kandy, Jetwing Kandy Gallery welcomes you with intricate sculptures, carvings, and paintings by skilled Sri Lankan artists.



Chairman's Letter

Ayubowan (may you live long),

Another challenging year ends, and as I write this letter, we are faced with one of the most trialling periods in the history of our proud nation. Due to prolonged economic mismanagement, our citizens face countless hardships daily, as Sri Lanka struggles to overcome this foreign exchange crisis. Tourism, along with other exports and remittances, are essential for the country's economic revival. Among the many means of sourcing foreign exchange, tourism is the lowest hanging fruit with everything in place to start generating income immediately. As an industry, and a company that has been in tourism since 1973, we have witnessed many calamities that have brought our industry to a halt. 30 years of brutal civil war, an unfathomable natural disaster emerging from the ocean, inhumane acts of terror in places of worship and reputed tourism establishments, and a pandemic that shocked the entire world. And now, with Sri Lanka's economic crisis, we battle to source sufficient amounts of medicine, fuel, gas, and other essentials, which have resulted in the imposition of negative travel advisories by our key source markets, as well as a general lack of confidence in the destination due to the challenges faced by our people. The pandemic had the worst impact on tourism as it not only affected Sri Lanka, but the whole planet. We managed to survive the crisis, and as predicted, we saw a tremendous recovery in the fourth quarter of the financial year. Unfortunately, this momentum slowed, and eventually came to zero, with widespread global news of the country's political and economic instability, irresponsible media dramatizations of isolated violent incidents, and the travel bans which were issued after the disastrous events that took place on the 9th of May. Yes, we are faced with an unprecedented challenge yet again, not only as an industry, but an entire nation of 22 million people. Despite these hardships, I want to reassure you that we have never given up on tourism in the past, and we remain optimistic about our country's potential to be one of Asia's leading luxury travel destinations.

There is a misconception that Sri Lanka is not ready for luxury tourism. I assure all those who believe this fallacy, that we are ready; our road networks are excellent, our natural assets are second to none, we have numerous luxury products that can compete with any property in the world, and we are blessed with the most hospitable people on the planet, resulting in the world-class services and experiences that we provide our guests. There certainly are many areas in which we can improve, and the industry is doing its best in spite of the financial constraints of the last three and a half years; however, a perfect situation will never arise, and we need to navigate through these tough times to maximise foreign exchange earnings to our country. Our product is ready, but we lack a sound communications strategy. We need to build a strong brand for Sri Lanka tourism - and to do this, the public and private sectors must work together and develop a strategy that can be implemented soon. Once it is done, we must all share this message with confidence to the world.

There is some progress been made with the much-awaited promotional campaign, and I wish in the interest of Sri Lanka, it will be carried through to the end. Even in this calendar year, if we all work together, there is a strong possibility that tourism can contribute close to a billion dollars to meet the country's need of foreign exchange for essentials and other requirements.

At Jetwing, our core values revolve around the beliefs of our founder, my father, the late Herbert Cooray. An active socialist campaigner in his youth, his radical thoughts persisted even in his life as an entrepreneur. Words like sustainability, eco-tourism, responsible tourism, etc. are commonplace today. Long before this change came about, he used to always teach us the importance looking after our local communities, to ensure they benefit from the businesses we run, and to cause minimum harm to the environment. His ideals from over 60 years ago form the foundation of the Jetwing Sustainability Strategy today. Our team now works under 6 pillars - Energy and Carbon, Water and Waste, Biodiversity, Community and Culture, Family, and Sourcing and Production - which guide our business decisions and outlook for the future. The investments we have made in renewable energy can be seen across our hotels - from the use of biomass boilers for producing steam energy to desalination plants in Yala for clean water, to hosting some of the largest private solar installations in the country. We also benefit from some of our initiatives during these times, such as the conversion of waste into biogas which is used to fuel some of our kitchens. Our award-winning initiatives such as the 'Jetwing Youth Development Project' (JYDP), which has equipped over 1200 underprivileged youth with free education in English and hospitality skills to enter the industry, are fundamental to Jetwing's operations. 'Project We' was initiated after the Easter Sunday attacks to build a peaceful nation where all citizens learn to love and care for each other regardless of race or religion. 'Thrive' gave hope to many aspiring micro-and-small-scale suppliers through our training, seed capital, and purchases. 'Second Careers' which we started last year, provided middle-aged women a second opportunity at a career, with training and employment at our hotels. We align our projects with the need of the hour for our industry and country. This year, we will launch another project - 'Wawamu - Dinamu' (let's grow and overcome) - to proactively conquer the forecasted food shortage within the island, by encouraging our host communities to sustain food security through the power of home cultivation. Agriculture has become a key focus for our own properties as well, where our teams have used all unutilised lands for growing fruits, vegetables, and spices that are consumed at the hotels. We also exclusively grow organic heirloom rice varieties in the 50-acre paddy field at Jetwing Kaduruketha - a process which took over four years to implement successfully. Along with this, we implemented strict

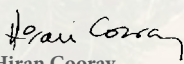
protocols at all our hotels to manage the use of food products in a more conscious manner and educate our associates and guests on the importance of mindful consumption during these times. We took a company-wide decision to eliminate the use of imported food items close to ten years ago. This practice was inspired by one of our general managers at the time, who asked the simple question - "why would someone travel all the way to Sri Lanka to eat the same fruits, meats, and seafood they get at their local supermarkets?" This changed our thinking completely and we were proud to serve the best local produce. We stopped purchasing apples, oranges, and grapes (among others) overnight. We are an island with an abundant variety of seafood, so why was there a need to serve imported salmon? Except for items where there were no viable substitutes, such as lamb and steaks, we stopped purchasing all imported food items and prioritised local, community-based purchasing for all hotels. While this imposed a challenge to our chefs and managers, and disheartened some of our guests initially, we stuck by this decision and today we are grateful that we did so. By prioritizing local supplies, especially fresh produce, we have minimised the economic burden by reducing import-dependency and mitigated the environmental impact of mass-scale logistics. I invite all Sri Lankan hospitality companies to engage in similar practices to help our country in this time, and to create a more sustainable supply chain which will benefit the people in your localities. It is our responsibility to understand the problems at hand and adjust our standard operations without hampering the guest experience. Together, we can do what is right for our country in its hour of need and shorten the duration of this crisis.

Speaking on your group's financial performance, I am pleased to let you know that we recorded a 131% increase in revenue amounting to LKR 1,288 million. Close to half of this amount was earned during the fourth quarter of the financial year. During the year, the group was able to make an operational profit of LKR 379 million compared to the operational loss of LKR 103 million we had in the previous year. Finance cost for the financial year amounted to LKR 322 million. The exchange loss on USD loan conversion amounted to LKR 630 million compared to LKR 62 million in the previous year, due to the sharp depreciation of the rupee after the sudden floating of the currency. Accordingly, the loss for the Group amounted to LKR 896 million for the year under review, compared to LKR 830 million in the previous year. Having said that, considering the many challenges faced during the year, we managed to achieve a positive cash flow for the financial year, which gives us a good grounding to excel in the next financial year.

I thank all those who fought hard in another difficult year – our associates and the managers who guide them daily, our managing agents – Jetwing Hotels Ltd., and our partners - tour operators, travel agencies, corporates, banks, suppliers, etc. I thank you, our shareholders, for the patience you have shown us during these times, and finally, I thank all our guests for patronizing our hotels and giving us the opportunity to serve them with authentic Sri Lankan hospitality.

Have faith in the industry. Have faith in the country. Have faith in our people. As I said before, we remain optimistic; regardless of the political and economic struggles, we must put our country and its people first and keep fighting this difficult battle. A new, united Sri Lanka will rise from this calamity, and with the grace of God, we will be a stronger and better nation in the future. This is my wish for all Sri Lankans, especially the next generation, who will take us to greater heights.

Bohoma isthuthi (thank you very much).
Blessings,


Hiran Cooray
Chairman
Jetwing Symphony PLC
30 May 2022

Operating Environment

The Global Economy

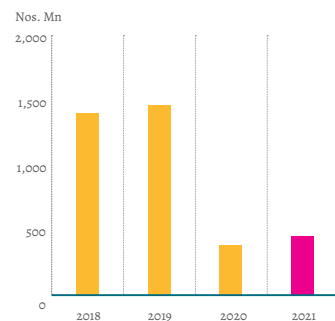
The global economy is estimated to have grown by 5.7% in 2021. It's the strongest post-recession pace in 80 years, as releasing of pandemic related lockdowns in many countries helped increase demand as per World Bank. During the latter part of 2021, COVID 19 caseloads increased due to massive outbreaks of the fast-spreading Omicron variant. The impact on economic activity from Omicron variant was less due to the accelerated vaccination programs carried out by governments which helped to reduce reimposing lockdowns. Vaccinations has been continuing at the global level with the number of doses administered exceeding 9 billion according to the World Bank. Over 75% of people in advanced economies have received at least one vaccine dose compared to about 55% in Emerging markets and developing economies (EMDE). Only 8% of people in low-income countries have received at least one dose. Global trade has recovered in line with global economic activity. However, the services trade recovery is still slow. Low tourism flows have weighed on activity in tourism reliant economies. The energy prices increased in the second half of 2021 and are currently projected to be much higher in 2022 than previously expected. Further, the global inflation continues to increase given the supply disruptions, rising food prices and energy prices.

The global growth is expected to slow down significantly in 2022 to 2.9% and average 3% in 2023/24 according to the World Bank. Further in the World Bank report states that Russia's invasion of Ukraine is the second major global shock in just over two years—is worsening the global economic slowdown. It has worsened the strains in global supply chains and caused significant additional increases in the prices of many commodities, particularly those exported by Russia and Ukraine. This has contributed to a further acceleration of inflation in both advanced economies and EMDEs. Global financial conditions have tightened considerably, reflecting increases in monetary policy rates, greater volatility, and waning risk appetite.

Global Tourism

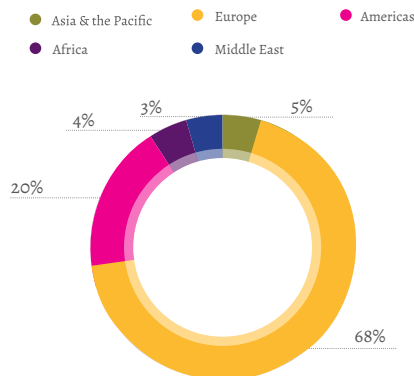
Global tourism experienced a slight 4% increase in 2021, with 15 million more international tourist arrivals than in 2020 but remained 72% below the levels of pre pandemic year 2019 according to the UNWTO. Previous year recorded the worst year on record for tourism due to the COVID 19 pandemic. Rising vaccination rates combined with relaxation of travel restrictions due to increase in cross border coordination and protocols, have helped to increase demand in 2021. International tourist arrivals recorded 415 million from destinations worldwide compared to 400 million in 2020.

International Tourist Arrivals



Europe and the Americas recorded the strongest results by region relative to 2020 with arrivals up 19% and 17% respectively, though both remained 63% below 2019 levels. Africa saw a 12% increase in 2021 compared to 2020, though remained 74% below 2019 levels. In the middle east arrivals declined 24% compared to 2020 and 79% below 2019 levels. In Asia and the Pacific, arrivals dropped 65% from 2020 levels and 94% when compared to pre-pandemic values according to the UNWTO World Tourism Barometer.

International Tourist Arrivals



According to the UNWTO World Tourism Barometer – January 2022, the economic contribution from tourism is estimated at USD 1.9 trillion in 2021, above USD 1.6 trillion in 2020 but still well below the pre-pandemic value of USD 3.5 trillion.

UNWTO Panel of Experts survey in January 2022 indicates that 61% of tourism professionals expect better performance in 2022 than in 2021. However, 64% also believe international tourism will not return to 2019 levels until 2024 or later.

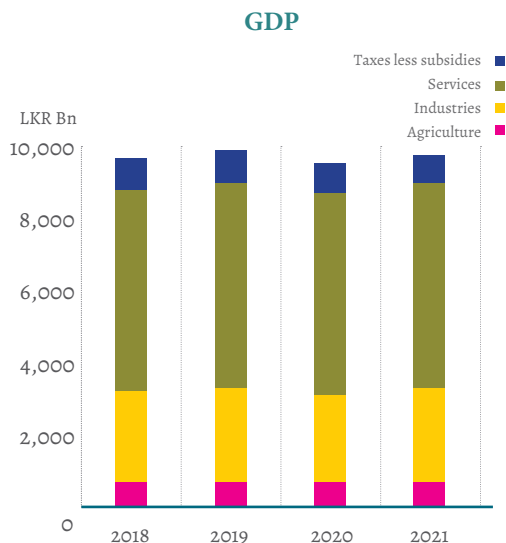
Operating Environment Contd.

The Sri Lankan Economy

The Sri Lankan economy rebounded in 2021, following the COVID 19 induced contraction in 2020. As per the estimates the Sri Lankan economy recorded a growth of 3.7% in 2021 in real terms compared to the contraction of 3.6% in 2020.

The Gross Domestic Product (GDP) at current market prices of Sri Lankan economy was estimated at USD 84.5 billion in 2020 compared to USD 81 billion in 2019. The per capita GDP was recorded at USD 3,815 in 2021 compared to USD 3,695 in the previous year.

All sectors of the economy recorded a growth during the year (agriculture, forestry and fishing by 2%, industry by 5.3%, and services by 3% compared to the previous year).



The year-on-year headline inflation based on CCPI accelerated to 12.1 percent by end 2021 from 4.2 percent at end 2020. This is mainly due to global and domestic supply side disturbances, the surge in global commodity prices and upward revisions to administered prices. The acceleration in inflation is attributed to acceleration in both food and non-food inflation though food inflation accounted for a larger share.

Market interest rates, which declined to historic low levels started to adjust upwards gradually. This is due Central Bank tightening the monetary policy stance in mid-August 2021. The Average Weighted Lending Rate (AWLR), which is based on interest rates of all outstanding loans and advances extended by LCBs,

stood 9.87% as at end 2021. The Standing Deposit Facility Rate (SDFR) and the Standing Lending Facility Rate (SLFR) stood at 5% and 6% as at end 2021. In April 2022, the Central Bank raised policy rates significantly by 700 basis points, the highest single day adjustment in recent history to arrest the build up of excessive demand driven inflationary pressure.

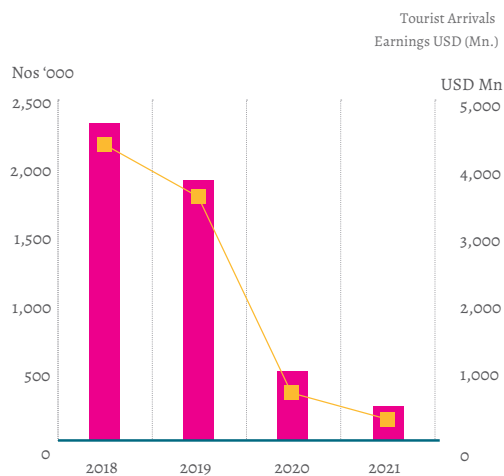
The exchange rate was maintained at around LKR 200- 203 per USD during most of 2021 and until early March 2022. However, following the adjustment in exchange rate in March 2022 and subsequent market pressure, the Sri Lankan rupee depreciated sharply by 33% against the USD by end March 2022.

According to Central Bank, Sri Lanka's economy is envisaged to grow modestly in the near term as the economy is to reset with a debt restructuring programme and long overdue structural reforms along side an economic adjustment programme to be supported by the IMF, which is expected to facilitate the economy in the medium term.

Sri Lankan Tourism

The tourism industry, which was severely affected by the COVID 19 pandemic, observed a steady recovery in the latter part of 2021. Since the reopening to foreign travelers in January 2021, Sri Lanka witnessed steady increase in international travelers. As a result of successful vaccination rollout, international tourist arrivals started to pick up steadily from September 2021 to peak in December 2021. The tourist arrivals recorded an overall decline of 61.7% to 194,495 in 2021 compared to 507,704 arrivals in 2020 of which 507,311 arrivals during the first three months of 2020.

Annual Tourist Arrivals/Tourism Earnings

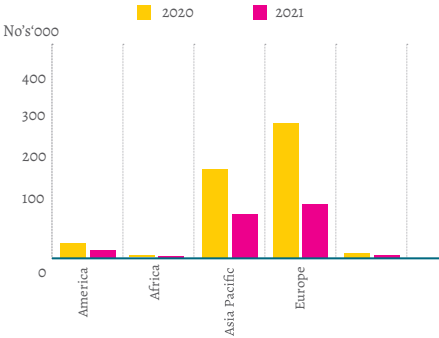


Operating Environment Contd.

Earnings from Tourism decreased by 25.7% to USD 507 million in 2021, in comparison to USD 682 million in 2020.

India (26%), Russia (12%), United Kingdom (10%), Germany (7%) and Australia (4%) were Sri Lanka's top five international tourist generating markets for the year 2021. Further, Tourist arrivals from all major regions, declined in 2021. Europe was the largest tourist origin recording 48% of total tourist arrivals.

Tourist Arrival by Country of Residence 2021



According to Central Bank of Sri Lanka, it is expected that the tourism industry will provide an impetus for post pandemic economic recovery of Sri Lanka economy despite the impact of geo-political tensions and the challenging domestic socio-political environment. Further, with the waning of the pandemic, it is expected that the tourism industry could play a significant role in the economic revival of Sri Lanka.





Step from the bustle of Colombo's beating heart to the tranquility of Jetwing Colombo Seven, bringing Jetwing's authentic Sri Lankan hospitality to the capital city.

Group Financial Review

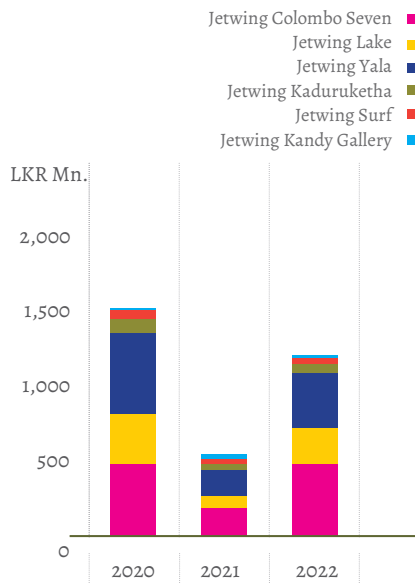
The group financial statements for the financial year 2021/22 includes the financial statements of Jetwing Symphony PLC and all its subsidiaries mentioned in page 85. During the year under review Jetwing Yala, Jetwing Lake, Jetwing Colombo Seven, Jetwing Kaduruketha, Jetwing Surf and Jetwing Kandy Gallery operated for the full financial year.

Revenue

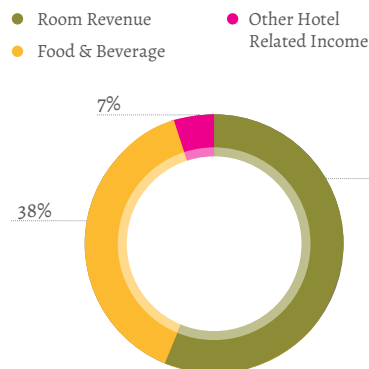
Jetwing Symphony group recorded revenue of LKR 1,288 million for the financial year ended 31 March 2022, an increase of 131% compared to last financial year. The increase in revenue is primarily due to increase in occupancy and average room rate. The group revenue was also positively impacted due to the significant depreciation of the Sri Lankan rupee against the USD in March 2022.

Jetwing Colombo Seven, Jetwing Yala and Jetwing Lake contributed 39%, 28% and 17% respectively to the group revenue.

Revenue



Revenue Composition 2022



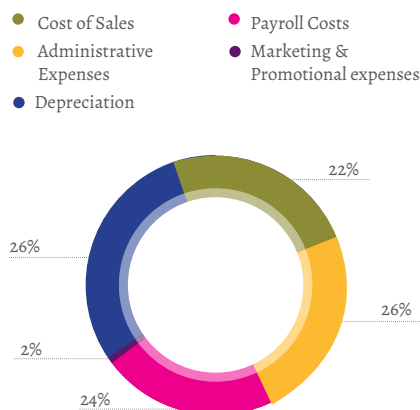
Expenses

Group expenses excluding exchange loss on foreign currency loans and finance cost amounted to LKR 1,302 million compared to LKR 1,010 million last year. The increase in expenses is primarily due to higher administrative costs (45%) and payroll cost (22%) due to increase in occupancy and prices. Sales and Marketing cost also increased during the year under review by LKR 22 million due to increase in online sales commissions and other marketing activities compared to last year. Cost of sales have increased mainly due to increase in business volume. Further, the exchange loss on conversion of foreign currency loans amounted to LKR 630 million during the period under review.

Finance cost for the year amounted to LKR 322 million which is an increase of LKR 4 million compared to the previous year. The increase is mainly due to the gradual increase in monthly AWPLR during the year under review.

Depreciation for the year was reported at LKR 343 million which is a decrease of LKR 5 million compared to the previous year.

Expenses composition 2022



Earnings before Interest, Tax, Depreciation and Amortization (EBITDA)

EBITDA for the year under review was reported as LKR 379 million compared to negative LKR 104 million achieved in the previous year. The increase in EBITDA is primarily due to the increase in revenue.

Profitability

The Group recorded a loss before tax of LKR 912 million compared to previous accounting year's loss before tax of LKR 829 million. The loss includes exchange loss on foreign currency loans amounting to LKR 630 million. The increase in Loss before tax is primarily due to the increase in exchange loss on foreign currency loans by LKR 568 million.

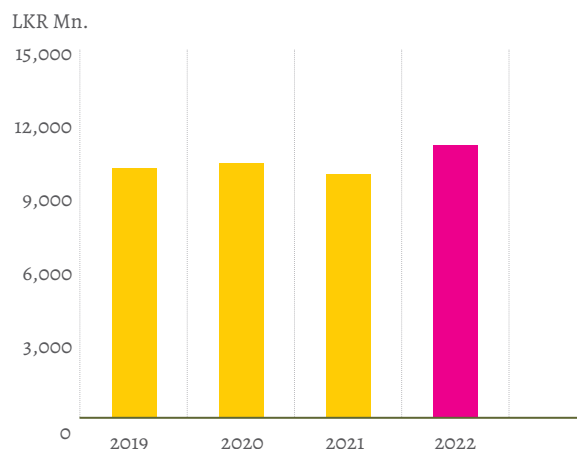
Loss after tax of the Group amounted LKR 896 million compared to previous year's loss after tax of LKR 830 million.

Statement of Financial Position

The Group reported a financial position as at 31st March, 2022 with Total Assets amounting to LKR 10,637 million compared to LKR 9,933 million for the previous period. During the year under review, Property, Plant and Equipment additions amounted to LKR 40 million.

During the year, Group debt increased to LKR 6,067 million compared to LKR 5,305 million previous year. As at 31 March 2022 the gearing level of the group stood at 61%.

Total Assets



Shareholders fund

Shareholders' funds as at 31 March 2022 decreased to LKR 3,881 million from LKR 4,119 million in the previous period. During the year, the net revaluation surplus of land amounted to LKR 641 million. The group's net assets per share as at 31 March 2022 stood at LKR 7.72 per share.

Statement of Cash Flow

Cash position of the Group, as at 31st March 2022 decreased to negative LKR 1,144 million, compared to negative LKR 1,186 million last financial year. Cash flows generated from operations amounted to LKR 192 million primarily due to increase in revenue. Cash flows used in investing activities amounted to LKR 64 million. Investing activities included an investment in USD fixed deposit amounting to LKR 31 million. The net cash flows used in financing activities amounted to LKR 86 million.





Perched amongst the treetops of Dambulla, the Canopy Bar at Jetwing Lake is the perfect location for an evening sundowner after exploring the Cultural Triangle.

Sustainability Review

ENVIRONMENT

Across all strategy and action, respect for eco-systems around our locations, environmentally friendly processes and care for natural resources are fundamental to Jetwing Hotels. Mindful of the fact that the long-term viability of our business depends on the sustainability of the environment, we are fully-committed to mitigating any adverse effects that arise, diligently tracking the impact our operations have on the environment.

With the understanding that energy is a valuable commodity and its conservation is the need of the hour, along with the consideration that fossil fuel combustion in energy generation is the largest contributor greenhouse gas emissions; in order to reduce the energy and carbon footprint associated with our operations, the hotels have actively reduced its national grid electricity consumption by both reducing its energy demand via energy conservation and efficiency improvement measures and, transitioning to clean power, maximizing benefits of the abundantly available renewable energy sources.

Freshwater demand of Jetwing Symphony properties is met via the city water supply, extracted groundwater or in the particular case of Jetwing Yala, produced via an onsite Reverse Osmosis plant. Recognizing the importance of water conservation, all properties have implemented strict measures to regulate and minimize water consumption, reduce wastages and reuse wherever possible. Unless discharged to the city's public sewer system, 100% of wastewater generated from all hotel operations is sent to on-site effluent treatment plants, with the treated water (re)used for cooling towers, cistern flushing, and garden irrigation; or responsibly discharged to the environment following separate, clustered treatment in septic tanks.

Through our comprehensive waste management system practiced, solid waste generated is separated at their sources of origin, stored safely and hygienically, and disposed in the most environmentally-sound manner available. Dry solid waste collected is inventoried and sold to external parties for recycling or reuse; while organic waste is fed to onsite biogas digesters, composted onsite, or sent to local piggeries to be used at animal feed. Minimal quantities of mixed waste items which can neither be recycled nor biodegraded, are collected by local authorities for disposal.

While the management initiatives introduced comply with a range of Jetwing's own internally developed policies; Jetwing Yala, Jetwing Lake and Jetwing Kaduruketha have further implemented environmental management systems, compliant with the requirements of ISO 14001:2015 standard.

EMPLOYEES

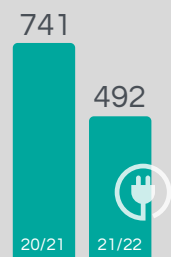
The Jetwing family is bound by our passion to extend warm Sri Lankan hospitality at international standards with all those who stay with us. The family values of passion, humility, tenacity, and integrity have been a key feature in setting our associates apart from our competition and define the heartfelt service offered across the portfolio of properties.

We are aware of the importance of our associates in offering a uniquely warm service, which is quintessentially a Jetwing trait. Therefore, through comprehensive policies and practices in areas of human rights, health and safety, remuneration, grievance handling, zero tolerance on child abuse etc. we have created an optimum work environment to support our associates to engage in their roles efficiently, while becoming an employer of choice within the industry. We are pleased to report that during the year under review, there were no material issues pertaining to employees and industrial relations.

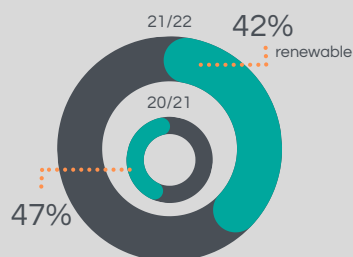
Our associates have been resilient during these challenging years, emerging stronger, adapting to the 'new normal'. To create a safe and healthy work environment, stringent COVID protocols were adopted, while engaging in regular training and development and associate engagement programmes, to upskill and encourage our associates. The infographic depicts information relating to associate demographics, training and development and health and safety within the year under review.

SUSTAINABILITY PERFORMANCE

Environmental Performance



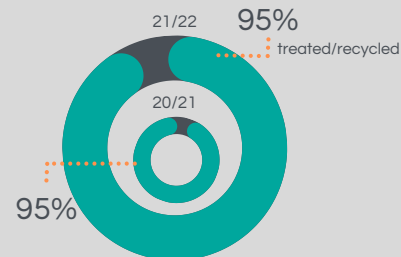
energy used per guest (MJ) ¹



renewables in energy mix



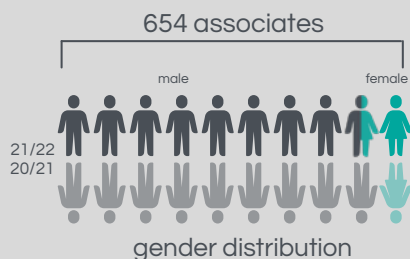
water used per guest (m3) ¹



solid waste treated/recycled

¹ While absolute environmental measures were lower, specific use (of energy, water etc.) during the previous year were significantly higher - primarily as a result of reduced occupancy levels and temporary suspensions of operations. This variation is recognized as neither representative nor sustainable.

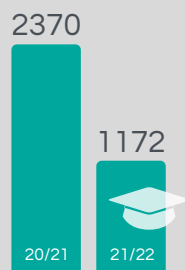
Employee Relations



gender distribution



regional distribution



training hours²



health & safety issues reported

² In 2020, many training sessions were conducted on COVID-19 safety protocols.

Community Engagement

36
21/22

community engagement programs conducted³



92
21/22

local youth trained³



43
21/22

(%) supplies sourced locally (within the district)

³ Opportunities for community engagement/development programmes were limited during the pandemic lockdowns.

* 20/21 - year ending 31st March 2021 and 21/22 - year ending 31st March 2022

Sustainability Review Contd.

COMMUNITY

We have always believed that tourism cannot exist in isolation, but together with the local people and environment that create experiences. As such, all hotels have fostered strong bonds with the host communities that they are a part of. Through the assimilation of sustainable practices into our business operations, we have been able to share the benefits of the industry with the local communities, as associates and suppliers who have become stakeholders of the business.

Priority local sourcing is practiced supporting local suppliers, while reducing the carbon footprint of our operations. Apart from this, 'Thrive' - a micro-scale supplier sustenance programme is conducted at selected properties such as Jetwing Kaduruketha and Jetwing Yala, supporting micro-scale entrepreneurs to create market spaces and improve their enterprises through capacity building, market access and financial assistance. The Yala Pola, held periodically at Jetwing Yala is an example of one such effort where a market space has been created for local vendors to approach guests directly through the promotion of local delicacies and artisanal products.

The Jetwing Youth Development Project (JYDP), among a few other independent programmes have supported youth from economically marginalized backgrounds in their vocational education, creating doorways to a global career. During 2021/2022 the JYDP initiative was carried out at Jetwing Surf, Jetwing Yala, Jetwing Kaduruketha and Jetwing Kandy Gallery, producing 32 successful graduates.

Through the Kaduruketha Farmers' Association and its successful partnership with the paddy farmer families in Wellaway, Jetwing Kaduruketha has been able to convert commercial farmers to become more environmentally conscious in their practices, thus encouraging them to engage in the more sustainable option of organic paddy farming, through the provision of seed capital and much needed price security.

With the intention of extending support to our local communities, apart from the above-mentioned signature projects, many individual community engagement programmes have been conducted during the year under review.



To view our sustainability policies and read more on the sustainability initiatives mentioned above, visit our website:





Sri Lanka's first agro eco-luxury resort, Jetwing Kaduruketha works closely with local farmer families to grow Sri Lankan heirloom rice varieties organically, creating a healthy ecosystem, environment, and community.

Risk Management

The risk management system of Jetwing Symphony PLC, is structured to identify and control the risks specific to the industry in which it operates as well as general risks applicable to all entities. Therefore, appropriate systems, policies and procedures are in place in all areas of management and they are periodically reviewed to ensure adequacy and adherence. In the current business environment, change has become the norm rather than the exception. By managing threats to the business, in a changing environment effectively, particularly the major threats that may affect our business plans and strategic objectives, we are able to protect or enhance our key assets appropriately. The Risk Management Model of Jetwing Symphony is shown below:



The Jetwing Symphony Group identifies three main categories of risk:

1. Strategic and Market Risks	Risks that threaten the Group’s high-level strategic objectives or risks from the external environment.
2. Operational Risks	Risks that arise from day-to-day operations of the Hotels.
3. Financial Risks	Risks of losses arising from the adverse movements in market prices, risks that may threaten the Group’s ability to have sufficient funds to meet financial obligations and the failure of a customer to meet its contractual obligations.

The main threats to the business are identified.

Thereafter, each threat is assessed for potential impact and likelihood of occurring to quantify the associated risk. A risk Heat Map is then used to plot the risk associated with each threat based on the above. The horizontal axis shows the likelihood of a given threat occurring, that is, the likelihood that the threat will materialise and become an issue. The vertical axis shows the potential impact that the threat will have on the objective or goal not being achieved should it materialise. The associated risks are then quantified and the colours are risk areas (eg, green boxes are in the low area; yellow boxes are in the medium area; orange boxes are in the high area, red boxes are in the very high area)

Jetwing Symphony Risk Heat Map		Likelihood				
		1 Unlikely 0% to 10%	2 Possible 10% to 40%	3 Likely 40% to 70%	4 Probable 70% to 90%	5 Almost Certain
Impact	5 Catastrophic		1.1			
	4 Major		1.2, 2.1	1.4, 2.5, 2.6, 3.4	1.3, 3.3, 3.2	
	3 Moderate		2.2, 2.7	2.3, 2.4		
	2 Tolerable		3.1	2.8		
	1 Insignificant					

Risk Management Contd.

Risk Factors

In this section, we describe the foreseeable risks that could have a material effect on the Group's business operations, cash flow, financial condition, turnover, profits, asset Integrity, liquidity and capital reserves. We provide information on the nature of the risk, an indication of the potential impact and actions taken to mitigate risk exposure. Some risks may not yet be known to Jetwing Symphony and some that Jetwing Symphony does not currently believe to be material, could later turn out to be material.

Potential Impact		Actions Taken to Mitigate Risk
1. STRATEGIC AND MARKET RISKS		
1.1. Risks relating to Infectious Diseases		
	Risk Rating	High
COVID-19 has had a material detrimental impact on our business, financial results and liquidity, and such impact could worsen and last for an unknown period of time.	- Reduced travel and demand for hotel rooms thereby reduced revenue, cash flow and profitability. - Increase in operational expenses due to enhanced health and hygiene requirements. - Increase in the level of debt may adversely affect financial and operating activities or ability to incur additional debt. - In addition, as a result of the risks described above, we may be required to raise additional capital, and our access to and cost of financing will depend on, among other things, global economic conditions, Sri Lanka Economic conditions in the financing markets, the availability of sufficient amounts of financing, our prospects, and the outlook for the hotel industry as a whole.	- Evaluate the resilience of its businesses under multiple scenarios: worst case, base case and best case, by considering a wide range of factors. - Take steps to curtail fixed costs whilst continuously enacting stringent protocols to minimize other direct costs. - Defer non-essential capital expenditure. - The board to monitor all possible cash flow positions and mitigating factors.
1.2. Business Risk		
	Risk Rating	Medium
The inability of the Group to achieve its business objectives.	- Reduced revenue, cash flow and profitability. - Hinder future growth.	- Detailed operational and capital expenditure budgets are formulated on an annual basis and formally approved by the Board. These plans are thereafter monitored and reviewed by the Board to assess actual performance against those planned and take remedial action wherever necessary. - Project feasibility studies are conducted for all major investments - Implementation of cost control procedures and innovative cost saving initiatives particularly with regard to energy costs - Performing Competitor analyses

Risk Management Contd.

Potential Impact		Actions Taken to Mitigate Risk	
1.3. Political, Economic and Environmental Risks		Risk Rating	Very High
Major events affecting either economic or political stability on a global and local level represent a threat to the Group.	- Reduced revenue, increased operating costs resulting in reduced profitability and cash flows.	-	Management regularly reviews political and economic developments and seeks to identify emerging risks at the earliest opportunity.
		-	Being a member of Tourist Hotels Association of Sri Lanka, and working closely with them and other various trade associations, relevant authorities and lobby groups to create a better economic environment at all times.
Events that adversely impact domestic or international travel.	- Occupancy and room rates can be adversely affected by events that reduce domestic or international travel. Such events may include acts of terrorism, war or perceived increased risk of armed conflicts, epidemics, natural disasters, increased cost of travel and industrial action. Reduced demand will impact on revenues and operational profitability.	-	The Group has in place contingency and recovery plans to enable it to respond to major incidents or crises.
Risks from natural or man- created disasters.	- Loss of assets.	-	Transferring risks to third parties through insurance policies. The adequacy of insurance covers is regularly reviewed and adjusted when necessary.
1.4. Competitive Risk		Risk Rating	High
Group is exposed to the risks of the hotel industry supply and demand cycle such as competitive actions from existing hotels and new entrants increasing room supply and home sharing or rental services.	- Future operating results could be adversely affected by industry over- capacity of rooms.	-	Providing a unique service quality associated with Jetwing brand only.
	- Reduction in market share (lower occupancies) and rates resulting in reduced revenues, increase in marketing expenses reduced cash flows and profitability.	-	Consistently delivering service quality to influence consumer preference and creating and maintaining value perception.
		-	Make timely investments to upgrade the facilities.
		-	Maintain the long term relationships with major tour operators.

Risk Management Contd.

		Potential Impact	Actions Taken to Mitigate Risk
2. OPERATIONAL RISKS			
2.1. Reputation and Intellectual Property Rights Risk		Risk Rating	Medium
Group is reliant on the reputation of its brand and the protection of its intellectual property rights.	-	Service quality may not be delivered in accordance with the Jetwing standards.	- Continuous monitoring and review of online customer reviews and ratings.
	-	Reduced brand value, market share, revenues, profitability and cash flows.	- Investments made in protecting the Group's brand from misuse and infringement, by way of trade mark registration and domain name protection.
	-	Increase Group's exposure to litigation.	- Monitoring adherence to Group safety, operating and quality standards or the significant regulations applicable to hotel operations.
			- Provide regular training to associates to educate on the quality standards and new developments in the hospitality industry.
2.2. Demand		Risk Rating	Medium
Adverse impact on Group turnover due to shift in demand from traditional source markets to new emerging markets.	-	Reduce room nights, revenue.	- The Group and hotels are well represented at international trade fairs.
	-	Lower room rates due to lower occupancy.	- Increase registration with Online Travel Agents.
			- Increase presence in social media channels.
			- Maintain the long-term relationships with major tour operators.
2.3. Employee Risk		Risk Rating	Medium
Failure to attract and retain skilled employees may threaten the success of the Group's operations.	-	Inability to achieve planned business objectives.	- Development and maintenance of a Group culture, compensation and benefits arrangements, training and development are key activities carried out.
	-	Reduced quality of standards resulting in reduced guest satisfaction	- Initiate Jetwing Youth Development Project.
2.4. Technology Risk		Risk Rating	Medium
Failure to embrace emerging technology or implement existing technology correctly.	-	Inaccurate information	- Regular review of systems and upgrades where appropriate.
	-	Reputation and performance of the group will be adversely affected.	- Introduction of new technology where possible and appropriate.
	-	Worsening efficiency, loss of competitive advantage.	

Risk Management Contd.

Potential Impact		Actions Taken to Mitigate Risk	
2.5. Cybersecurity Risk		Risk Rating	High
The loss of confidentiality, integrity, or availability of information, data, or information (or control) systems	- loss of revenue	-	Conduct of cybersecurity assessment
	- Reduce profitability	-	Dual authentication to be used for remote work
	- Loss of data	-	Establish network access controls
	- Adverse impact on reputation	-	Implementation of SD WAN and antivirus software.
		-	Continuously monitor network traffic.
2.6. Safety		Risk Rating	High
The Group could experience significant food safety or allergen related incidents through failings in food preparation, storage or supply chain.	- Adverse impact on reputation	-	Complying to HACCP/ISO 22000 food safety standards
		-	Security and fire safety procedures are in place at all of our properties including emergency evacuation plans.
Physical security and safety incidents at one or more of our properties could jeopardise the safety of our guests and team members		-	Monitoring adherence to Group safety, operating and quality standards
safety and security of associates and guests will continue to receive heightened scrutiny in light of the Covid-19 pandemic		-	Availability of on call medical officers/ medical assistance.
		-	Monitoring adherence to Government/ Health Authorities COVID 19 guidelines on Hotel operations
		-	Obtained Safe and Secure Certification from Sri Lanka Tourism Development Authority
2.7. Statutory and Legal Risk		Risk Rating	Medium
Threat of litigation due to legal and statutory requirements not being fulfilled	- Legal fees and penalties resulting in reduced profitability	-	Group continues to monitor changes in the regulatory environment in which it operates
	- Adverse impact on reputation	-	Statutory declaration is made to Board each quarter
	- Loss arising from defective contracts	-	Compliance audits are included in the scope of the internal audit programme
		-	Engage professional consultants to review contracts

Risk Management Contd.

Potential Impact		Actions Taken to Mitigate Risk	
2.8. Internal Operational Processes		Risk Rating	Medium
Threat of financial loss due to breakdown in internal controls	- Internal process failures - Fraud - Loss of data	- Outsource internal audits to reputed Audit Firms to review and report on the adequacy of the financial and operational controls - Defined systems and procedures are in place to ensure compliance with internal controls - Adequate fidelity covers are obtained	
3. FINANCIAL RISKS			
3.1. Credit Risk		Risk Rating	Low
Threat arising due to default of payment.	- Reduce profitability. - Increase working capital.	- Credit is provided only for credit approved agents. Credit approval is granted by the Credit Committee at “Jetwing House” and credit approved list has been prepared. - Actively monitor and review debtors	
3.2. Exchange Rate Risk		Risk Rating	Very High
Threat arising due to the volatility in foreign currency exchange rates.	- Impact on profitability on translation of foreign currency transactions.	- As far as possible, enter into sales contracts with tour operators/agents in USD. - Monitor the exchange rates on a daily basis.	
3.3. Interest Rate Risk		Risk Rating	Very High
Threat arising from the volatility of fair value or future cash flows of a financial instrument fluctuating because of changes in market interest rates.	- Reduced profitability. - Reduced cash flows.	- Negotiate favourable terms and conditions with banks for loan facilities obtained.	
3.4. Liquidity Risk		Risk Rating	High
Risk that the Group will not be able to meet its financial obligations as they fall due.	- Reduced cash flows - Reduced profitability	- Preparation of regular cashflow forecasts in line with projected occupancy fluctuations in order to assess the liquidity position of the group in the short term - Monitor and review bank balances regularly - Preparation and review of actual performance against the budget monthly. - Reschedule the capital repayments in order to suit the forecasted Cash flows	

Precautionary Approach

Jetwing Symphony PLC applies a precautionary principle across all its businesses and we advocate a risk-based approach to our operations through our management systems.

The blue skies, warm waters and golden sands of Jetwing Surf – the perfect base to explore the archaeological, historical, and ecological wonders of the enigmatic east coast.





On the edge of the wilderness and the Indian Ocean, Jetwing Yala is one of the brand's iconic resorts with a strong commitment to sustainability and community engagement.



Corporate Governance

Jetwing Symphony PLC (the 'Company') continues to be committed to conducting the Company's business ethically and in accordance with high standards of good corporate governance.

The Board of Directors of the Company (the 'Board') has appointed Jetwing Hotels Ltd. as the managing agents of the Hotels in the Group.

We set out below the corporate governance practices adopted and practiced by the Company and compliance with the Rules set out in Section 7 of the Listing Rules of the Colombo Stock Exchange:

Board of Directors

Executive Directors

Mr. N.J.H.M. Cooray (Chairman)

Ms. N.T.M.S. Cooray

Non-Executive Directors

Mr. G. Rocchi

Non-Executive Independent Directors

Mr. N. Wadugodapitiya, Ms. K. Reddy, Mr. L. Porter,

Dr. V. Kannangara, Mr. S. D. Amalean

The Board meets regularly and adhoc meetings are held as and when necessary. During the year under review, the Board met on four occasions. The attendance at these meetings was:

Name of the Director		Attendance
Mr. N. J. H. M. Cooray	Executive Director	4/4
Ms. N. T. M. S. Cooray	Executive Director	4/4
Mr. N. Wadugodapitiya	Non-Executive Independent Director	4/4
Dr. V.J. Kannangara	Non-Executive Independent Director	4/4
Mr. L.K. Porter	Non-Executive Independent Director	4/4
Ms. K.K. Reddy	Non-Executive Independent Director	3/4
Mr. G. Rocchi	Non-Executive Director	2/4
Mr. S.D. Amalean	Non-Executive Independent Director	4/4

Responsibilities

The Directors of the Company are responsible for formulation of group policy and overall business strategy. The implementation of policy and strategy is done in a framework that requires compliance with applicable laws and regulations as well as establishing best practices in dealing with employees, customers, suppliers and the community at large.

The annual capital expenditure budgets, non-budgeted capital expenditure and the annual budgeted operating statements require Board approval. The Board meets regularly to review performance and forecasts against budgets so as to take decisions in the best interest of the Company. The managing agents are represented at these meetings and are responsible for follow-up action. Directors' interests in contracts are regularly disclosed and such disclosures pertaining to year ended 31st March, 2022 can be seen on page 45 in the Directors' Report.

The Board is responsible to ensure that adequate systems of internal controls to safeguard the assets of the group are in place and proper records are maintained. However, any system can ensure only reasonable but not absolute assurance that errors and irregularities are prevented or detected within a reasonable time frame.

Chairman's Role

The Chairman is responsible for the efficient conduct of Board meetings. The Chairman maintains close contact with all Directors and holds informal meetings with Non-Executive Directors as and when necessary.

Board Balance

The composition of the Executive and Non-Executive Directors (the latter are over one-third of the total number of Directors) satisfies the requirements laid down in the Listing Rules of the Colombo Stock Exchange. The Board has determined that six Non-Executive Directors satisfy the criteria for 'independence' set out in the Listing Rules of the Colombo Stock Exchange.

Non-Executive Directors' profiles reflect their calibre and the weight their views carry in Board deliberations.

Company Secretary

The services and advice of the Company Secretary are made available to Directors as necessary. The Company Secretary keeps the Board informed of new laws, regulations and requirements coming into effect which are relevant to them as individual Directors and collectively to the Board.

Corporate Governance Contd.

Financial Acumen

The Board, includes one Chartered Accountant and two Chartered Management Accountants who possess the necessary knowledge and competence to offer the Board guidance on matters of finance.

Supply of Information

Directors are provided with quarterly reports on performance and such other reports and documents as necessary. The Chairman ensures all Directors are adequately briefed on issues arising at meetings.

Appointments to the Board

The Board as a whole decides on the appointment of Directors, in terms of the Articles of Association of the Company.

Constructive Use of the Annual General Meeting

The active participation of shareholders at the Annual General Meeting (AGM) is encouraged. The Board believes, the AGM is a means of continuing effective dialogue with shareholders.

The Board offers clarifications and responds to concerns shareholders have over the content of the Annual Report as well as other matters which are important to them. The AGM is also used to adopt the Financial Statements for the year.

Communication with Shareholders

Shareholders are provided with Quarterly Financial Statements and the Annual Report, which the Company considers as its principal communication with them and other stakeholders. These reports are also provided to the Colombo Stock Exchange. Shareholders may bring up concerns they have, either with the Chairman or the Secretaries of the Company as appropriate. The Company maintains an appropriate dialogue with them.

Accountability and Audit

Financial Reporting

The Board places great emphasis on complete disclosure of financial and non-financial information within the bounds of commercial reality and on the adoption of sound reporting practices. Financial information is disclosed in accordance with the Sri Lanka Accounting Standards comprising SLFRS and LKAS. Revisions to existing accounting standards and adoption of new standards are carefully monitored.

The Statement of Directors' Responsibilities for the Financial Statements is given in page 48 of this Report.

Going Concern

In determining the basis of preparing the financial statements for the year ended 31 March 2022, based on available information, the management has assessed the impact of current economic condition and continuity effects of COVID 19 on the Company and its subsidiaries and the appropriateness of the use of the going concern basis. The Group evaluated the resilience of its businesses considering a wide range of factors under multiple scenarios, relating to expected revenue, cost management, profitability, ability to defer non-essential capital expenditure, debt repayment reschedulements, and the amount of undrawn borrowing facilities, and potential sources of financing facilities.

Having evaluated each company of Jetwing Symphony PLC by the Board of Directors, and after due consideration of the range and likelihood of outcomes, the Directors are satisfied that the Company and its subsidiaries have adequate resources to continue in operational existence for the foreseeable future and continue to adopt the going concern basis in preparing and presenting these financial statements.

Audit Committee

Jetwing Symphony PLC constituted its own Audit Committee on 1st August, 2014. The Committee consists of two Independent Non-Executive Directors of the Company. The meetings of the Audit Committee were attended by the Chairman, Managing Director, Executive Director, General Manager, Chief Accountant and the Head of Finance of Jetwing Hotels Ltd by invitation when matters relating to the group were taken up for discussion. The External Auditor/Internal Auditor attended the meetings when his presence was deemed necessary.

The Audit Committee has written terms of reference and is empowered to examine any matters relating to the financial affairs of the group and its internal and external audits.

The Committee reviewed the Financial Statements, internal control procedures and risk management, accounting policies, compliance with accounting standards, emerging accounting issues and other related functions that the Board required. It also reviews the adequacy of systems for compliance with the relevant legal, regulatory and ethical requirements. Significant issues discussed by the Committee at the reviews were communicated by the Managing Director to the Board of Directors for their consideration and action.

The Committee helps the Company to achieve a balance between conformance and performance.

Corporate Governance Contd.

Further, the Committee recommends the appointment and fees of the External Auditors, having considered their independence and performance.

The Audit Committee Report appears on page 42 of this Report.

Remuneration Committee

The Company constituted its own Remuneration Committee on 8th May, 2017. The Committee consists of three Independent Non-Executive Directors. During the year under review, the Committee met one occasion.

The Remuneration Committee Report appears on page 44 in this Report.

Level of Compliance with the Listing Rules of the Colombo Stock Exchange

Level of compliance with the Listing Rules of the CSE Section 7, on Corporate Governance are given in the following table:

Rule No.	Subject	Applicable Requirement	Level of Compliance
7.10.1	Non-Executive Directors	At least one-third of the total number of Directors should be Non-Executive Directors	Six out of Eight Directors are Non-Executive Directors
7.10.2 (a)	Independent Directors	Two or one-third of Non-Executive Directors, whichever is higher should be Independent	Five of the Six Non-Executive Directors are Independent
7.10.2 (b)	Independent Directors	Each Non-Executive Director should submit a declaration of his independence/non-independence in the prescribed format	Non-Executive Directors have submitted the declaration
7.10.3 (a)	Disclosure relating to Directors	Names of Independent Directors should be disclosed in the Annual Report	Please refer page 35
7.10.3 (b)	Disclosure relating to Directors	The basis for Board to determine a Director as independent, if specified criteria for independence is not met	Please refer page 35
7.10.3 (c)	Disclosure relating to Directors	A brief résumé of each Director should be included in the Annual Report including the areas of Expertise	Please refer pages 39 to 41
7.10.3 (d)	Disclosure relating to Directors	Forthwith provide a brief résumé of new Directors appointed to the Board with details specified in 7.10.3 (d) to the CSE	A brief résumé provided to the CSE
7.10.5	Remuneration Committee	A listed company shall have a Remuneration Committee	Company has formed a Remuneration Committee
7.10.5 (a)	Composition of Remuneration Committee	Shall comprise of Non-Executive Directors a majority of whom will be independent	Remuneration Committee consists three Independent Non-Executive Directors
7.10.5 (b)	Functions of Remuneration Committee	The Remuneration Committee shall recommend the remuneration of Chief Executive Officer and Executive Directors	Please refer Remuneration Committee Report on page 44

Related Party Transactions Review Committee

The Company has its own Related Party Transactions Review Committee. The Committee consists two Independent Non-Executive Directors. During the year under review, the Committee met on four occasions. The committee reviews the related party transactions during the year under review. The Related Party Transactions Review Committee Report appears on page 43 in this Report

Corporate Governance Contd.

Rule No.	Subject	Applicable Requirement	Level of Compliance
7.10.5 (c)	Disclosure in the Annual Report relating to Remuneration Committee	The Annual Report should set out:	Names of the members of the Remuneration Committee are stated in this report under the heading of Remuneration Committee on page 117
		(a) Names of Directors comprising the Remuneration Committee	
		(b) Statement of Remuneration Policy	
		(c) Aggregated remuneration paid to Executive Directors and Non-Executive Directors	Given in this Report under the heading of Directors' Remuneration on page 45
7.10.6	Audit Committee	The Company shall have an Audit Committee	Company has formed an Audit Committee
7.10.6 (a)	Composition of Audit Committee	Shall comprise of Non-Executive Directors, a majority of whom will be independent	Audit Committee consists of two Independent Non-Executive Directors
		Non-Executive Director shall be appointed as the Chairman of the Committee	Chairman of the Audit Committee is an Independent Non-Executive Director
		Chief Executive Officer and the Chief Financial Officer shall attend Audit Committee meetings unless otherwise determined	Chairman, Managing Director, Executive Director, General Manager and Head of Finance attend meetings by invitation
		The Chairman of the Audit Committee or one member should be a member of a professional accounting body	Chairman of the Audit Committee is a Fellow Member of the Chartered Institute of Management Accountants – UK
7.10.6 (b)	Audit Committee Functions	Should be as outlined in the Section 7 of the Listing Rules of the Colombo Stock Exchange	The terms of reference of the Audit Committee adopted by the Board is listed on page 42
7.10.6 (c)	Disclosure in the Annual Report relating to the Audit Committee	Names of Directors comprising the Audit Committee stated in this Report under the heading of Audit Committee	Names of the members of the Audit Committee are stated in this Report under the heading of Audit Committee on page 117
		(b) The Audit Committee shall make a determination of the independence of the Auditors and disclose such determination	Please refer Audit Committee Report on page 42
		(c) The Annual Report shall contain a Report of the Audit Committee setting out the manner of Compliance of the functions	Please refer Audit Committee Report on page 42

Board of Directors and their Profiles

N. J. H. M. Cooray

(Chairman)

Executive Director

Hiran joined his father, the founder of Jetwing, late Herbert Cooray, in the late 1980s. He learnt to love nature, work with local communities and to explore areas where others wouldn't from his father; today, this is called sustainable tourism. He has seen the Jetwing brand being recognized as Sri Lanka's most responsible hospitality entity.

His efforts were acknowledged internationally with him being the first Sri Lankan to be appointed Chairman of the Pacific Asia Travel Association (PATA) based in Bangkok. He also served on the Board of Small Luxury Hotels of the World from 2007-2014 and the UNWTO Tourism Ethics Committee as an alternate member from 2013-2021.

In Sri Lanka, he was elected President of the Tourist Hotels Association (THASL) from 2005-2008 and from 2014-2016. He also served as a Board member of the Sri Lanka Tourism Development Authority (SLTDA) and the Sri Lanka Tourism Promotions Bureau (SLTPB). His passion for sustainable tourism makes him a sought after speaker within his motherland and around the world.

N.T.M.S. Cooray (Ms.)

Executive Director

Shiromal Cooray is the Chairman and Managing Director of Jetwing Travels (Private) Limited, one of the leading destination management companies in Sri Lanka. She is also the Chairman of Jetwing Hotels Limited, the premier hospitality brand of Sri Lanka, effective October 2018. With diverse experience in a number of industries, Shiromal also holds other directorates in hotels, finance, investment banking, Commodity brokering, Commercial banking and Insurance.

Hailing from a background in finance and management, Shiromal holds an MBA from the University of Colombo, is a Fellow of the Chartered Institute of Management Accountants UK, and a former Finance Director of J. Walter Thompson Ltd (Colombo) along with work experience in the UK and Hong Kong. She is past Chairman of the Sri Lanka Institute of Directors (SLID), and past President of the Sri Lanka Association of Inbound Tour Operators.

K.K. Reddy (Ms.)

Non-Executive Independent Director

Ms. Kamini Reddy is a Director of Reddy Group. Reddy Group is a family office with investments in hotels, real estate, construction, financial services, engineering equipment and education. Tanoa Hotel Group is the hospitality arm of Reddy Group and presently has 9 South Pacific hotel properties covering Fiji, Samoa, Tonga and New Zealand, offering 876 rooms and employing over 800 staff. Kamini oversees the group's finance, corporate affairs and strategy functions. Kamini has significant global experience having past roles as Regional Finance Director, Hilton Worldwide (Asia) and Group Planning and Regional Finance roles for Fonterra (New Zealand and Asia). She has also worked for Ernst & Young in Auckland, New York and London. Kamini graduated from the University of Auckland in New Zealand with a Bachelor of Commerce and a Bachelor of Arts (Accounting and Japanese double major). She has also completed the Owner/President Management Program at Harvard Business School. Kamini is a member of Chartered Accountants Australia and New Zealand, Institute of Internal Auditors and the Australian Institute of Company Directors. Kamini is also a director of Bank of Baroda (New Zealand) Limited.

Board of Directors and their Profiles Contd.

N. Wadugodapitiya

Non-Executive Independent Director

Nihal Wadugodapitiya is a Fellow member of the Chartered Institute of Management Accountants, UK. His business experience spans over 40 years in senior management positions both in private and public sector institutions in Sri Lanka and in Abu Dhabi, UAE, of which 20 + years has been in the position of Chief Executive of private companies. He has served in organizations involved in manufacturing, light engineering, FMCG marketing and distribution, private equity fund management, air lines and services sectors. He has served on several boards of Directors including companies engaged in financial services, venture capital / private equity fund management, fabric manufacturing, thermal power generation, plantation management, marketing and distribution and flexible packaging and light engineering. At present he is a Business Development Consultant providing strategic guidance to small and medium scale enterprises.

L.K. Porter

Non-Executive Independent Director

With over 40 years of overseas exposure and international business experience, Len specializes in building stakeholder relationships and anticipating threats and opportunities to longer term business growth. He is a “systems” thinker and has a leading edge understanding of risk and knowledge based decision making. Len last served as the Chief Executive of the Rail Safety and Standards Board UK in a term that lasted 11 years. Earlier in his career he founded his own successful international business which he took to sale in the mid 1990’s. Len holds a BSc (Hons) in Metallurgy, is a past member of the Institute of Asset Management and as a former professionally qualified commercial diver has a particular interest in the marine environment. A self-proclaimed Lanka-phile, Len counts Sri Lanka as his second home and is driven by a passion to promote the country as a leading edge tourism destination.

Dr. V. J. Kannangara

Non-Executive Independent Director

Dr. Vijith Kannangara is the Founder and Executive Chairman of Smart Media The Annual Report Company. He is also co-founder and Chairman of the software company, Affno and the independent marketing communications company, Q&E. He serves on the board of The Children’s Heart Project of Sri Lanka and on the Council of The National Stroke Association, Sri Lanka. Vijith is a medical doctor turned entrepreneur. In 2006, The Chartered Institute of Marketing in UK conferred an Honorary Fellowship on him. His interests include the future of education, global citizenship, environment, natural health and regenerative agriculture.

Board of Directors and their Profiles Contd.

G. Rocchi

Non-Executive Director

Mr. Rocchi, is an Italian national, who has lived for the last 28 years in Sri Lanka. He started his business in Sri Lanka in 1994 by developing a textile business and went on to build his own factories, employing a total of 1,200 employees. During his time in Sri Lanka, Mr. Rocchi devoted his free time to follow his passion in hospitality. He set the path to high quality Italian food in Sri Lanka by opening the first traditional Italian ice cream parlour in Sri Lanka in 2002, followed by the opening of a traditional Italian Trattoria style restaurant in 2013 and another one in 2015 in the heart of Colombo. What started as a passion transformed in a business: Mr. Rocchi began trading Italian top-quality food and beverage products through Ceccato Colombo (Pvt) LTD, firstly for its own businesses and subsequently for local hotels and restaurants, making the company at the top of the premium Italian commodity market with sole distribution of products like San Pellegrino & Acqua Panna waters, illy coffee, Enomatic wine dispensers, and other Italian products. In addition to the above, Mr. Rocchi introduced a full kitchen supply for apartment and residencies.

Mr. Giuseppe Rocchi is now the Managing Director of Textile International Colombo (Pvt) Ltd, Ceccato Colombo (Pvt) Ltd, TIC Solar (Pvt) LTD, LUPA Investments (Pvt) LTD, which carries out real estate project of commercial and residential properties. and is a Director of Camagni Ceylon (Pvt) LTD, seller of luxury kitchens and is a Director of Jetwing Symphony PLC, owner and operator of resorts and hotels.

Mr. Rocchi is also a director and shareholder of his family owned Infondi SPA, an Italian Holding company, owner of 10 Hotels upscale properties which include properties under the brand name “R Collection Hotels”.

Mr. Rocchi has also invested in hospitality projects in Dubai, United Arab.

S.D. Amalean

Non-Executive Independent Director

- Deputy Chairman, Co-Founder and Board Member - MAS
- Chairman – JAAF Sri Lanka

Sharad Amalean, along with his brothers, fueled the entrepreneurial flame to establish MAS. He brought financial pragmatism and his extensive domain knowledge in finance to the fore, formulating and implementing MAS’ strategy. A student of Royal College, Colombo, Sharad completed his Executive Education at Wharton School, University of Pennsylvania. A disruptor and an advocate of change, Sharad excels at managing people and resources, and is known for his unique style of coaching and listening.

Having served as the CEO of MAS Holdings, Sharad has now transitioned to a new phase of his corporate journey overlooking strategic investments and the diversification activities of the organization. As a formidable negotiator, strategist and holistic thinker, Sharad plays a key role in developing partnerships with global industry leaders and is known for his persistence and his ability to foresee opportunity.

Sharad is a key driving force in the Sri Lankan Apparel & Textile Industry and supports the efforts of promoting the transition of the industry to the Digital marketplace and enhancing collaboration with regional and global partners in his role Chairman of the Joint Apparel Association Forum; the apex body of the Sri Lankan Apparel industry. He also serves as a member of the Presidential Task Force on Economic Revival & Poverty Eradication.

Audit Committee Report

The Audit Committee, comprises two Non-Executive Independent Directors as shown in below table. The Chairman of the Audit Committee is a Fellow Member of the Chartered Institute of Management Accountants, UK. The Committee meetings were held on quarterly basis. The Audit Committee met on four occasions during the financial year.

The Committee, as at 31st March 2022, comprised of the following members:

Members of the Audit Committee		Attendance at the Meeting
Mr. N. Wadugodapitiya (Chairman)	Non-Executive Independent	4/4
Ms. K.K. Reddy	Non-Executive Independent	4/4

The Chairman, General Manager of the Hotel, Chief Accountant of the Hotel, Managing Director, Executive Director and the Head of Finance of the managing agents attend meetings of the Audit Committee by invitation. The Committee is empowered to examine any matter relating to the financial reporting systems and its internal and external audits. Its duties include detailed reviews of Financial Statements of the Company and its subsidiaries, internal control procedures, accounting policies and compliance with accounting standards. It also reviews the adequacy of systems for compliance with the relevant legal, regulatory and ethical requirements and company policies.

The Committee endeavours to assist the Directors to discharge their duties and responsibilities in respect of regulatory compliance and risk management.

The following activities were carried out by the Committee:

- The Committee reviewed the interim and annual financial statements of the Group and has recommended same to the Board for approval and publication.
- The Committee reviewed and made recommendation to the board about the policy decisions relating to adoption of new and revised Sri Lanka Accounting Standards (SLFRS/LKAS) applicable to the Group during the financial year under review. The Committee would continue to monitor the compliance with relevant Accounting Standards and keep the Board informed at regular intervals.

- The Committee held meetings with the External Auditors to review their report on audit results and the preparation of the Annual Report to ensure the reliability of the process, consistency of the Accounting policies and methods and compliance with Sri Lanka Accounting Standards.
- Recommendations made by the External Auditors were also discussed with the Board and implementation recommended to Management by the Committee.
- The Audit Committee also monitors the effectiveness of the Internal and Financial Control procedures on the basis of the reports and findings submitted by the Internal Auditors of the Company, Messrs PricewaterhouseCoopers.
- The Audit Committee also monitors the timely payments of all statutory obligations.
- The Company's budget proposals are also reviewed by the Audit Committee.
- The Audit Committee has reviewed the other services provided by the External Auditors to the Company to ensure their independence as Auditors has not been compromised.

The Audit Committee is satisfied that the control environment prevailing in the organization provides reasonable, but not absolute assurance that the financial position of the Company is adequately monitored and that the systems are in place to minimize the impact of identifiable risks.

As far as the Directors are aware, the Auditor does not have any relationship (other than that of an Auditor) with the Company other than those disclosed above. The Auditors also do not have any interest in the Company. For the said reasons that the Committee determined that Auditors are independent.

The Audit Committee has recommended to the Board of Directors that Messrs Ernst & Young may continue as Auditors for the financial year ending 31st March, 2023



Nihal Wadugodapitiya
Chairman – Audit Committee
30th May, 2022

Related Party Transactions Review Committee Report

The Related Party Transactions Review Committee was formed by the Board of Directors with effect from 8th May, 2017 in compliance with the Section 9 of the Continuing listing rules of the Colombo Stock Exchange (CSE). As at 31st March, 2022 it comprised two Non-Executive Independent Directors as shown in below table. Chairman of the Committee is a Non-Executive Independent Director.

Members of the Related Party Transactions Review Committee		Attendance at the Meeting
Mr. N. Wadugodapitiya (Chairman)	Non-Executive Independent	4/4
Dr. V.J. Kannangara	Non-Executive Independent	4/4

Scope of the Committee

Developing and recommending for adoption by the Board of Directors of the Company, a Related Party Transactions Policies and Procedures.

Updating the Board of Directors on the related party transactions of the Group on a quarterly basis.

Making immediate market disclosures on applicable related party transactions as required by Section 9 of the Continuing Listing Rules of CSE.

Making appropriate disclosures on related party transactions in the Annual Report as required by Section 9 of the Continuing Listing rules of CSE.

Policies and Procedures adopted by the Committee

The Company has in place a Related Party Transaction identification and disclosure procedure whereby the categories of persons who shall be considered as 'related parties' has been identified. In accordance with the above procedure, self-declarations are obtained from each Director/Key Management Personnel of the Company for the purpose of identifying parties related to them. The Committee endeavours to meet at least quarterly, review and report to the Board on matters involving related party transactions falling under its scope.

Committee Meetings

The Committee meetings were held on quarterly basis. During the year under review, the Committee met on four occasions. The attendance at these meetings are given in above table. The activities and observations of the Committee have been communicated to the Board of Directors, quarterly, through verbal briefings, and by tabling the minutes of the Committee's meetings.

Related Party Transactions during the year

The committee reviewed the related party transactions during the year under review. Further, there were no non-recurrent nor recurrent related party transactions that exceeded the threshold mentioned in the continuing listing rules of the CSE.

Details of other related party transactions entered into by the Company and its subsidiaries during the above period is disclosed in Note 22 on pages 97 to 99 to the Financial Statements.



Nihal Wadugodapitiya

Chairman

Related Party Transactions Review Committee

30th May, 2022

Remuneration Committee Report

The objectives of the Remuneration Committee are to review and approve overall remuneration philosophy strategy policies and practices including performance pay schemes and benefits. The policy is to prepare the compensation packages to attract and retain highly qualified experienced workforce and reward performance, bearing in mind the business performance and long-term shareholder returns. The Committee comprises three Non-Executive Independent Directors, whose names are shown in below table. The members of the Committee met once in the year under review.

Members of the Remuneration Committee		Attendance at the Meeting
Dr. V.J. Kannangara (Chairman)	Non-Executive Independent	1/1
Mr. L.K. Porter	Non-Executive Independent	1/1
Ms. K.K. Reddy	Non-Executive Independent	1/1

The aggregate remuneration paid to Directors is set out in page 45



Dr. V. Kannangara
Chairman – Remuneration Committee

30th May, 2022

Annual Report of the Board of Directors on the Affairs of the Company

The Directors of Jetwing Symphony PLC (the 'Company') present their Report together with the Audited Financial Statements of the Company for the year ended 31st March, 2022.

The details set out herein provide the pertinent information required by the Companies Act No. 07 of 2007 (the 'Companies Act'), Listing Rules of the Colombo Stock Exchange (the 'Listing Rules') and are guided by recommended best accounting practices.

Review of the Year

The Chairman's Letter and the Management Discussion and Analysis describe the year's operations, financial performance, sustainability review and details of the future development of the Company.

The Principal Activity of the Company

Jetwing Symphony PLC is an investment holding company.

The principal activity of the companies in the Group is hoteliering and there has been no change in the nature of such activity during the year.

Financial Statements

The Financial Statements of the Company and the group duly signed by Directors are given on pages 56 to 104 in this Annual Report.

Auditor's Report

The Auditors' Report on the Financial Statements is given on page 50.

Accounting Policies

The accounting policies adopted by the group in the preparation of Financial Statements are given on pages 61 to 76 in this Annual Report.

The accounting policies adopted are consistent with these of the previous financial year.

Related Party Transactions

The Company has complied with the rules set out in Section 9 of the Listing Rules pertaining to Related Party Transactions.

Interests Register Directors' Interests in Transactions

The Directors of the Company have made the general disclosures provided for in Section 192 (2) of the Companies Act No. 07 of 2007. The related party disclosures and the Directors of each of those related parties are given on pages 105 to 111 respectively.

Directors' Remuneration

There are no aggregate emoluments paid to the Non-Executive Directors during the year is reflected on page 99 in Note 22.5 to the Financial Statements.

Insurance and Indemnity

The Company has obtained a Corporate Guard insurance policy from Allianz Insurance Lanka Ltd to indemnify Directors and Officers (D&O) of the Company. The policy is extended worldwide including USA and Canada with a total cover of LKR 50,000,000/-. The premium is LKR 536,250/-+Taxes.

Directors' Interests in Shares

There were no changes in the Directors' direct shareholdings during the year.

Directors' Direct Shareholding

	As at 31st March, 2022	As at 1st April, 2021
Mr. N.J.H.M. Cooray	34,747,339	34,747,339
Ms. N.T.M.S. Cooray	32,866,324	32,866,324
Mr. N. Wadugodapitiya	25,000	25,000

Directorate

Names of the Directors who held office during the financial year are given below:

Executive Directors

Mr. N.J.H.M. Cooray (Chairman),
Ms. N.T.M.S. Cooray

Non-Executive Directors

Mr. G. Rocchi

Non-Executive Independent Directors

Mr. N. Wadugodapitiya
Ms. K. Reddy
Mr. L. Porter
Dr. V. Kannangara
Mr. S.D. Amalean

Annual Report of the Board of Directors on the Affairs of the Company Contd.

Pursuant to the provisions under section 210 and 211 of the Companies Act, ordinary resolutions for the re-appointment of Mr. N. Wadugodapitiya and Mr. L.K. Porter, who have reached the age of 70 years, will be considered at the AGM on 14th July 2022.”

This is similar to the wording we have used in the LHH annual report.

Subsidiaries Board of Directors

The names of Directors of the subsidiary companies who held office as at 31 March 2022 are set out on page 110 in this Annual report.

Donations

At the last Annual General Meeting shareholders authorised Directors to determine contributions to donations. The donations given during the year amounted to LKR 63,540/-.

Taxation

A detailed statement of the income tax rates applicable to the subsidiary companies in the group and a reconciliation of the accounting profits with the taxable profits are given in Note 2.8.9 and Note 18 respectively to the financial statements.

Auditors

Messrs Ernst & Young, Chartered Accountants are deemed reappointed, in terms of Section 158 of the Companies Act No. 07 of 2007 as Auditors of the Company.

A resolution proposing the Directors be authorized to determine the remuneration of the Auditors will be submitted to the Annual General Meeting.

Auditor's Remuneration

Messrs Ernst & Young were paid LKR 201,674/- as audit fees and expenses by the Company. In addition, they were paid LKR 125,061/- by the Company for non-audit related work, which consisted mainly of tax consultancy and advisory.

Messrs Ernst & Young, Chartered Accountants the auditors of the Company are also the auditors of subsidiaries of the Group. The amount paid by the group to Messrs Ernst & Young as audit fees and expenses was LKR 1,204,573/-. In addition, they were paid LKR 664,044/-by the Group for non-audit related services, which consisted mainly of tax consultancy and advisory.

As far as the Directors are aware, the Auditor does not have any relationship (other than that of an Auditor) with the Company nor any of its subsidiaries other than those disclosed above. The Auditors also do not have any interests in the Group.

Turnover

The turnover for the year was LKR 1,288,039,618/- (2020/21 - LKR 556,855,664/-).

Profit/(Loss)

	2022 LKR	2021 LKR
Net Profit/(Loss) for the year after providing for all expenses, known liabilities and depreciation of fixed assets was	(886,028,541)	(820,623,607)
Other Comprehensive Income/(Loss) for the year	6,420,266	1,589,280
Prior Year Retained Profit/(Loss)	(2,394,832,248)	(1,575,797,921)
Retained Profit/(Loss) at the End of the Year	(3,274,440,523)	(2,394,832,248)

Revaluation Reserve

	2022 LKR	2021 LKR
As at the beginning of the year	1,004,852,066	994,245,815
Revaluation surplus	746,017,150	12,332,850
Deferred Tax on Revaluation Surplus	(104,524,743)	(1,726,599)
As at 31st March,	1,646,344,473	1,004,852,066

Annual Report of the Board of Directors on the Affairs of the Company Contd.

Property, Plant and Equipment

The total expenditure on acquisition of Property, Plant and Equipment during the year amounted to LKR 40,063,705/- (2021 - LKR 29,211,626/-) details of which are given in Note 4.1 to the Financial Statements on page 77.

Market value of the land including the valuation method and the effective date of the valuation are provided in Note 4.4 to the Financial Statements on page 80.

Stated Capital

There were no changes in the Company's Stated Capital during the year under review. In terms of the Companies Act No. 07 of 2007, the Stated Capital of the Company was LKR 5,509,276,455 /- as at 31st March, 2022 (Comprising 502,188,559 ordinary shares).

Events Occurring after the Reporting Date

There have been no material events occurring after the Reporting date, that require adjustments to or disclosures in the Financial Statements.

Statutory Payments

The Directors confirm that to the best of their knowledge all taxes and dues payable by the Company and all contributions, levies and taxes payable on behalf of and in respect of the employees of the Company and all other known statutory dues as were due as at the Reporting date have been paid or provided.

Public Shareholding

17.99% of the issued capital of the company was held by the public, comprising of 959 shareholders and a float adjusted market capitalisation of LKR 948,609,079/- as at 31st March 2022. In terms of Rule 7.14.1(i)(b) of the listing rules of the Colombo Stock Exchange. The Company qualifies under option 2 of the minimum public holding requirement.

Going Concern

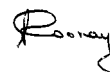
In determining the basis of preparing the financial statements for the year ended 31 March 2022, based on available information, the management has assessed the impact of current economic condition and continuity effects of COVID 19 on the Company and its subsidiaries and the appropriateness of the use of the going concern basis. The Group evaluated the resilience of its businesses considering a wide range of factors under multiple scenarios, relating to expected revenue, cost management, profitability, ability to defer non-essential capital expenditure, debt repayment reschedulements, and the amount of undrawn borrowing facilities, and potential sources of financing facilities.

Having evaluated each company of Jetwing Symphony PLC by the Board of Directors, and after due consideration of the range and likelihood of outcomes, the Directors are satisfied that the Company and its subsidiary have adequate resources to continue in operational existence for the foreseeable future and continue to adopt the going concern basis in preparing and presenting these financial statements.

For and on behalf of the Board,



N.J.H.M Cooray
Chairman



N.T.M.S Cooray
Director



Corporate Services (Pvt) Ltd.
Secretaries

Jetwing Symphony PLC
30th May 2022

Statement of Directors' Responsibilities

The Directors are responsible, under Sections 150 (1) and 151, of the Companies Act No. 07 of 2007, to ensure compliance with the requirements set out there into prepare Financial Statements for each financial year giving a true and fair view of the state of affairs of the Company and its subsidiary and the Income Statement of the financial year-end. The Directors are also responsible, under Section 148 for ensuring that proper accounting records are kept to disclose, with reasonable accuracy, the financial position and enable preparation of the Financial Statements.

The Board accepts responsibility for the integrity and objectivity of the Financial Statements presented. The Directors confirm that in preparing the Financial Statements, appropriate accounting policies have been selected and applied consistently while reasonable and prudent judgments have been made so that the form and substance of transactions are properly reflected.

They also confirm that the Financial Statements have been prepared and presented in accordance with the Sri Lanka Accounting Standards (SLFRS & LKAS). The Financial Statements provide the information required by the Companies Act.

The Directors have taken reasonable measures to safeguard the assets of the Company and, in that context, have instituted appropriate systems of internal control with a view to preventing and detecting fraud and other irregularities.

The External Auditors, Messrs Ernst & Young, are reappointed in terms of Section 158 of the Companies Act No. 07 of 2007 were provided with every opportunity to undertake the inspections they considered appropriate to enable them to form their opinion on the Financial Statements. The Report of the Auditors, shown on page 50 sets out their responsibilities in relation to the Financial Statements.

Compliance Report

The Directors confirm that to the best of their knowledge, all statutory payments relating to employees and the Government that were due in respect of the Company and its subsidiary as at the Reporting date have been paid or where relevant, provided for.

By Order of the Board,

Jetwing Symphony PLC

Corporate Services (Pvt) Ltd.
Secretaries

216, De Saram Place, Colombo 10.
30th May, 2022

Financial Calendar

Audited Financial Statements signed on 30 May 2022

Annual General Meeting 14 July 2022

Interim Financial Statements

1st Quarter Interim report released on 10 August 2021

2nd Quarter Interim report released on 3 November 2021

3rd Quarter Interim report released on 10 February 2022

4th Quarter Interim report released on 30 May 2022



Independent Auditor's Report

TO THE SHAREHOLDERS OF JETWING SYMPHONY PLC



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Chartered Accountants
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Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying financial statements of Jetwing Symphony PLC (“the Company”) and the consolidated financial statements of the Company and its subsidiaries (“the Group”), which comprise the statement of financial position as at 31 March 2022 and the statement of profit or loss, statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 March 2022, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (“SLAuSs”). Our responsibilities under those standards are further described in the Auditor’s responsibilities for the audit of the financial statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (“Code of Ethics”) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor’s responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: H M A Jayasinghe FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, W R H De Silva FCA ACMA, Ms. Y A De Silva FCA, Ms. K R M Fernando FCA ACMA, N Y R L Fernando ACA, W K B S P Fernando FCA FCMA, Ms. L K H L Fonseka FCA, D N Gamage ACA ACMA, A P A Gunasekera FCA FCMA, A Herath FCA, D K Hulangamuwa FCA FCMA LLB (London), Ms. A A Ludowyke FCA FCMA, Ms. G G S Manatunga FCA, A A J R Perera ACA ACMA, Ms. P V K N Sajeewani FCA, N M Sulaiman ACA ACMA, B E Wijesuriya FCA FCMA, C A Yalagala ACA ACMA

Principals: G B Goudian ACMA, Ms. P S Paranavitane ACMA LLB (Colombo), T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

Independent Auditor's Report Cont.



Key audit matter	How our audit addressed the key audit matter
Assessment of fair value of freehold land Property, Plant and Equipment as at 31 March 2022 amounting to LKR 9,488 Million of the Group include freehold land, that are reflected at fair value amounting to LKR 3,230 million. During the year, the fair value of land was determined by an external valuer engaged by the Group that resulted in recognizing a revaluation surplus of LKR 746 million. The related accounting policies are given in Notes 2.8.13, 4 and 10.2. Fair value of land was a key audit matter due to the significant measurement uncertainty of fair value, given the prevailing economic conditions and absence of adequate representative market-based transactions which necessitated the use of estimated per perch market values of land by the external valuer.	Our audit procedures included amongst others the following: • We assessed the competency, capability and objectivity of the external valuer engaged by the Group to determine the fair value of land • We read the external valuer's report and understood the key estimates made and the approach taken by the valuer in determining the fair value. • We assessed the reasonableness of the significant estimates made by the valuer such as per perch price used by the valuer in the assessment of fair value of each land of the Group and compared the same with relevant available data. • We have also assessed the adequacy of the disclosures made in notes 2.7(b) and 4.4 to the financial statements relating to the significant judgements and estimates used by the external valuer and their sensitivities.
Compliance with covenants related to Interest bearing loans and borrowings. As disclosed in note 11 and 23.2, the Group has total interest-bearing loans and borrowings amounting to Rs. 6,067 Mn, of which LKR 1,923 million is payable within the next twelve months (current liabilities), while the balance LKR 4,144 million is reported as payable thereafter (non-current liabilities). These interest bearing loans and borrowings contain many covenants. Accordingly, we selected compliance with covenants as a key audit matter due to: • The amount of the interest-bearing loans borrowings and its significance to the overall financial statements; and • Existence of many financial and non-financial covenants, the compliance to which could impact the current, non-current classification of the loans.	Our audit procedures included amongst others the following: • We obtained an understanding of the covenants related to the interest bearing loans and borrowings of the Group by perusing the loan agreements. • We assessed the design and operating effectiveness of internal controls implemented for timely reporting and monitoring of covenant compliances in relation to interest bearing loans and borrowings. • We also assessed the adequacy of the disclosures made in Note 11 and 23.2 to the Financial Statements relating to the interest-bearing loans and borrowings and liquidity risk aspects.

Independent Auditor's Report Cont.



Key audit matter

Management's assessment of carrying values of Property, Plant and Equipment and Right of Use Assets.

As at 31 March 2022, the Group's Property, Plant and Equipment amounted to LKR 9,488 million while Right of Use Assets amounted to LKR 58.4 million. The related accounting policies are given in Notes 2.8.13, 2.8.15 and 2.8.8.

As a result of current economic circumstances experienced, the management carried out an impairment assessment of the Group's non-current assets used to generate cash flows, considering each respective hotel.

We selected management's assessment of the impact of current economic conditions on the carrying values of Property, Plant and Equipment and Right of Use Assets as a key audit matter, due to the management judgments used therein, and significant estimation uncertainty in the determination of the estimated future discounted cash flows.

The key judgements and assumptions used included: the management expected period of time for recovery; anticipated occupancy; average room rates which were assessed together using multiple future economic scenarios; that are disclosed in Note 2.7 (a) and estimates of per perch market values of land as given in Note 4.4.

How our audit addressed the key audit matter

Our audit procedures included the following

- We gained an understanding of how management has developed its estimation of future discounted cash flows which included consideration of the current economic conditions on the business of the respective hotels of the Group.
- We assessed the reasonableness of significant assumptions used such as expected period of time for recovery, anticipated occupancy and average room rates by comparing them with other entities and relevant industry data available.
- We discussed with the external valuer and those charged with governance, the rationale for the estimates of per perch market values of land and compared the same with relevant available data.
- We checked the calculations of the future discounted cash flows and traced the data to underlying accounting records, to evaluate their reasonableness.
- We assessed the adequacy of the disclosures made in Notes 2.7 (a) and 4.4 in the financial statements.

Other Information included in the 2022 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Independent Auditor's Report Cont.



Responsibilities of the management and those charged with governance

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company and the Group.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

Independent Auditor's Report Cont.



We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2199.

A handwritten signature in black ink, appearing to read 'Eunice + Jeyaraj', is written over a horizontal line.

30 May 2022
Colombo

The award-winning architecture of Jetwing Surf, comprising an elegant design founded in sustainability and constructed using responsibly sourced material.



Statement of Financial Position

As at 31 March

As at 31 March

		Group		Company	
	Note	2022 LKR	2021 LKR	2022 LKR	2021 LKR
ASSETS					
Non-Current Assets					
Property, Plant and Equipment	4	9,488,289,723	9,040,569,349	-	-
Right of use Assets	5	58,407,113	72,344,180	-	-
Other Investments	7	1,021,532	935,826	-	-
Investment in Subsidiaries	7	-	-	5,469,233,010	5,469,233,010
Deferred Tax Assets	18	49,870,404	15,806,068	-	-
Intangible Assets	6	578,207,344	581,435,548	-	-
		10,175,796,116	9,711,090,971	5,469,233,010	5,469,233,010
Current Assets					
Inventories	8	60,607,644	42,177,236	-	-
Trade and Other Receivables	9	194,146,836	81,360,033	5,404,363	6,796,441
Income Tax Receivables		947,234	949,268	-	-
Other Current Financial Assets	7	134,707,406	60,043,117	-	-
Cash at Bank and in Hand	16	70,735,959	36,924,272	466,961	415,330
		461,145,079	221,453,926	5,871,324	7,211,771
Total Assets		10,636,941,195	9,932,544,897	5,475,104,334	5,476,444,781
EQUITY AND LIABILITIES					
Equity Attributable to Equity holders of the Parent					
Stated Capital	10.1	5,509,276,455	5,509,276,455	5,509,276,455	5,509,276,455
Revaluation Reserve	10.2	1,646,344,473	1,004,852,066	-	-
Retained Earnings/(Losses)		(3,274,440,523)	(2,394,832,248)	(37,375,878)	(35,292,502)
		3,881,180,405	4,119,296,273	5,471,900,577	5,473,983,953
Non Controlling Interest		(5,039,426)	4,831,049	-	-
Total Equity		3,876,140,979	4,124,127,322	5,471,900,577	5,473,983,953
Non-Current Liabilities					
Interest Bearing Loans and Borrowings	11	4,143,688,384	3,530,767,859	-	-
Post Employment Benefit Liabilities	12	36,017,677	51,049,808	-	-
Deferred Tax Liabilities	18	370,286,589	251,636,792	-	-
		4,549,992,650	3,833,454,459	-	-
Current Liabilities					
Current Portion of Interest Bearing Loans and Borrowings	11	1,922,996,818	1,773,940,799	-	-
Trade and Other Payables	13	287,715,302	201,001,606	3,169,216	2,440,189
Income Tax Payable		95,446	20,711	34,541	20,639
		2,210,807,566	1,974,963,116	3,203,757	2,460,828
Total Equity and Liability		10,636,941,195	9,932,544,897	5,475,104,334	5,476,444,781

I certify that these Financial Statements are in compliance with the requirements of the Companies Act No 07 of 2007.



C. S. R. S. Anthony
Director - Jetwing Hotels Ltd, Managing Agents

The Board of Directors is responsible for these Financial Statements. Signed for and on behalf of the Board by:



N.J.H.M. Cooray
Chairman



N.T.M.S. Cooray
Director

The Accounting Policies and Notes on pages 61 through 104 form an integral part of the Financial Statements.
30 May 2022

Statement of Profit or Loss

Year ended 31 March

	Note	Group		Company	
		2022 LKR	2021 LKR	2022 LKR	2021 LKR
Revenue	3	1,288,039,618	556,855,664	-	-
Cost of Sales		(289,842,871)	(174,280,818)	-	-
Gross Profit		998,196,747	382,574,846	-	-
Other Income	15	49,251,081	6,737,249	-	-
Administrative Expenses		(639,687,170)	(484,777,985)	(2,349,851)	(2,366,178)
Marketing & Promotional Expenses		(29,245,913)	(7,405,504)	-	-
Profit from operations before the following items		378,514,745	(102,871,394)	(2,349,851)	(2,366,178)
Depreciation & Amortisation		(343,294,720)	(347,610,356)	-	-
Finance Income	14.1	4,397,059	1,941,613	435,195	532,346
Finance Costs	14.2	(321,764,656)	(317,761,129)	-	(4,397)
Exchange Gain/(Loss) on Foreign Currency Loan Conversion	11.3	(630,271,348)	(62,202,616)	-	-
Profit/(Loss) Before Tax	17	(912,418,920)	(828,503,882)	(1,914,656)	(1,838,229)
Income Tax (Expenses)/Reversal	18	16,386,483	(1,586,096)	(168,720)	(127,763)
Profit/(Loss) for the Year		(896,032,437)	(830,089,978)	(2,083,376)	(1,965,992)
Attributable to:					
Equity holders of the parent		(886,028,541)	(820,623,607)		
Non controlling interests		(10,003,896)	(9,466,371)		
		(896,032,437)	(830,089,978)		
Earnings/(Loss) Per Share - Basic	19	(1.764)	(1.634)	(0.004)	(0.004)

The accounting policies and notes on pages 61 through 104 form an integral part of the Financial Statements.

Statement of Comprehensive Income

Year ended 31 March

	Note	Group		Company	
		2022 LKR	2021 LKR	2022 LKR	2021 LKR
Profit/(Loss) for the Year		(896,032,437)	(830,089,978)	(2,083,376)	(1,965,992)
Other Comprehensive Income					
Other comprehensive income not to be reclassified to Statement of Profit or Loss in subsequent period					
Actuarial Gains/ (Losses) on Post Employment Benefit Liability	12.1	7,620,566	1,834,995	-	-
Deferred Tax on Actuarial (gain)/ loss	18.2	(1,066,879)	(256,899)	-	-
Revaluation Surplus of Freehold Land	10.2	746,017,150	12,332,850	-	-
Deferred Tax on Revaluation Surplus	18.2	(104,524,743)	(1,726,599)	-	-
Other Comprehensive Income/(Loss) for the Year		648,046,094	12,184,347	-	-
Total Comprehensive Income/(Loss) for the Year		(247,986,343)	(817,905,631)	(2,083,376)	(1,965,992)
Attributable to:					
Equity Holders of the Parent		(238,115,868)	(808,428,076)		
Non Controlling Interests		(9,870,475)	(9,477,555)		
		(247,986,343)	(817,905,631)		

The accounting policies and notes on pages 61 through 104 form an integral part of the Financial Statements.

Statement of Changes in Equity

Group	Attributable to Equity Holders of Parent					
	Stated Capital (Note 10.1)	Revaluation Reserve (Note 10.2)	Retained Earnings	Total	Non- controlling Interest	Total
	LKR	LKR	LKR	LKR	LKR	LKR
Balance as at 1 April 2020	5,509,276,455	994,245,815	(1,575,797,921)	4,927,724,349	14,308,604	4,942,032,953
Profit/(Loss) for the Year	-	-	(820,623,607)	(820,623,607)	(9,466,371)	(830,089,978)
Other Comprehensive Income/(Loss) for the year	-	10,606,251	1,589,280	12,195,531	(11,184)	12,184,347
Total Comprehensive Income/(Loss) for the year	-	10,606,251	(819,034,327)	(808,428,076)	(9,477,555)	(817,905,631)
Balance as at 31 March 2021	5,509,276,455	1,004,852,066	(2,394,832,248)	4,119,296,273	4,831,049	4,124,127,322
Profit/(Loss) for the Year	-	-	(886,028,541)	(886,028,541)	(10,003,896)	(896,032,437)
Other Comprehensive Income/(Loss) for the year	-	641,492,407	6,420,266	647,912,673	133,421	648,046,094
Total Comprehensive Income/(Loss) for the year	-	641,492,407	(879,608,275)	(238,115,868)	(9,870,475)	(247,986,343)
Balance as at 31 March 2022	5,509,276,455	1,646,344,473	(3,274,440,523)	3,881,180,405	(5,039,426)	3,876,140,979

Company	Stated Capital	Retained Earnings	Total
	LKR	LKR	LKR
Balance as at 1 April 2020	5,509,276,455	(33,326,510)	5,475,949,945
Profit/(Loss) for the Year	-	(1,965,992)	(1,965,992)
Other Comprehensive Income/(Loss) for the year	-	-	-
Total Comprehensive Income/(Loss) for the year	-	(1,965,992)	(1,965,992)
Balance as at 31 March 2021	5,509,276,455	(35,292,502)	5,473,983,953
Profit/(Loss) for the Year	-	(2,083,376)	(2,083,376)
Other Comprehensive Income/(Loss) for the year	-	-	-
Total Comprehensive Income/(Loss) for the year	-	(2,083,376)	(2,083,376)
Balance as at 31 March 2022	5,509,276,455	(37,375,878)	5,471,900,577

The accounting policies and notes on pages 61 through 104 form an integral part of the Financial Statements.

Statement of Cash Flows

Year ended 31 March

	Note	Group		Company	
		2022 LKR	2021 LKR	2022 LKR	2021 LKR
Cash Flows From /(Used in) Operating Activities					
Profit/(Loss) before Tax		(912,418,920)	(828,503,882)	(1,914,656)	(1,838,229)
Adjustments for :					
Interest Received	14.1	(4,397,059)	(1,941,613)	(435,195)	(532,346)
Depreciation & Amortization	17	343,294,720	347,610,355	-	-
Finance Costs	14.2	321,764,656	317,761,129	-	4,397
(Profit)/Loss on Disposal Property, Plant and Equipment	17	1,042,386	(763,676)	-	-
(Profit)/Loss on Disposal of Right of use Assets	17	2,092,664	-	-	-
Impairment of Intangible Assets	6	6,539,076	-	-	-
Capital Gain on Sale of Investments	15	(54,920)	(40,845)	-	-
Exchange (Gain)/Loss on Foreign Currency Loan Conversion	11.3	630,271,348	62,202,616	-	-
Exchange (Gain)/Loss on Foreign Currency Deposits	15	(43,736,672)	(3,784,876)	-	-
Fair value (Gain)/Loss from other investments	15	(85,706)	(122,772)	-	-
Provision for Defined Benefit Obligation	12.1	10,539,905	11,858,799	-	-
Operating Profit / (Loss) before Working Capital Changes		354,851,478	(95,724,765)	(2,349,851)	(2,366,178)
(Increase) / Decrease in Inventories		(18,430,408)	11,952,019	-	-
(Increase) / Decrease in Trade and Other Receivables		(116,326,509)	100,925,740	(207,922)	20,478
Increase / (Decrease) in Trade and Other Payables		86,713,696	(118,473,610)	729,027	665,123
Cash Generated from/ (Used in) Operations		306,808,257	(101,320,616)	(1,828,746)	(1,680,577)
Finance Costs Paid		(95,549,955)	(96,911,455)	-	(4,397)
Income Tax Paid		(1,003,200)	(390,198)	(154,818)	(180,230)
Defined Benefit Plan Cost Paid Net of Transfers	12	(17,951,470)	(898,951)	-	-
Net Cash Flows From/(Used in) Operating Activities		192,303,632	(199,521,220)	(1,983,564)	(1,865,204)
Cash Flows From/(Used in) Investing Activities					
Acquisition of Property, Plant and Equipment	4.6	(40,063,705)	(29,211,626)	-	-
Acquisition of Intangible Assets	6.1	(4,019,538)	-	-	-
Proceeds from Sale of Property, Plant and Equipment		72,121	1,817,237	-	-
Proceeds from Sale of Right of use Assets		6,504,323	-	-	-
Proceeds from Redemption of Units		-	500,000	-	-
Investment (made)/redeem in Fixed Deposits	7.3.1	(30,872,696)	(55,517,396)	-	-
Investment in Unit Trust		-	(1,200,000)	-	-
Short Term Loans Settled		-	-	1,600,000	1,000,000
Interest Received	14.1	4,397,059	1,941,613	435,195	532,346
Net Cash Flows (Used in) Investing Activities		(63,982,436)	(81,670,172)	2,035,195	1,532,346
Cash Flows From Financing Activities					
Repayment of principal portion of lease liabilities	11.2	(10,475,728)	(3,988,872)	-	-
Proceeds from Bank Loans	11.3	46,000,000	191,639,313	-	-
Repayment of Bank Loans	11.3	(121,432,628)	(42,499,400)	-	-
Net Cash Flows From/ (Used in) Financing Activities		(85,908,356)	145,151,041	-	-
Net Increase / (Decrease) in Cash and Cash Equivalents		42,412,840	(136,040,351)	51,631	(332,858)
Cash and Cash Equivalents at the beginning of the Year	16	(1,186,257,080)	(1,050,216,729)	415,330	748,188
Cash and Cash Equivalents at the end of the Year	16	(1,143,844,240)	(1,186,257,080)	466,961	415,330

The accounting policies and notes on pages 61 through 104 form an integral part of the Financial Statements.

Notes to the Financial Statements

1. CORPORATE INFORMATION

1.1 General

Jetwing Symphony PLC, formerly Jetwing Symphony Limited (“the Company”), is a limited liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The registered office of the Company and principal place of business is located at 46/26, Nawam Mawatha, Colombo 02.

1.2 Principal Activities and Nature of Operations

Jetwing Symphony PLC is the holding company that owns, directly and indirectly, investments in a number of subsidiary companies which are involved in hospitality business.

The names of companies within the Group, all of which are incorporated in Sri Lanka, are shown in the Note 7.2.

1.3 Parent Entity and Ultimate Parent Entity

The Company does not have an identifiable parent on its own.

1.4 Date of Authorization for Issue

The Financial Statements of Jetwing Symphony PLC and its Subsidiaries for the year ended 31 March 2022 were authorized for issue by the Board of directors on 30 May 2022.

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The financial statements of Jetwing Symphony PLC (“the Company”) and the consolidated financial statements of the Company and its subsidiaries (“the Group”), comprise the statement of financial position as at 31 March 2022 and the statement of profit or loss, statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

The financial statements of the Company and the Consolidated Financial Statements of the Group have been prepared in accordance with the Sri Lanka Accounting Standards (SLFRSs and LKASs) as issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka), and in compliance with the requirements of Companies Act No. 7 of 2007.

2.2 Basis of measurement

The Financial Statements of the Company and the Group have been prepared on a historical cost basis except for:

- Freehold Land measured at fair value
- Financial assets classified as fair value through other comprehensive income (FVOCI). Financial assets measured at fair value through Profit or Loss
- The liability for Defined Benefit Obligations are actuarially valued and recognized at the present value.

2.3 Going Concern

In determining the basis of preparing the financial statements for the year ended 31 March 2022, based on available information, the management has assessed the impact of existing economic circumstances on the Group companies and the appropriateness of the use of the going concern basis. The Group evaluated the resilience of its businesses considering a wide range of factors under multiple scenarios, relating to expected revenue, cost management, profitability, ability to defer non-essential capital expenditure, debt repayment reschedulements, and the amount of undrawn borrowing facilities, and potential sources of financing facilities.

Notes to the Financial Statements Contd.

Having evaluated each company of Jetwing Symphony Group, and after due consideration of the range and likelihood of outcomes, the Directors are satisfied that the Company and its subsidiaries have adequate resources to continue in operational existence for the foreseeable future and continue to adopt the going concern basis in preparing and presenting these consolidated financial statements. Further information is provided in Note 2.7 a) below.

2.4 Changes in accounting policies

The accounting policies adopted by the Group are consistent with those of the previous financial year

2.5 Comparative Information

The presentation and classification of the financial statements of the previous year has been amended, where relevant for better presentation and to be comparable with those of the current year.

2.6 Basis of Consolidation

The Consolidated Financial Statements of Jetwing Symphony PLC and its subsidiaries (referred to as the 'Group') comprise the Financial Statements of the Group as at 31 March 2022.

Subsidiaries are disclosed in note 7.2 to the Financial Statements.

Control over an investee is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns.

When the Group has less than a majority of the voting or similar rights of an investee; the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangements; and
- The Group's voting rights and potential voting rights.

The Group re-assesses whether or not it controls an investee, if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the Consolidated Financial Statements from the date the Group gains control until the date the Group ceases to control the subsidiary. Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the parent of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance.

The Financial Statements of the subsidiaries are prepared for the same reporting period as the parent Company, using consistent accounting policies. All intra-group balances, transactions, unrealised gains and losses resulting from intra-group transactions and dividends are eliminated in full.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

If the Group loses control over a subsidiary, it derecognises the related assets (including goodwill), liabilities, non-controlling interest and other components of equity while any resultant gain or loss is recognised in the Statement of Profit or Loss. Any investment retained is recognised at fair value.

Notes to the Financial Statements Contd.

The total profits and losses for the year of the Company and of its subsidiaries included in consolidation are shown in the Consolidated Statement of Profit or Loss and Consolidated Statement of other Comprehensive Income and all assets and liabilities of the Company and of its subsidiaries included in consolidation are shown in the Consolidated Statement of Financial Position. Non-controlling interest which represents the portion of profit or loss and net assets not held by the Group, are shown as a component of profit for the year in the Consolidated Statement of Profit or Loss and Statement of other Comprehensive Income and as a component of equity in the Consolidated Statement of Financial Position, separately from equity attributable to the shareholders of the parent. The Consolidated Statement of Cash Flows includes the cash flows of the Company and its Subsidiaries.

2.7 SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of the Consolidated Financial Statements in conformity with Sri Lanka Accounting Standards requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Judgements and estimates are based on historical experience and other factors, including expectations that are believed to be reasonable under the circumstances. Hence actual experience and results may differ from these judgements and estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised if the revision affects only that period and any future periods.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements is included in the following notes.

a. Impact of Going Concern on the Group

In determining the basis of preparing the financial statements for the year ended 31 March 2022, based on available information, the management has assessed the existing and anticipated effects of current economic situation on the Group. The Group evaluated the resilience of its business considering a wide range of factors under multiple circumstances.

The key assumptions used in this assessment and their sensitivities are as follows.

Key assumption	Details	Stress condition and sensitivity	Indication of adequacy of funding available if the assumed stress condition occurs*
Revenue (LKR)	April 2022 through March 2023 - at progressively increasing occupancy between 11% to 85%	Decrease of Revenue by 15% from April 2022 to March 2023 will deplete undrawn borrowing facilities by LKR 331 million	Adequate
		Decrease of Revenue by 50% from July 2022 to September 2022 will deplete undrawn borrowing facilities by LKR 310 million	Adequate
Anticipated cost management measures	Assumed to take place up to 12 months from the reporting date	Reduction of favourable results of cost management measures by 10% will deplete undrawn borrowing facilities by LKR 168 million	Adequate

Notes to the Financial Statements Contd.

*Above indication of adequacy of funding available is assessed with the stated stress factor assumed to take place exclusively without any bearing on other key assumptions simultaneously.

There is a considerable degree of judgement involved in making the above assessment. The underlying assumptions are also subject to uncertainties which are often outside the control of the Group. Accordingly, actual economic conditions are likely to be different from those forecast since anticipated events frequently do not occur as expected, and the effect of those differences may significantly impact accounting judgements and estimates included in these financial statements.

b. Revaluation of Freehold Land

The Freehold Land of the Group is reflected at fair value. Freehold Land is valued by reference to market based evidence, using comparable prices adjusted for specific market factors such as nature, location and condition of Freehold Land, with the assistance of an independent professional valuer. Valuations are performed frequently enough to ensure that the fair value of a revalued land does not differ materially from its carrying amount. To determine the frequency of valuations, the management uses its judgement supported by the advice of an independent professional valuer.

Further information including key inputs used in the valuation of the land of the Group and sensitivity analysis are provided in Note 4.

c. Components of Buildings:

In determining the depreciation expense, the Group with the assistance of an independent professional valuer determined the components of buildings that have varying useful lives. Approximation techniques and appropriate groupings were used in such determination as well as in the assessment of the useful lives of each component. Further information is given in Note 4.

d. Goodwill Impairment.

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its value in use (VIU). The fair value less costs to sell calculation is based on available data from an active market, in an arm's length transaction, of similar assets or observable market prices less incremental costs for disposing of the assets. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the forecast for the next five years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash inflows and the growth rate used for extrapolation purposes.

The key assumptions used in determining the recoverable amount, and their sensitivity are given in Note 6.2.1

e. Defined Benefit Plans:

The Defined Benefit Obligation and the related charge for the year are determined using actuarial valuations. The actuarial valuations involve making assumptions about discount rates, future salary increases, mortality rates etc. Due to the long term nature of such obligations these estimates are subject to significant uncertainty. Further information is given in Note 12.

f. Impairment of Trade Debtors:

The Group reviews at each reporting date all receivables to assess whether an allowance should be recorded in the statement of Profit or Loss. The Management uses judgement in estimating such amounts in the light of the duration of outstanding and any other factors management is aware of, that indicate uncertainty in recovery. Further information is given in Note 9.

Impairment of Non Financial Assets

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs and its value in use.

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The fair value less cost of disposal calculation is based on available data from binding sales transactions, conducted at arm's length, for similar assets or observable market prices less incremental costs of disposing of the asset. The value in use calculation is based on a DCF model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the performance of the assets of the CGU being tested.

The recoverable amount is sensitive to the discount rate used for the DCF model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes.

g. Assessment of recoverability of Deferred Tax Assets

Deferred tax assets are recognised for unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits, together with future tax planning strategies.

h. Incremental Borrowing rate

The Group recognised its lease liabilities in relation to leases and liabilities that were measured at the present value of the future lease payments, after discounting based on the lessee's incremental borrowing rate as of commencement date of the lease. The weighted average lessee's incremental borrowing rate applied to the lease liabilities on 31/03/2022 was 11%.

2.8 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The following are the significant accounting policies applied by the Group and Company in preparing its Financial Statements

2.8.1 Foreign Currency Translation

The Financial Statements are presented in Sri Lanka Rupees, which is the Group's functional and presentation currency. Transactions in foreign currencies are initially recorded at the functional currency rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency rate of exchange ruling at the reporting date. All differences are taken to profit or loss.

Non monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

Rate of exchange used for the conversion of monetary assets and liabilities as at 31st March 2022 were as follows;

1 USD : LKR 299 (2021 – 199.04)

1 EURO : LKR 334 (2021 - 233.09)

2.8.2 Business Combination and Goodwill

Business combinations are accounted for using the acquisition method of accounting. The cost of an acquisition is measured as the aggregate of the consideration transferred, measured at the acquisition date fair value and the amount of any non-controlling interest in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interest in the acquiree at fair value or at the proportionate share of the acquiree at the fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition related costs are expensed as incurred and included in administrative expenses.

If the business combination is achieved in stages, the previously held equity interest is re-measured at its acquisition date fair value and any resulting gain or loss is recognised in profit or loss.

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Any contingent consideration to be transferred by the acquirer will be recognised at fair value at the acquisition date. Contingent consideration classified as equity is not remeasured and its subsequent settlement is accounted for within equity. Contingent consideration classified as an asset or liability that is a financial instrument and within the scope of SLFRS 9 Financial Instruments, is measured at fair value with the changes in fair value recognised in the statement of profit or loss in accordance with SLFRS 9. Other contingent consideration that is not within the scope of SLFRS 9 is measured at fair value at each reporting date with changes in fair value recognised in profit or loss.

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognized for non-controlling interest over the net identifiable assets acquired and liabilities assumed. If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the gain is recognized in profit or loss.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash generating units that are expected to benefit from the combination transferred; the gain is recognised in profit or loss.

Where goodwill has been allocated to a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the cash-generating unit retained.

2.8.3 Revenue Recognition

2.8.3.1 Revenue from contracts with Customers

SLFRS 15 "Revenue from Contracts with Customers" outlines a single comprehensive model of accounting for revenue arising from contracts with customers and supersedes current revenue recognition guidance found across several Standards and Interpretations within SLFRS. It establishes a new five-step model that will apply to revenue arising from contracts with customers.

Step 1: Identify the contract(s) with a customer: A contract is defined as an agreement between two or more parties that create enforceable rights and obligations and sets out the criteria for each of those rights and obligations.

Step 2: Identify the performance obligations in the contract: A performance obligation in a contract is a promise to transfer a good or service to the customer that is distinct.

Step 3: Determine the transaction price: Transaction price is the amount of consideration to which the entity expects to be entitled to in exchange for transferring the promised goods and services to a customer, excluding amounts collected from third parties.

Step 4: Allocate the transaction price to the performance obligations in the contract: For a contract that has more than one performance obligation, the entity will allocate the transaction price to each performance obligation in an amount that depicts the consideration to which the entity expects to be entitled in exchange for satisfying each performance obligation.

Step 5: Recognise revenue when (or as) the entity satisfies a performance obligation.

Accordingly, the revenue from contract with customers of the group are accounted as follows.

a) Room Revenue

Revenue is recognized on the rooms occupied on daily basis and after completing all other obligation related to the Room.

b) Food & Beverage Revenue

Food & Beverage Revenue is accounted at the time of sale.

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c) Other Hotel Related Revenue

Other Hotel Related Revenue is accounted when such service is rendered.

2.8.3.2 Other income sources

(a) Dividend and interest income

Dividend income from investments is recognised when the Group's right to receive payment has been established. Interest income is accrued on a time basis with reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimates future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

(b) Others

Other income is recognised on an accrual basis.

Net gains and losses of a revenue nature on the disposal of Property, Plant & Equipment has been accounted for in the Statement of Profit or Loss, having deducted from proceeds on disposal, the carrying amount of the assets and related selling expenses.

Gains and losses arising from incidental activities to main revenue generating activities and those arising from a group of similar transactions which are not material, are aggregated, reported and presented on a net basis.

2.8.3.3 Contract liabilities

A contract liability is recognised when the customer pays consideration before the group recognises the related revenue. Refundable guest deposits are recognised as contract liabilities in the group's financial statements.

2.8.4 Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Initial Recognition and Subsequent Measurement

Financial assets are classified, at initial recognition, as subsequently measured at amortised cost, fair value through other comprehensive income (OCI), and fair value through profit or loss. The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them.

With the exception of trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient, the Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs. Trade receivables do not contain a significant financing component.

In order for a financial asset to be classified and measured at amortised cost or fair value through OCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level. The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both. Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

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Subsequent Measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortised cost (debt instruments)
- Financial assets at fair value through OCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at fair value through profit or loss

Financial Assets at Amortised Cost (Debt Instruments)

The Group measures financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows and;
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. Financial assets at amortised cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired.

The Group's financial assets at amortised cost includes cash and short-term deposits, trade and other receivables and other financial assets.

Financial Assets at Fair Value Through OCI (Debt Instruments)

Group measures debt instruments at fair value through OCI if both of the following conditions are met:

The financial asset is held within a business model with the objective of both holding to collect contractual cash flows and selling
And

The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

For debt instruments at fair value through OCI, interest income, foreign exchange revaluation and impairment losses or reversals are recognised in the statement of profit or loss and computed in the same manner as for financial assets measured at amortised cost. The remaining fair value changes are recognised in OCI.

Upon derecognition, the cumulative fair value change recognised in OCI is recycled to profit or loss.

Financial Assets Designated at Fair Value Through OCI (Equity Instruments)

Upon initial recognition, the Group can elect to classify irrevocably its equity investments as equity instruments designated at fair value through OCI when they meet the definition of equity under LKAS 32 Financial Instruments: Presentation and are not held for trading. The classification is determined on an instrument-by-instrument basis.

Gains and losses on these financial assets are never recycled to profit or loss. Dividends are recognised as other income in the statement of profit or loss when the right of payment has been established, except when the Group benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in OCI. Equity instruments designated at fair value through OCI are not subject to impairment assessment.

Financial Assets at Fair Value through Profit or Loss

Financial assets at fair value through profit or loss include financial assets held for trading, financial assets designated upon initial recognition at fair value through profit or loss, or financial assets mandatorily required to be measured at fair value. Financial assets

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are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Derivatives, including separated embedded derivatives, are also classified as held for trading unless they are designated as effective hedging instruments. Financial assets with cash flows that are not solely payments of principal and interest are classified and measured at fair value through profit or loss, irrespective of the business model. Notwithstanding the criteria for debt instruments to be classified at amortised cost or at fair value through OCI, as described above, debt instruments may be designated at fair value through profit or loss on initial recognition if doing so eliminates, or significantly reduces, an accounting mismatch.

Financial assets at fair value through profit or loss are carried in the statement of financial position at fair value with net changes in fair value recognised in the statement of profit or loss. This category includes short term investments which the Group had not irrevocably elected to classify at fair value through OCI. Income from these investments are also recognised as other income in the statement of profit or loss when the right of payment has been established.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised (i.e., removed from the Group's consolidated statement of financial position) when:

- The rights to receive cash flows from the asset have expired;

Or

- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Group has transferred substantially all the risks and rewards of the asset, or (b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

When the Group has transferred its rights to receive cash flows from an asset or has entered into a passthrough arrangement, it evaluates if, and to what extent, it has retained the risks and rewards of ownership.

When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group continues to recognise the transferred asset to the extent of its continuing involvement. In that case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

• Trade receivables

The Group recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate.

The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For trade receivables and contract assets, the Group applies a simplified approach in calculating ECLs.

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Therefore, the Group does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date.

The Group considers a financial asset in default when contractual payments are 365 days past due. However, in certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

Financial Liabilities

Initial Recognition and Measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss, loans and borrowings, payables, or as derivatives designated as hedging instruments in an effective hedge, as appropriate.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs. The Group's financial liabilities include trade and other payables, loans and borrowings including bank overdrafts.

Subsequent Measurement

The measurement of financial liabilities depends on their classification, as described below:

Loans and Borrowings (Financial liabilities at amortised cost)

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit or loss.

This category generally applies to interest-bearing loans and borrowings. For more information, refer to Note 11.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the statement of profit or loss.

Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability,

Or

- In the absence of a principal market, in the most advantageous market for the asset or liability the principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

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A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the Financial Statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the Financial Statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

2.8.5 Intangible Assets

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less accumulated amortisation and accumulated impairment losses, if any.

Internally generated intangible assets, except capitalised development costs, are not capitalised and expenditure is recognised in the Statement of profit or Loss when it is incurred.

Intangible assets with finite lives are amortised over their useful economic lives and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates.

The amortisation expense on intangible assets with finite lives is recognised in the Statement of Profit or Loss in the expense category consistent with the function of the intangible assets.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit or Loss when the asset is derecognised.

2.8.6 Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Group expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the Statement of Profit or Loss net of any reimbursement.

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2.8.7 Post Employment Benefit - Retirement Benefit Obligations

a) Defined Benefit Plan – Gratuity

The Group measures the present value of the promised retirement benefits of gratuity, which is a defined benefit plan with the advice of an independent professional actuary each year using the Projected Unit Credit method. Actuarial gains and losses are recognised in full in the period in which they occur in other comprehensive income.

This item is stated under Post Employee Benefit Liability in the Statement of Financial Position. The gratuity liability is not externally funded.

The Company and Group is liable to pay gratuity in terms of the Gratuity Act No.12 of 1983 Payment of Gratuity Act No. 12 of 1983

b) Defined Contribution Plans– Employees’ Provident Fund & Employees’ Trust Fund

Employees are eligible for Employees’ Provident Fund Contributions and Employees’ Trust Fund Contributions in line with the respective statutes and regulations. The Group contributes 12% and 3% of gross emoluments of employees to Employees’ Provident Fund and Employees’ Trust Fund respectively.

2.8.8 Impairment of Non Financial Assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Group makes an estimate of the asset’s recoverable amount. An asset’s recoverable amount is the higher of an asset’s or cash-generating unit’s fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

Impairment losses of continuing operations are recognised in the Statement of Profit or Loss in those expense categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to equity. In this case the impairment is also recognised in equity up to the amount of any previous revaluation.

For assets, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of the recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset’s recoverable amount since the last impairment loss was recognised. If that is the case the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Income Statement unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

The following criteria are also applied in assessing impairment of specific assets:

Goodwill

Goodwill is tested for impairment annually and when circumstances indicate that the carrying value maybe impaired:

Impairment is determined for goodwill by assessing the recoverable amount of each CGU (or group of CGUs) to which the goodwill relates. Where the recoverable amount of the cash-generating unit is less than their carrying amount, an impairment loss is recognized. Impairment losses relating to goodwill cannot be reversed in future periods.

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2.8.9 Taxation

(a) Current Income Taxes

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date. Companies which undertake promotion of tourism in Sri Lanka are liable to tax at the rate of 14% of taxable income. Accordingly, Jetwing Kaduruketha (Pvt) Ltd, Kaduruketha Farmers (Pvt) Ltd, The River Bank (Pvt) Ltd and Pottuvil Point (Pvt) Ltd are taxed at the rate of 14 % of taxable income. Other Income is taxed at the rate of (2020/21 - 24%). All other subsidiaries excluding those that enjoy tax holiday on mentioned below are taxed at 24%

The following companies enjoy Tax Holiday under the law of Board of Investment.

Yala Properties (Pvt) Ltd (Subsidiary of Yala safari Beach Hotel (Pvt) Ltd) has entered in to an agreement, dated 22 November 2011 with Board of Investment under section 17 of the Board of Investment Law. For the business of leisure travelers, Inland Revenue Act relating to the imposition, payment and recovery of income tax shall not apply for a period of seven years from the company commences to make profits or any year of assessment not later than two years reckoned from the date of commencement of commercial operations whichever year is earlier. Accordingly, the company enjoys a tax holiday up to the year of assessment 2021/22.

Cultural Heritage (Pvt) Ltd also entered in to an agreement with Board of Investment of Sri Lanka under section 17 of BOI Law No. 4 of 1978 on 3rd April 2014 to set up a hotel on the premises at Siyambalawewa Village, Dambulla. According to the said agreement the company shall be entitled for a tax exemption period of Ten (10) years in the terms of the Inland Revenue Act No. 10 of 2006 as amended. For the above purpose the year of assessment shall be reckoned from the year in which the company commences to make profits or any year of assessment not later than two (02) years reckoned from the date of commencement of commercial operations, which year is earlier. Accordingly the company enjoys a tax holiday up to the year of assessment 2027/28.

Jetwing City (Pvt) Ltd - Pursuant to the agreement dated 29th November 2012 entered into with Board of Investment under section 17 of the Board of Investment Law, income tax shall not apply for the a period of Ten (10) years from the year of assessment company commences to make profits or any year of assessment not later than two (2) years reckoned from the date of commencement of commercial operations whichever year is earlier. Accordingly the company enjoys a tax holiday up to the year of assessment 2027/28.

The provision for income tax is based on the elements of income and expenditure as reported in the Financial Statements and computed in accordance with the provisions of the relevant tax legislations.

(b) Sales Tax

Revenues, expenses and assets are recognised net of the amount of sales tax except where the sales tax incurred on a purchase of assets or service is not recoverable from the taxation authorities in which case the sales tax is recognised as a part of the cost of the asset or as a part of the expense items as applicable and receivables and payables are stated with the amount of sales tax included. The net amount of sales tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

(c) Deferred Taxation

Deferred income tax is provided, using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences except where the deferred income tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

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Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised except where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred income tax relating to items recognised directly in equity is recognised in equity and not in the statement of comprehensive income.

No deferred tax asset or liability has been recognised in the companies which are enjoying the Board of Investment (BOI) Tax Holiday period, for assets and liabilities for which tax impacts and reversals take place within the tax exemption period.

2.8.10 Borrowing Costs

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the respective asset. All other borrowing costs are expensed in the period in which they occur. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds.

2.8.11 Inventories

Inventories are valued at the lower of cost and net realizable value, after making due allowances for obsolete and slow moving items. Net realizable value is the price at which inventories can be sold in the ordinary course of business less the estimated cost of completion and the estimated cost necessary to make the sale. The cost incurred in bringing inventories to its present location and condition is accounted using the weighted average cost formulae, for all inventories.

2.8.12 Cash and Cash Equivalents

Cash and cash equivalents are defined as cash in hand, demand deposits and short term highly liquid investments, readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of cash flow statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts. Investments with short maturities (i.e. three months or less from the date of acquisition) are also treated as cash equivalents.

2.8.13 Property, Plant and Equipment

Property, Plant and Equipment (except for land) is stated at cost, net of accumulated depreciation and accumulated impairment losses, if any. Such cost includes the cost of replacing parts of the Property, Plant and Equipment and borrowing costs for long-term construction projects if the recognition criteria are met. When significant parts of Property, Plant and Equipment are required to be replaced at intervals, the Group recognises such parts as individual assets with specific useful lives and depreciates them accordingly. Likewise, when a major refurbishment is performed, its cost is recognised in the carrying amount of the Property, Plant and Equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in the profit or loss as incurred.

Land is measured at fair value, less impairment losses recognised at the date of revaluation. Valuations are performed with sufficient frequency to ensure that the fair value of a revalued asset does not differ materially from its carrying amount.

Capital Work in Progress is stated at cost, net of accumulated impairment losses, if any.

Notes to the Financial Statements Contd.

A revaluation surplus is recognised in other comprehensive income and credited to the revaluation reserve in equity. However, to the extent that it reverses a revaluation deficit of the same asset previously recognised in the Statement of Profit or Loss, in which case the increase is recognised in the Statement of Profit or Loss. A revaluation deficit is recognised in profit or loss, except to the extent that it offsets an existing surplus on the same asset recognised in the asset revaluation reserve. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

An item of Property, Plant and Equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the Profit or Loss when the asset is derecognised.

Group provides depreciation from the date the assets are available for use up to the date of disposal, on a straight line basis over the periods appropriate to the estimated useful lives based on the pattern in which the asset's future economic benefits are expected to be consumed by the Group of the different types of assets, except for which are disclosed separately.

Depreciation of an asset ceases at the earlier of the date that the asset is classified as held for sale or the date that the asset is derecognized. Depreciation does not cease when the assets become idle or is retired from active use unless the asset is fully depreciated.

The useful life and residual value of assets are reviewed, and adjusted if required, at the end of each financial year.

2.8.14 Grants and Subsidies

Grants are recognised at their fair value where there is a reasonable assurance the grant / subsidy will be received and all attaching conditions, if any, will be complied with.

Government grants related to assets are presented in financial position by deducting the grant value from the carrying value of the asset. Accordingly government grant is recognised in profit or loss over the life of the depreciable asset as a reduced depreciation expense.

2.8.15 Leases

With effect from 1 April 2019, the Group applies this standard to contracts that were previously identified as leases applying LKAS 17 and IFRIC 4, without reassessing whether a contract contains a lease at the date of initial application as a practical expedient. For the contracts entered on or after the effective date of transition, the Group assesses at the inception of a contract, whether a contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration as per the guidelines of SLFRS 16. This assessment considers whether, throughout the period of use, the lessee has both the right to obtain all of the economic benefits from the use of the identified asset and the right to direct how and for what purpose the identified asset is used. After the assessment of whether a contract is, or contains, a lease, the Group determines whether it contains additional lease or non-lease (service) components based on the detailed guidance provided in SLFRS 16. Accordingly, the right to use of an identifying asset is a separate lease component if the lessee can benefit from the use of underlying asset either on its own or together with other resources readily available to the lessee and the underlying asset is neither highly dependent on, nor highly interrelated with, the other underlying assets in the contract.

Group as a lessee

As per SLFRS 16, when the Group has determined that a contract contains a lease component and one or more additional lease components or non-lease components, the consideration in the contract is allocated to each lease component on the basis of relative stand-alone price of the lease component and the aggregate stand-alone price of the non-lease components. At the commencement date, the Group recognises right-of-use of an asset and a lease liability which is measured at the present value of the lease payments that are payable on that date. Lease payments are discounted using the IBR. After initial recognition, the Group applies cost model for the right-of-use of an asset and depreciate the asset from commencement date to the end of the useful life of the underlying asset. Where the right does not transfer the ownership of the asset, the Group depreciates it from commencement date to the earlier of the end of the useful life of the right-of-use asset or end of the lease term. In addition, interest expense on the lease liability is recognised in the profit or loss.

Notes to the Financial Statements Contd.

2.8.16 Investments in Subsidiaries

Investments in subsidiaries in the financial statements of the parent are stated initially at cost and subsequently at cost less accumulated impairment losses if any. Carrying amount are subject to impairment as described in Note 2.8.8.

2.9 EFFECT OF SRI LANKA ACCOUNTING STANDARDS ISSUED BUT NOT YET EFFECTIVE:

The following Sri Lanka Accounting Standards and interpretations have been issued by the Institute of Chartered Accountants of Sri Lanka which are not yet effective as at 31st March 2022.

- SLFRS 17 Insurance Contracts
- Amendment to SLFRS 16 Leases: COVID – 19 related rent concessions
- Interest rate benchmark reform: Amendments to SLFRS 9, LKAS 39, SLFRS 4 & SLFRS 16 [Interest Rate Benchmark Reform – phase 1 and 2]

Since the amendments are effective for annual periods beginning on or after June 2020, the group will not be affected by these amendments as at the reporting date. Further, the amended standards and interpretations are not expected to have a significant impact on the group's Financial Statements.

3. REVENUE

3.1 Type of Services

The business activities of the Group are only organized as a single reportable segment, where the management of the hotels monitors the revenue per available room and average room rate as key performance indicators. Revenue consists of the following type and nature of services:

	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Room Revenue	704,045,281	200,570,039	-	-
Food and Beverage Revenue	499,528,413	331,379,864	-	-
Other Hotel Related Revenue	84,465,924	24,905,761	-	-
Total Revenue	1,288,039,618	556,855,664	-	-

Notes to the Financial Statements Contd.

4. PROPERTY, PLANT AND EQUIPMENT

4.1 Gross Carrying Amounts

Group	Balance As at 01.04.2021 LKR	Additions LKR	Revaluation LKR	Transfers In/(Out) LKR	Disposals LKR	Balance As at 31.03.2022 LKR
At Cost						
Building and Building Integrals	6,079,588,165	5,781,850	-	4,396,000	-	6,089,766,015
Plant & Equipment	321,981,807	8,152,207	-	561,317	(4,253,609)	326,441,722
Solar Electrical System	139,245,958	-	-	-	-	139,245,958
Sewage Treatment Plant	26,617,162	285,325	-	-	(137,820)	26,764,667
Kitchen Equipment	219,763,451	2,062,742	-	-	(551,972)	221,274,221
Electrical Equipment	193,712,293	1,565,941	-	-	(507,507)	194,770,727
Office Equipment	19,352,326	461,330	-	-	(299,500)	19,514,156
Sport Equipment	15,707,861	160,181	-	-	-	15,868,042
Furniture & Fittings	499,960,169	1,500,680	-	-	-	501,460,849
Swimming Pool Equipment	8,704,381	-	-	-	-	8,704,381
Motor Vehicles	86,979,142	-	-	-	(83,006)	86,896,136
Cutlery, Crockery & Glassware	24,800,942	2,194,875	-	-	-	26,995,817
Linen	31,320,622	6,093,698	-	-	(30,624)	37,383,696
Hot Water System	67,089,754	-	-	-	-	67,089,754
Laundry Equipment	40,711,079	-	-	-	-	40,711,079
Telephone System	20,161,041	48,906	-	-	(305,581)	19,904,366
Elevator	51,673,063	-	-	-	-	51,673,063
Television Systems	39,902,445	633,608	-	-	(280,693)	40,255,360
Maintenance Equipment	2,898,723	177,790	-	-	(61,273)	3,015,240
Furnishing, Bar, Room & Misc. Equipment	67,647,580	805,994	-	-	(148,439)	68,305,135
Computers	41,737,228	1,708,750	-	-	(782,960)	42,663,018
Motor Boats	4,450,274	-	-	-	-	4,450,274
Bicycles	1,120,151	-	-	-	-	1,120,151
Housekeeping Equipment	29,996,226	58,211	-	-	-	30,054,437
Generators	71,940,565	-	-	-	-	71,940,565
	8,107,062,408	31,692,088	-	4,957,317	(7,442,984)	8,136,268,829
At Fair Value						
Freehold Land	2,484,125,000	-	746,017,150	-	-	3,230,142,150
	2,484,125,000	-	746,017,150	-	-	3,230,142,150
In the Course of Construction						
Capital Work-in-Progress	10,726,753	8,371,617	-	(4,957,317)	-	14,141,053
	10,726,753	8,371,617	-	(4,957,317)	-	14,141,053
Total Gross Carrying Amount	10,601,914,161	40,063,705	746,017,150	-	(7,442,984)	11,380,552,032

Notes to the Financial Statements Contd.

4.2 Depreciation

Group	Balance As at 01.04.2021 LKR	Charge for the Year LKR	Disposals LKR	Balance As at 31.03.2022 LKR
At Cost				
Building and Building Integrals	664,865,982	146,410,481	-	811,276,463
Plant & Equipment	140,987,939	27,914,039	(3,838,473)	165,063,505
Solar Electrical System	38,354,050	8,262,332	-	46,616,382
Sewage Treatment Plant	4,817,596	1,331,860	(52,825)	6,096,631
Kitchen Equipment	96,264,569	22,045,947	(432,582)	117,877,934
Electrical Equipment	77,269,098	19,924,913	(372,912)	96,821,099
Office Equipment	8,421,546	1,881,394	(164,985)	10,137,955
Sport Equipment	8,030,840	1,624,305	-	9,655,145
Furniture & Fittings	231,340,597	49,777,767	-	281,118,364
Swimming Pool Equipment	3,673,331	756,704	-	4,430,035
Motor Vehicles	44,653,609	8,959,849	(55,398)	53,558,060
Cutlery, Crockery & Glassware	19,953,350	3,031,930	-	22,985,280
Linen	26,581,759	5,882,719	(19,203)	32,445,275
Hot Water System	28,227,833	6,056,708	-	34,284,541
Laundry Equipment	20,233,427	3,778,840	-	24,012,267
Telephone System	8,128,415	1,926,095	(243,702)	9,810,808
Elevator	10,714,027	2,582,661	-	13,296,688
Television Systems	16,752,801	4,688,025	(225,208)	21,215,618
Maintenance Equipment	805,991	285,755	(25,992)	1,065,754
Furnishing, Bar, Room & Misc. Equipment	41,330,622	7,171,244	(135,137)	48,366,729
Computers	31,622,455	4,468,900	(762,060)	35,329,295
Motor Boats	4,159,567	101,854	-	4,261,421
Bicycles	1,079,887	37,605	-	1,117,492
Housekeeping Equipment	9,381,957	2,990,045	-	12,372,002
Generators	23,693,564	5,354,002	-	29,047,566
Total Depreciation	1,561,344,812	337,245,974	(6,328,477)	1,892,262,309

Notes to the Financial Statements Contd.

4.3 Net Book Values

	2022 LKR	2021 LKR
At Cost		
Building and Building Integrals	5,278,489,552	5,414,722,183
Plant & Equipment	161,378,217	180,993,868
Solar Electrical System	92,629,576	100,891,908
Sewage Treatment Plant	20,668,036	21,799,566
Kitchen Equipment	103,396,287	123,498,882
Electrical Equipment	97,949,628	116,443,195
Office Equipment	9,376,201	10,930,780
Sport Equipment	6,212,897	7,677,021
Furniture & Fittings	220,342,485	268,619,572
Swimming Pool Equipment	4,274,346	5,031,050
Motor Vehicles	33,338,076	42,325,533
Cutlery, Crockery & Glassware	4,010,537	4,847,591
Linen	4,938,421	4,738,863
Hot Water System	32,805,213	38,861,921
Laundry Equipment	16,698,812	20,477,652
Telephone System	10,093,558	12,032,626
Elevator	38,376,375	40,959,036
Television Systems	19,039,742	23,149,643
Maintenance Equipment	1,949,486	2,092,733
Furnishing, Bar, Room & Misc. Equipment	19,938,406	26,316,957
Computers	7,333,723	10,114,773
Motor Boats	188,853	290,707
Bicycles	2,659	40,264
Housekeeping Equipment	17,682,435	20,614,271
Generators	42,892,999	48,247,001
	6,244,006,520	6,545,717,596
At Fair Value		
Freehold Land	3,230,142,150	2,484,125,000
	3,230,142,150	2,484,125,000
In the Course of Construction		
Capital Work-in-Progress	14,141,053	10,726,753
	14,141,053	10,726,753
	9,488,289,723	9,040,569,349

Notes to the Financial Statements Contd.

- 4.4 The freehold Lands have been revalued by Messrs. K. Arthur Perera & Company (Independent firm of valuers) on the basis of current market value. The details are tabulated below:

Company	Location	No of Perches	Estimated range of Market Values per Perch as at 31.03.2022 LKR	Carrying Amount as at 31.03.2022 LKR	Estimated range of Market Values per Perch as at 31.03.2021 LKR '000	Carrying Amount as at 31.03.2021 LKR '000
Pottuvil Point (Pvt) Ltd	Hidayapuram, Pottuvil	1,166	250,000	291,500	170,000	198,200
The Riverbank (Pvt) Ltd	Maligathenna, Kandy	545	140,000 to 225,000	102,225	125,000 to 190,000	88,000
Cultural Heritage (Pvt) Ltd	Dambulla	2,749	250,000 to 300,000	793,500	150,000 to 175,000	465,475
Uppuveli Beach (Pvt) Ltd	Sampalthevu, Trincomalee	2,242	135,000 to 175,000	337,997	110,000 to 137,500	275,500
Jetwing City (Pvt) Ltd	Ward Place, Colombo 07	70	22,000,000	1,536,920	19,000,000	1,327,350
Uppuveli Villas (Pvt) Ltd	Sampalthevu, Trincomalee	960	175,000	168,000	135,000	129,600

Valuation Process of the Group:

On a once in three year basis, the Group usually engages an external independent and qualified valuer to determine the fair value of land. When significant changes in fair values are expected between two valuations, that necessitates a more regular basis of valuation adopted, the Board based on its judgment as appropriately advised by the valuer, obtains a further valuation to ensure that the carrying amounts do not differ materially with fair values at the end of the reporting period. The last revaluation was carried out with an effective date of 31 March 2022.

Increase or decrease in estimated price per perch in isolation would result in a higher or lower fair value measurement. Accordingly, a change of 5% in the estimated price per perch will cause a LKR 161,507,108/- (2021 - LKR 124,206,250/-) change in the fair value of freehold land, directionally.

The following table analyses The non financial assets carried at fair value, by valuation method. The different levels have been defined in Note 24.1

	Fair Value measurement as at 31 March 2022			
	Level 01	Level 02	Level 03	Total
Freehold Land	-	-	3,230,142,150	3,230,142,150

- 4.5 The carrying amount of revalued land that would have been included in the financial statements had the asset been carried at cost is as follows.

	2022 LKR	2021 LKR
Class of Asset		
Freehold land	1,220,377,716	1,220,377,716

- 4.6 The Group acquired property plant and equipment to the aggregate value of LKR 40,063,705/- (2021 - LKR 29,211,626/-) during the financial year. Cash payments amounting to LKR 40,063,705/- (2021 - LKR 29,211,626/-) were made during the year for purchase of property plant and equipment.

Notes to the Financial Statements Contd.

4.7 During the year, bank loan interest expense amounting to LKR Nil/- (2021 - LKR Nil/-) that was incurred in connection with the borrowing of funds for the building construction has been capitalized as a part of the Building and Building Integrals.

4.8 The useful lives of the assets are estimated as follows:

	2022 Year	2021 Year
Building and Building Integrals	02-60	02-60
Plant and Equipment	10-20	10-20
Solar Electrical System	10-20	10-20
Sewage Treatment Plant	20	20
Kitchen Equipment	10	10
Electrical Equipment	10	10
Office Equipment	10	10
Sport Equipment	10	10
Furniture and Fittings	10	10
Swimming Pool Equipment	10	10
Motor Vehicles	5	5
Cutlery, Crockery and Glassware	3	3
Linen	2	2
Hot Water System	10	10
Laundry Equipment	13.33	13.33
Telephone System	10	10
Elevator	20	20
Television Systems	10	10
Maintenance Equipment	10	10
Furnishing, Bar, Room and Music Equipment	03-10	03-10
Computers	4	4
Motor Boat	5	5
Bicycles	5	5
Housekeeping Equipment	10	10
Generators	13.33	13.33

4.9 Components included in Building and Building Integrals and their useful lives are as follows:

	2022 Year	2021 Year
Building Structure	60	60
Roof, Railing and Ceiling work	15	15
Wood, Aluminium and Glass work	15	15
Bathroom Fittings	15	15
Manila Rope	10	10
Roof-Elluk	3	3
Cabana-Cadjan	2	2

4.10 Property, Plant and Equipment recognized above include fully depreciated assets having a gross carrying amount of LKR 137,152,468/- (2021 - LKR 105,627,239/-), that consisted of individually insignificant items.

Notes to the Financial Statements Contd.

5. RIGHT OF USE ASSETS

5.1 Set out below, are the carrying amounts of the right of use assets and the movements for the period ended 31 March 2022.

	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Year ended 31 March				
As at 1st April	72,344,180	88,297,350	-	-
Impact from remeasurement	-	(11,854,720)	-	-
Additions during the year-Non Cash	-	1,562,562	-	-
Additions during the year-Cash	-	-	-	-
Depreciation during the year	(5,340,080)	(5,661,012)	-	-
Disposals during the year	(8,596,987)	-	-	-
As at 31st March	58,407,113	72,344,180	-	-

5.2 Amounts recognised in the statement of financial position and income statement set out below, are the carrying amounts of the Group's right of use assets and the movements for the period ended 31 March 2022.

	Land (Note 5.2.1)	Building (Note 5.2.2)	Motor Vehicles (Note 5.2.3)	Total
As at 1st April	57,518,507	5,413,914	9,411,759	72,344,180
Additions during the year	-	-	-	-
Disposals during the year	-	-	(8,596,987)	(8,596,987)
Depreciation during the year	(2,963,704)	(1,561,604)	(814,772)	(5,340,080)
	54,554,803	3,852,310	-	58,407,113

5.2.1 Land leases have more than one lease agreement which have remaining lease periods between 49 years to 52 years. Leases include extension and termination options.

5.2.2 Building leases have a remaining lease period of two to five years from its initial recognition date

5.2.3 The estimated useful life of the right of use Motor Vehicle is 5 years.

Notes to the Financial Statements Contd.

6. INTANGIBLE ASSETS

6.1 Computer Software

Year ended 31 March Group	2022 LKR	2021 LKR
Cost		
As at beginning of the year	7,692,231	7,692,231
Incurred during the year	4,019,538	-
As at end of the year	11,711,769	7,692,231
Amortisation		
As at beginning of the year	6,574,224	5,480,353
Charged during the year	708,666	1,093,871
As at end of the year	7,282,890	6,574,224
Net Book Value		
As at beginning of the year	1,118,007	2,211,878
As at end of the year	4,428,879	1,118,007

Computer Software includes an Enterprise Resource Planning System consisting of an application software. The Group has determined the useful life of above the software as four (4) years and amortisation has been made on a straight line basis in the Statement of Profit or Loss.

6.2 Goodwill

Year ended 31 March	2022 LKR	2021 LKR
Balance at beginning of the Year	580,317,541	580,317,541
Impairment during year	(6,539,076)	-
Balance at end of the Year	573,778,465	580,317,541
Total Intangible Assets (Note 6.1 , 6.2)	578,207,344	581,435,548

6.2.1 Accounting judgements, estimates and assumptions

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its value in use (VIU). The fair value less costs to sell calculation is based on available data from an active market, in an arm's length transaction, of similar assets or observable market prices less incremental costs for disposing of the assets. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the forecast for the next five years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit (CGU) being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash inflows and the growth rate used for extrapolation purposes.

Notes to the Financial Statements Contd.

The key assumptions used in determining the recoverable amount, are as follows;

Occupancy, Average Room Rate and Growth

Occupancy, Average Room Rate and Growth have been forecasted on a reasonable basis by taking into account the past experience adjusted for future industry growth.

Gross Margins

The basis used to determine the value assigned to the forecasted gross margins, is the gross margins achieved in the year preceding the budgeted year adjusted for projected market conditions.

Cost Escalations

The basis used to determine the value assigned to the budgeted cost inflation is the inflation rate based on projected economic conditions.

Discount Rate

The discount rate used is the risk free pre-tax discount rate, adjusted by the addition of an appropriate risk premium. Cash flows beyond the five year period has been extrapolated based on an appropriate terminal growth rate.

Sensitivity to change in Key Assumptions:

The implication of the key assumption for the recoverable amount are discussed below:

A decrease in the occupancy and average room rate year on year separately by more than 4% to 42% & 5% to 50% respectively would result in impairment in goodwill. Further an increase of discount rate by 1% to 25% would also create a goodwill impairment.

7. OTHER INVESTMENTS

Summary

Year ended 31 March	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
a) Non- Current				
Investment in Equity Securities (Note 7.1)	1,021,532	935,826	-	-
Investment in Subsidiaries (Note 7.2)	-	-	5,469,233,010	5,469,233,010
	1,021,532	935,826	5,469,233,010	5,469,233,010
b) Current				
Investment in Fixed Deposits (Note 7.3)	133,911,640	59,302,272	-	-
Investment in Units (Note 7.4)	795,766	740,845	-	-
	134,707,406	60,043,117	-	-
7.1 Quoted Equity Securities -				
Fair value through Profit or Loss (FVTPL)				
Tangerine Beach Hotel PLC	1,021,532	935,826	-	-
Net Carrying Value of Investment in Equity Securities (Note 7.1.1)	1,021,532	935,826	-	-
7.1.1 Movement in FVTPL Financial instruments				
As at 1 April	935,826	813,054	-	-
Fair value gain/(loss) from equity investments	85,706	122,772	-	-
As at 31 March	1,021,532	935,826	-	-

Notes to the Financial Statements Contd.

7.2 Investment in Subsidiaries

Year ended 31 March 2022	Company		Company	
	Holding %	2022 LKR	Holding %	2021 LKR
Investments in Related Parties:				
7.2.1 Ordinary Shares				
Uppuveli Beach (Pvt) Ltd	100	200,100,000	100	200,100,000
Cultural Heritage (Pvt) Ltd	100	1,184,750,000	100	1,184,750,000
Yala Safari Beach Hotel (Pvt) Ltd	100	1,368,400,000	100	1,368,400,000
Jetwing City (Pvt) Ltd	100	1,695,853,600	100	1,695,853,600
Uppuveli Villas (Pvt) Ltd	100	78,000,000	100	78,000,000
The Riverbank (Pvt) Ltd	100	380,000,000	100	380,000,000
Pottuvil Point (Pvt) Ltd	100	288,600,000	100	288,600,000
Jetwing Kaduruketha (Pvt) Ltd	70	123,529,410	70	123,529,410
		5,319,233,010		5,319,233,010
	2022	2021	2022	2021
	No. of shares	No. of shares	LKR	LKR
7.2.2 Investments in Preference Shares:				
Jetwing Kaduruketha (Pvt) Ltd (Note 7.2.5)	15,000,000	15,000,000	150,000,000	150,000,000
			150,000,000	150,000,000
Total Investment in Subsidiaries			5,469,233,010	5,469,233,010

7.2.3 Yala Properties (Pvt) Ltd is a fully owned subsidiary of Yala Safari Beach Hotel (Pvt) Ltd, whose cost of investment is LKR 799,712,270/-. Kaduruketha Farmers (Pvt) Ltd is a 100% owned subsidiary of Jetwing Kaduruketha (Pvt) Ltd & cost of the investment is LKR 20/-.

7.2.4 All Subsidiaries are incorporated in Sri Lanka.

7.2.5 During the year 2017/18, Jetwing Symphony PLC (JSPLC) subscribed to fifteen Million fully paid non convertible, non cumulative and non- voting preference shares in Jetwing Kaduruketha (Pvt) Ltd at a consideration of LKR 10/- per share. JSPLC will be entitled to receive an annual non-cumulative preferential dividend (subject to meeting solvency test and compliance with requirements of applicable law) on each preference share, until the redemption of such preference share, at the rate of eighteen percent (18%) of the subscription price per annum. Further The preference shares are redeemable at the option of Jetwing Kaduruketha (Pvt) Ltd at the subscription price.

7.2.6 Partly owned subsidiaries

The Group has concluded that non-controlling interest is not material in aggregate and individually for disclosure purpose.

7.3 Debt Instruments - Amortised cost

7.3.1 Investment in Foreign Currency Fixed Deposits - USD

	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
As at 1 April	59,302,272	-	-	-
Additions During the year	30,872,696	55,517,396	-	-
Exchange (Gain)/Loss on Foreign Currency Deposits	43,736,672	3,784,876	-	-
As at 31 March	133,911,640	59,302,272	-	-

Notes to the Financial Statements Contd.

7.4 Financial Instruments - Fair value Through other comprehensive income

Year ended 31 March	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Investments in Units - Related Party	795,766	740,845	-	-
	795,766	740,845	-	-

8. INVENTORIES

	Group		Company	
Year ended 31 March	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Food Stock	19,767,352	8,973,466	-	-
Beverage Stock	19,885,996	14,276,061	-	-
General, Housekeeping & Maintenance Inventories	7,584,493	5,116,122	-	-
Other Inventories	13,369,803	13,811,587	-	-
	60,607,644	42,177,236	-	-

9. TRADE AND OTHER RECEIVABLES

	Group		Company	
Year ended 31 March	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Trade Debtors -Related Party (Note 9.1)	36,224,013	4,317,601	-	-
- Other	65,480,298	19,317,903	-	-
Less: Impairment of Trade Debtors (Note 9.1.1)	(4,453,210)	(5,901,882)	-	-
	97,251,101	17,733,622	-	-
Loans and Other Receivable - Related Party (Note 9.2)	282,500	232,848	5,033,880	6,535,276
- Other	15,213,804	5,791,202	370,483	-
	112,747,405	23,757,672	5,404,363	6,535,276
Prepayments	19,191,213	14,309,942	-	261,165
Statutory Receivables	62,208,218	43,292,419	-	-
	194,146,836	81,360,033	5,404,363	6,796,441

Trade Receivables are non interest bearing and are generally on terms of 30 days.

See Note 23.1 on credit risk of trade receivables, which discusses how the Group manages and measures credit quality of trade receivables that are neither past due nor impaired.

Notes to the Financial Statements Contd.

Year ended 31 March	Relationship	Group		Company	
		2022 LKR	2021 LKR	2022 LKR	2021 LKR
9.1 Trade Debtors - Related Parties					
Thirteen Development Lanka (Pvt) Ltd	Other Related Party	400,033	74,441	-	-
Jetwing Eco Holidays (Pvt) Ltd	Other Related Party	1,983,224	488,000	-	-
Jetwing Events (Pvt) Ltd	Other Related Party	55,924	384,322	-	-
Jetwing Hotels Ltd	Other Related Party	6,489,757	2,890,102	-	-
St.Andrews Hotel Pvt Ltd	Other Related Party	46,666	-	-	-
Jetwing Journeys (pvt) Ltd	Other Related Party	25,200	-	-	-
D.H.H.Lanka (Pvt) Ltd	Other Related Party	11,656	-	-	-
Yarl Hotel (Pvt) Ltd	Other Related Party	11,703	-	-	-
Blue Oceanic Beach Hotel (Pvt) Ltd	Other Related Party	38,380	-	-	-
Jetwing Hotel Management Services (Pvt) Ltd	Other Related Party	89,880	-	-	-
Seashells Hotel (Pvt) Ltd	Other Related Party	175,480	-	-	-
Sky 30 Restaurant Pvt Ltd	Other Related Party	1,021,295	-	-	-
The First Resort (Pvt) Ltd	Other Related Party	89,880	-	-	-
Go Vacation Lanka Co (Pvt) Ltd	Other Related Party	549,550	-	-	-
Total Holiday Options (Pvt) Ltd	Other Related Party	-	-	-	-
		10,988,628	3,836,865	-	-
Jetwing Travels (Pvt) Ltd	Significant Investor	25,235,385	480,736	-	-
		25,235,385	480,736	-	-
		36,224,013	4,317,601	-	-

Year ended 31 March	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
9.1.1 Allowance for Impairment of Trade Debtors				
Balance as at 1 April	5,901,882	1,633,868	-	-
Recognized during the year	54,196	4,354,362	-	-
Recovered during the year	(1,072,039)	(86,348)	-	-
Written off during the year	(430,829)	-	-	-
Balance as at 31 March	4,453,210	5,901,882	-	-

Year ended 31 March	Relationship	Group		Company	
		2022 LKR	2021 LKR	2022 LKR	2021 LKR
9.2 Loans and Other Receivables - Related Party					
Yala Properties (Pvt) Ltd	Subsidiary	-	-	5,033,880	6,535,276
		-	-	5,033,880	6,535,276
Jetwing Hotels Ltd	Other Related Party	242,500	210,800	-	-
Jet Enterprises (Pvt) Ltd	Other Related Party	-	22,048	-	-
		242,500	232,848	-	-
Blue Oceanic Beach Hotel (Pvt) Ltd	Significant Investor	40,000	-	-	-
		282,500	232,848	5,033,880	6,535,276

Notes to the Financial Statements Contd.

10. CAPITAL AND RESERVES

10.1 Stated Capital

Year ended 31 March	2022		2021	
	Number	LKR	Number	LKR
Balance at the Beginning of the year	502,188,559	5,509,276,455	502,188,559	5,509,276,455
Balance at the End of the year	502,188,559	5,509,276,455	502,188,559	5,509,276,455

10.2 Reserves

Year ended 31 March	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
On: Property Plant & Equipment				
As at 1 April	1,004,852,066	994,245,815	-	-
Effect of revaluation during the year (Note 4.1)	746,017,150	12,332,850	-	-
Deferred Tax on Revaluation of Land (Note 18.2)	(104,524,743)	(1,726,599)	-	-
As at 31 March	1,646,344,473	1,004,852,066	-	-

11. INTEREST BEARING LOANS & BORROWINGS

11.1 Group

Year ended 31 March	2022			2021		
	Current LKR	Non current LKR	Total LKR	Current LKR	Non current LKR	Total LKR
Leases (Note 11.2)	4,174,991	21,590,344	25,765,335	4,446,237	28,874,404	33,320,641
Long Term Loans (Note 11.3)	704,241,628	4,122,098,040	4,826,339,668	546,313,210	3,501,893,455	4,048,206,665
Bank Overdraft (Note 16.2)	1,214,580,199	-	1,214,580,199	1,223,181,352	-	1,223,181,352
	1,922,996,818	4,143,688,384	6,066,685,202	1,773,940,799	3,530,767,859	5,304,708,658

11.2 Leases

	Group	
	2022 LKR	2021 LKR
As at 1 April	33,320,641	42,985,380
Impact from remeasurement of lease liabilities	-	(11,854,720)
Additions During the year	-	1,562,562
Accretion of Interest	3,042,564	5,484,433
Repayment of principal portion of lease liabilities	(10,475,728)	(3,988,872)
Repayment of Interest portion of lease liabilities	(122,142)	(868,142)
As at 31 March	25,765,335	33,320,641

Notes to the Financial Statements Contd.

11.3 Long Term Loans

		Balance as at 01.04.2021 LKR	Accrued Interest LKR	Loans Obtained LKR	Repayment LKR	Exchange Difference LKR	Balance as at 31.03.2022 LKR
Commercial Bank of Ceylon PLC (LKR)	(a)	12,925,000	-	-	-	-	12,925,000
Commercial Bank of Ceylon PLC (LKR)	(b)	863,839,924	54,292,070	-	-	-	918,131,994
Commercial Bank of Ceylon PLC (LKR)	(c)	989,152,798	62,283,206	-	-	-	1,051,436,004
Nation Trust Bank PLC (USD)	(d)	57,106,576	2,164,197	-	(321,302)	29,484,554	88,434,025
Nation Trust Bank PLC (LKR)	(e)	102,167,305	6,702,968	-	-	-	108,870,273
Commercial Bank of Ceylon PLC (USD)	(f)	201,601,605	7,321,992	-	(1,867,401)	104,739,522	311,795,718
Commercial Bank of Ceylon PLC (USD)	(g)	917,008,925	35,745,111	-	(117,916,324)	473,095,317	1,307,933,029
Commercial Bank of Ceylon PLC (USD)	(h)	44,114,325	1,694,437	-	(430,209)	22,951,955	68,330,508
Commercial Bank of Ceylon PLC (LKR)	(i)	215,170,979	15,097,142	-	-	-	230,268,121
Commercial Bank of Ceylon PLC (LKR)	(j)	122,016,122	3,949,150	-	-	-	125,965,272
DFCC Bank PLC (LKR)	(k)	191,587,442	16,795,404	-	-	-	208,382,846
DFCC Bank PLC (LKR)	(l)	139,000,000	8,311,277	46,000,000	-	-	193,311,277
Commercial Bank of Ceylon PLC (LKR)		121,891,124	4,007,176	-	-	-	125,898,300
Commercial Bank of Ceylon PLC (LKR)	(m)	16,252,150	572,469	-	-	-	16,824,619
Nations Trust Bank PLC (LKR)	(n)	4,773,284	183,627	-	-	-	4,956,911
Commercial Bank of Ceylon PLC (LKR)	(o)	9,739,633	-	-	-	-	9,739,633
Hatton National Bank PLC-LKR	(p)	13,526,989	-	-	-	-	13,526,989
Hatton National Bank PLC-LKR	(q)	7,200,244	4,120,237	-	-	-	11,320,481
Commercial Bank of Ceylon PLC (LKR)	(r)	3,401,984	-	-	-	-	3,401,984
Commercial Bank of Ceylon PLC-LKR	(s)	10,930,256	33,518	-	-	-	10,963,774
DFCC Bank PLC (LKR)	(t)	4,800,000	20,302	-	(897,392)	-	3,922,910
	(u)	4,048,206,665	223,294,283	46,000,000	(121,432,628)	630,271,348	4,826,339,668

- 11.3.1** (a) Secured term loan of LKR 13 Mn repayable in 12 monthly installments after debt moratorium, commencing from July 2022 and interest of AWPLR+Premium
 (b) Secured term loan of LKR 918 Mn repayable in 50 monthly installments after debt moratorium, commencing from July 2022 and Interest at AWPLR+Premium
 (c) Secured term loan of LKR 1,051Mn repayable in 60 monthly installments after debt moratorium, commencing from July 2022 and 1month AWPLR +Premium.
 (d) Secured term loan of USD 0.3 Mn repayable in 60 monthly installments after debt moratorium, commencing from July 2022 and 3 months LIBOR +Premium.
 (e) Secured term loan of LKR 108.9 Mn repayable in 60 monthly installments after debt moratorium, commencing from July 2022 and 1 month APLR
 (f) Secured term loan of USD 1.04 Mn repayable in 59 monthly installments after debt moratorium, commencing from July 2022 and 1 month LIBOR+Premium
 (g) Secured term loan of USD 4.4 Mn repayable in 60 monthly installments after debt moratorium, commencing from July 2022 and 1month LIBOR + Premium
 (h) Secured term loan of USD 200,000 repayable in 84 monthly instalments after debt moratorium, commencing from July 2022 and 1 month LIBOR + premium
 (i) Secured term loan of LKR 230 Mn repayable in 84 monthly instalments after debt moratorium, commencing from July 2022 and interest of 1 month AWPLR+premium
 (j) Secured term loan of LKR 126 Mn repayable in 57 monthly instalments commencing from July 2022 and interest of AWPLR + Premium
 (k) Secured term loan of LKR 175 Mn repayable in 72 monthly instalments after debt moratorium, commencing from July 2022 and interest of 1 month AWPLR +Premium.
 (l) Secured term loan of LKR 185 Mn repayable in 72 monthly instalments commencing from December 2022 and interest of 1 month AWPLR +Premium.
 (m) Secured term loan of LKR 126 Mn repayable in 57 monthly instalments commencing from July 2022 and interest of AWPLR + Premium
 (n) Secured term loan of LKR 17 Mn repayable in 57 monthly instalments commencing from July 2022 and interest of AWPLR + Premium
 (o)Secured term loan of LKR 4.9 Mn repayable in 21 monthly installments after debt moratorium, commencing from July 2022 and interest of 4% per anum
 (p)Secured term loan of LKR 9.7 Mn repayable in 21 monthly installments after debt moratorium, commencing from July 2022 and Fixed interest Rate of 4% per annum
 (q)Secured moratoriums loan of LKR 13.5 Mn repayable in 21 monthly installments after debt moratorium, commencing from July 2022 and interest of 4% Per annum
 (r)Secured term loan of LKR 11.3 Mn repayable in One installment commencing from July 2022.
 (s)Secured Working capital loan facility of LKR 3.4 Mn repayable in 21 monthly instalments after debt moratorium, commencing from July 2022 and interest of 4.0% per annum.
 (t)Secured term loan of LKR 10.9 Mn repayable in 21 monthly installments after debt moratorium, commencing from July 2022 and Fixed interest Rate of 4% per annum
 (u)Secured term loan of LKR 3.9 Mn repayable in 10 monthly installments commencing from July 2022 and Fixed interest Rate of 4%

* The Government of Sri Lanka through the CBSL has introduced debt moratorium for interest and capital up to 30th June 2022.

Notes to the Financial Statements Contd.

12. POST EMPLOYEE BENEFIT LIABILITIES - GRATUITY

	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Balance as at 01 April	51,049,808	41,924,955	-	-
Charge for the year (Note 12.1)	2,919,339	10,023,804	-	-
Payments made during the year	(14,222,430)	(1,754,375)	-	-
Effects of transfers of staff among related parties during the year	(3,729,040)	855,424	-	-
Balance as at 31 March	36,017,677	51,049,808	-	-

12.1 Defined Benefit Plan Cost : Gratuity

	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Current Service Cost	6,870,071	7,666,305	-	-
Interest cost on Benefit Obligation	4,083,985	4,192,494	-	-
Past Service Cost	(414,151)	-	-	-
Cost recognized in the Statement of Profit or Loss	10,539,905	11,858,799	-	-
Actuarial (Gain)/Loss for the year recognized in Other Comprehensive Income	(7,620,566)	(1,834,995)	-	-
Balance as at 31 March	2,919,339	10,023,804	-	-

12.2 As at 31 March, the gratuity liability was actuarially valued by Messrs. K.A.Pandit, an independent firm of actuaries.

Principal Actuarial Assumptions

The principal financial assumptions underlying the valuation are as follows:

	2022	2021
Discount Rate	12%	8%
Salary Increase	10%	8%
Staff Turnover	5% at each age	5% at each age
Remaining Working Life	12-14 Years	14 Years

The principal demographic assumption underlying the valuation is the retirement age of 60 years, applied consistently for both years.

12.3 Sensitivity of Assumptions Employed in Actuarial Valuation

The following table demonstrates the sensitivity to a reasonable possible change in the most significant key assumptions employed with all other variables held constant in the employment benefit liability measurement, in respect of the year 2021/22. The sensitivity of the Income Statement and Statement of Financial Position are the effect of the assumed changes in discount rate and salary increase rate on the profit or loss and post employment benefit liability for the year.

Notes to the Financial Statements Contd.

Change in Assumptions	Effect on Total Comprehensive Income - (reduction)/increase in results LKR	Pro Forma Post Employee Benefit Liability LKR
+1% Change in Discount Rate	(2,953,770)	38,971,447
-1% Change in Discount Rate	3,435,696	32,581,981
+1% Change in rate of Salary Increase	3,469,146	32,548,531
-1% Change in rate of Salary Increase	(3,029,105)	39,046,782
+1% Change in rate of Staff turn over	467,411	35,550,266
-1% Change in rate of Staff turn over	(549,956)	36,567,633

12.4 Distribution of Post Employment Benefit Obligation Over Future Lifetime

The following table demonstrates distribution of future working lifetime of the Post Employment Benefit Obligation (Undiscounted) as at the reporting date.

	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Less than or equal 1 year	2,174,798	14,669,596	-	-
Over 1 year and less than or equal 5 years	10,156,980	12,489,392	-	-
Over 5 year and less than or equal 10 years	24,424,615	27,730,122	-	-
Total	36,756,393	54,889,110	-	-

12.5 Impact of the Increase in Retirement Age

The Retirement Benefit Plan of the Group and Company was amended due to the increase in retirement age enacted by the Minimum Retirement Age of Workers Act No. 28 of 2021. The following table demonstrates distribution of future working lifetime of the Post Employment Benefit Obligation (Undiscounted) as at the reporting date.

As on 17 Nov 2021, employees who have attained the age of	Retirement age
Less than 52 years	60 years
53 years	59 years
54 years	58 years
55 years	57 years

Notes to the Financial Statements Contd.

13. TRADE AND OTHER PAYABLES

Year ended 31 March	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Trade Payables	14,055,481	30,669,475	-	-
Other Payables - Related Parties (Note 13.1)	23,921,952	4,313,947	-	-
Other Payables - Others	112,972,119	60,121,931	-	-
Sundry Creditors including Accrued Expenses	47,779,626	44,039,094	3,169,216	2,440,189
	198,729,178	139,144,447	3,169,216	2,440,189
Statutory Payables	22,565,204	20,992,141	-	-
Guest Refundable deposits	66,420,920	40,865,018	-	-
	287,715,302	201,001,606	3,169,216	2,440,189

13.1 Other Payables - Related Parties

	Relationship	Group		Company	
		2022 LKR	2021 LKR	2022 LKR	2021 LKR
Ceccato Colombo Pvt Ltd	Other Related Party	291,578	-	-	-
Jetwing Hotels Ltd	Other Related Party	21,543,995	3,801,480	-	-
The Lighthouse Hotel PLC	Other Related Party	-	17,622	-	-
Jetwing Hotels Management Services (Pvt) Ltd	Other Related Party	1,132,151	-	-	-
The Royal Heritage Hotel (Pvt)Ltd	Other Related Party	6,620	-	-	-
Jet Enterprises (Pvt) Ltd	Other Related Party	362,849	433,485	-	-
Thirteen development Lanka (Pvt) ltd	Other Related Party	-	38,518	-	-
Villa Properties (Pvt) Ltd	Other Related Party	320,631	-	-	-
St. Andrews Hotel (Pvt) Ltd	Other Related Party	-	22,842	-	-
		23,657,824	4,313,947	-	-
Jetwing Travels (Pvt) Ltd	Significant Investor	179,160	-	-	-
Blue Oceanic Beach Hotel (Pvt) Ltd	Significant Investor	84,968	-	-	-
		264,128	-	-	-
		23,921,952	4,313,947	-	-

Notes to the Financial Statements Contd.

14. FINANCE COST & FINANCE INCOME

14.1 Finance Income

Year ended 31 March	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Interest Income	4,397,059	1,941,613	1,315	1,575
Interest Income-Related party	-	-	433,880	530,771
	4,397,059	1,941,613	435,195	532,346

14.2 Finance Cost

Year ended 31 March	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Interest on Overdraft	63,981,903	63,319,996	-	4,397
Lease Interest	3,453,403	5,484,433	-	-
Bank Loan Interest	254,329,350	248,956,700	-	-
	321,764,656	317,761,129	-	4,397

15. OTHER INCOME

Year ended 31 March	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Capital gain on sale of Units	54,920	40,845	-	-
Fair value gain/(loss) from equity investments	85,706	122,772	-	-
Gain/(loss) on disposal of property plant & equipments	-	763,676	-	-
Exchange Gain/(loss) on Foreign Currency Deposits	43,736,672	3,784,876	-	-
Profit on disposal of Right of use Assets	(2,092,664)	-	-	-
Vehicle Hire Income	149,930	187,292	-	-
Insurance claim Received	2,212,077	671,618	-	-
Solar Income	2,430,334	576,752	-	-
Miscellaneous Income	2,674,106	589,418	-	-
	49,251,081	6,737,249	-	-

Notes to the Financial Statements Contd.

16. CASH AND CASH EQUIVALENTS IN CASH FLOW STATEMENT

Components of Cash and Cash Equivalents

Year ended 31 March	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
16.1 Favourable Cash and Cash Equivalent Balances				
Cash at Bank and in Hand	70,735,959	36,924,272	466,961	415,330
	70,735,959	36,924,272	466,961	415,330
16.2 Unfavourable Cash & Cash Equivalent Balances				
Bank Overdrafts (Note 11.1)	(1,214,580,199)	(1,223,181,352)	-	-
Total Cash and Cash Equivalents for the Purpose of Cash Flow Statement	(1,143,844,240)	(1,186,257,080)	466,961	415,330

17. PROFIT STATED AFTER CHARGING / (CREDITING)

Year ended 31 March	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Employees benefits including the following	305,391,617	249,920,955	-	-
- Defined Benefits plan costs - Gratuity (included in employee benefits)	10,539,905	11,858,900	-	-
- Defined Contribution Plan Cost- EPF & ETF	30,457,620	25,982,593	-	-
Depreciation & Amortization	343,294,720	347,610,355	-	-
Donation	63,540	6,003	-	-
(Profit) /Loss on disposal of Property Plant & Equipment	1,042,386	(763,676)	-	-
(Profit) /Loss on disposal of Right of use Assets	2,092,664	-	-	-
Hotel Operation & Marketing fees - Related Party	67,339,445	16,416,202	-	-
Audit Fees and Expenses	1,426,080	1,186,523	215,163	198,277
Exchange (Gain) / Loss in Foreign Currency Loan	630,271,348	62,202,617	-	-
Exchange (Gain) / Loss in Foreign Currency Deposits	(43,736,672)	(3,784,876)	-	-

18. INCOME TAX EXPENSES

Current Income Tax

Year ended 31 March	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Income Tax Expenses for the Year (Note 18.1)	941,646	248,056	104,447	127,763
Under/(Over) Provision of current taxes in respect of prior years	138,323	-	64,273	-
Irrecoverable Economic Service Charge	3,539,707	9,123,909	-	-
Deferred Tax charge/(reversal) for the year	(21,006,159)	(7,785,869)	-	-
	(16,386,483)	1,586,096	168,720	127,763

Notes to the Financial Statements Contd.

18.1 Income Tax

The major components of income tax expense are as follows :

Year ended 31 March	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Profit /(Loss) Before Income Tax	(912,418,920)	(828,503,882)	(1,914,656)	(1,838,229)
Other Sources of Income	471,487	(1,092,157)	(435,195)	(532,346)
Aggregate disallowable Items	(112,494,999)	527,747,439	-	-
Aggregate Allowable Items	291,943,882	(718,782,694)	-	-
Business Losses	(732,498,550)	(1,020,631,294)	(2,349,851)	(2,370,575)
Business Profit	-	316,667	-	-
Other Sources of Income				
Statutory Income from Interest	4,166,205	1,508,974	435,195	532,346
Tax Losses Utilized	(73,394)	(475,408)	-	-
Taxable Income	4,092,811	1,033,566	435,195	532,346
Tax Rate	14% & 24%	14% & 24%	24%	24%
Income Tax Expenses for the Year	941,646	248,056	104,447	127,763

18.2 Deferred Tax Assets, Liabilities and Income Tax relates to the followings.

Deferred Tax Assets & Liabilities

Year ended 31 March	Group			
	Assets		Liabilities	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Balance at the beginning of the year	15,806,068	7,689,166	251,636,792	249,322,262
Charge /Release during the year	34,064,336	8,116,902	118,649,797	1,975,603
Balance at the end of the year	49,870,404	15,806,068	370,286,589	251,636,792

Closing deferred tax asset/liability relates to the following

Accelerated depreciation for tax purposes	(38,538,625)	(19,256,355)	23,193,028	33,932,364
Right of use assets	1,097,452	897,497	-	-
Tax Losses available for off-set against future taxable income	85,073,285	32,057,529	(13,522,217)	(36,151,215)
Employee benefit liability	2,238,292	2,107,397	(2,804,183)	(5,039,575)
Impact on Land Revaluation	-	-	363,419,961	258,895,218
	49,870,404	15,806,068	370,286,589	251,636,792

Notes to the Financial Statements Contd.

Deferred Tax Expense/(Reversal)	Group	
	2022 LKR	2021 LKR
Profit or Loss Statement		
Deferred tax arising from		
Accelerated depreciation for tax purposes	2,735,725	7,611,189
Right of use Assets	60,094	(13,928,723)
Reversal arising from tax losses	25,815,155	(1,534,381)
Employee benefits liability	(2,119,212)	66,046
	26,491,762	(7,785,870)
Other Comprehensive Income		
Deferred tax arising from		
Employee benefits liability	1,066,879	256,899
Impact on Land Revaluation	104,524,743	1,726,599
	105,591,622	1,983,498
Total Deferred Tax charge/(Reversal)	132,083,384	(5,802,372)

- a) Deferred tax is calculated at the rate of 14%, which is the tax rate effective from 1 April 2018 as per the Inland Revenue Act No 24 of 2017.
- b) The Group recognizes a deferred tax asset on unused tax losses which is expected to reduce the future tax expense based on the Group's forecasted business plans. However, Deferred tax Assets have not been recognised for unused tax losses amounting to LKR 305,229,636/- . These unused tax losses will expire in 2024/25 - LKR 142,358,568/- , 2025/26 - LKR 61,859,674/- & 2027/28 - LKR 101,011,394/- .

19. EARNINGS PER SHARE

19.1 Basic Earnings Per Share is calculated by dividing the net earnings for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year. The weighted average number of ordinary shares outstanding during the year and previous year are adjusted for events that have changed the number of ordinary shares outstanding, without a corresponding change in the resources such as a bonus issue.

19.2 The following reflects the income and share data used in the Basic Earnings Per Share computation.

Year ended 31 March	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Net Profit/(Loss) Attributable to Ordinary Shareholders for	(886,028,541)	(820,623,607)	(2,083,376)	(1,965,992)
Basic Earnings/(Loss) Per Share				
Number of Ordinary Shares Used as Denominator:				
Weighted Average number of Ordinary Shares in issue	502,188,559	502,188,559	502,188,559	502,188,559
Applicable to Basic Earnings/(Loss) per Share	(1.764)	(1.634)	(0.004)	(0.004)

Notes to the Financial Statements Contd.

20. COMMITMENTS AND CONTINGENCIES

20.1 Capital Expenditure Commitments

The Group has commitments on Property, Plant and Equipment incidental to the ordinary course of business as at 31 March, as follows,

	Group	
	2022 LKR	2021 LKR
Authorized by the Board, but not Contracted for	-	-
Contracted, but not provided	-	-
	-	-

20.2 Contingent Liabilities

There are no significant contingent liabilities as at 31 March 2022, other than the following

Local authorities have claimed a fee amounting to 1% of turnover for the issuance of trade license for the year 2017, 2018, 2019, 2020 & 2021 in respect of a subsidiary. The said claim as at 31 March 2022 is LKR 15 million.

21. ASSETS PLEDGED

Nature of Assets	Nature of Liability	Group	
		Carrying Amount of the Assets Pledged	
		2022 LKR	2021 LKR
Land and Buildings	Primary mortgage for Interest Bearing loans and borrowings (Note 11.3 & 16.2)	8,202,903,033	7,666,687,683

22. RELATED PARTY DISCLOSURES

Details of significant related party disclosures are as follows:

22.1 Transactions with Subsidiaries

Year ended 31 March	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Amount Receivable as at 31 March (Note 9.2)	-	-	5,033,880	6,535,276
Nature of Transactions				
Short-term Loans settled	-	-	1,600,000	1,000,000
Interest Received	-	-	433,880	530,771
Reimbursement of expenses	-	-	-	2,911

Notes to the Financial Statements Contd.

22.2 Transactions with Other Related Parties

Some Key Management Personnel of the Group/Company and their close members of the families, collectively have control directly or indirectly in certain entities with which the Group entered into the transactions, summarised as follows:

Year ended 31 March	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Amount receivable as at 31 March (Note 9.1 & 9.2)	11,231,128	4,069,713	-	-
Amount payable as at 31 March (Note 13.1)	23,657,824	4,313,947	-	-
Nature of Transactions				
Transportation Charges	73,520	269,328	-	-
Purchases of Beverage & Others	12,818,927	21,417,553	-	-
Sale of Accommodation	10,914,665	5,408,387	-	-
Gratuity Transfer (Net)	10,398,758	855,424	-	-
Hotel Operation and Marketing Fee	67,263,522	16,416,202	-	-
Advertising Expenses and Other Reimbursements	6,386,824	10,541,369	2,104	4,705
Laundry Charges	8,345,237	3,379,354	-	-
Sale of other items	1,618,475	3,878,796	-	-
Support Services	26,721,964	14,989,040	-	-
Vehicle Hire Income	845,364	1,188,554	-	-
Net Investment/(Redemption) in Units	-	700,000	-	-
Capital Gain from FVTOCI Investment	54,920	40,845	-	-

22.3 Transactions with Related Parties who are Significant Investors

Year ended 31 March	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Amount receivable as at 31 March (Note 9.1 & 9.2)	25,275,385	480,736	-	-
Amount payable as at 31 March (Note 13.1)	264,128	-	-	-
Nature of Transactions				
Sale of Goods	721,250	1,325,330	-	-
Transport Expenses	872,865	159,225	-	-
Purchase of Goods	2,553,580	1,454,749	-	-
Advertising Expenses and Other Reimbursements	228,795	9,304	-	-
Sale of Accommodation	57,497,840	5,690,022	-	-
Vehicle Hire Income	13,771	24,299	-	-

22.4 Terms and Conditions

All related party transactions have been conducted on relevant commercial terms with the respective parties. All related party outstanding balances at the year end are unsecured, interest free other than in the case of funding arrangements disclosed in Note 9.2 where such loans granted at interest rate of AWPLR plus a premium p.a. All dues are to be settled in cash or its equivalents.

Notes to the Financial Statements Contd.

22.5 Transactions with Key Management Personnel of the Company or its parent

The Key Management Personnel of the Company are the members of its Board of Directors.

Year ended 31 March 2022	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Key Management Personnel Compensation				
Executive Directors Fee	-	-	-	-
Non Executive Director's Fee	-	-	-	-

During the twelve months ended 31 March 2022, the Directors were not paid any fee or any other benefits.

23. RISK MANAGEMENT OBJECTIVES AND POLICIES

Financial Risk Management

The Group has exposure to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risk

Group's exposure to each of the above risks, and the Group's policies and procedures for measuring and managing risks are detailed below:

The rates of exchange as at 31st March, that were used in the financial statements are disclosed in Note 2.8.1

23.1 Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's receivables from customers and investments. The maximum exposure will be equal to the carrying amount of these instruments.

Exposure to credit risk is monitored on an ongoing basis, and the Group trades only with recognized, creditworthy third parties. It is the Group's policy that all customers who wish to trade on credit terms are subject to credit verification procedures and approval by credit committee. A credit approved customer list has been prepared by the credit committee and credit is granted only to such customers. Further, credit granted is subject to regular review during monthly meetings of the credit committee, to ensure it remains consistent with the customer's current credit worthiness and appropriate to the extent of the anticipated volume of business. Currently, certain free independent travelers' settlements are received at the time of departure and this is monitored by the General Managers of each hotel.

Due to the continuing impact from the pandemic and current economic condition, the individual receivable balances were re-assessed, specific provisions were made wherever necessary, and the existing practice on the provisioning of trade receivables were re-visited and adjusted.

Short term Investments are made only in liquid short-term instruments in licensed commercial banks which appropriate credit ratings. Long term investments are made with the board approval.

Notes to the Financial Statements Contd.

a. The maximum exposure to credit risk at the reporting date was as follows:

	Group		Company	
	Carrying Value		Carrying Value	
	31.03.2022 LKR	31.03.2021 LKR	31.03.2022 LKR	31.03.2021 LKR
Cash at Bank and in Hand (Note 23.1 (d))	70,735,959	36,924,272	466,961	415,330
Other current Financial Assets (Note 23.1 (b))	134,707,406	60,043,117	-	-
Trade Receivables (Note 23.1 (c))	97,251,101	17,733,622	-	-
Other Receivables	15,496,304	6,024,050	5,404,363	6,535,276

b. Details of deposits with institutions and their credit ratings are as follows.

The Group held current financial assets other than cash, in various financial and related institutions.

Group		Credit Rating	Total	Credit Rating	Total
		for 2022	Investment 2022	for 2021	Investment 2021
Institute	Instrument		LKR		LKR
Hatton National Bank PLC	Fixed Deposit	AA-	14,395,663	AA-	9,362,953
Commercial Bank of Ceylon PLC	Fixed Deposit	AA-	119,515,977	AA-	49,939,319
Capital Alliance Investment Ltd ("CAL")	CAL Investment Grade Fund	(Note 1)	795,766	(Note 1)	740,845
			134,707,406		60,043,117

Note 1: The CAL Investment Grade Fund invest in Banks, Corporate Debt and Government Securities. All Corporate debt invested by the Fund are required to have a Rating of BBB- or higher issued by a rating agency licensed by the SEC of Sri Lanka, as per the terms.

c. The ageing of trade receivable at the end of the reporting period was as follows:

Group	2022		2021	
	Gross Carrying amount LKR	Impairment allowance LKR	Net Carrying amount LKR	Net Carrying amount LKR
As at 31 March				
Neither past due, nor impaired	78,770,876	-	78,770,876	12,088,496
Past due 31-60	8,573,227	-	8,573,227	2,298,450
Past due 61-180	8,461,523	-	8,461,523	2,993,956
Past due more than 180 days	5,898,685	(4,453,210)	1,445,475	352,720
	101,704,311	(4,453,210)	97,251,101	17,733,622

d. Cash at bank of the Group comprises balances in banks amounting to LKR 70,735,959/- (2021 - LKR 36,924,272/-) with banks which have a Fitch Rating higher or equal to A.

Notes to the Financial Statements Contd.

23.2 Liquidity Risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. At the year end, the Group has long term loans in both USD and LKR.

a. Summary of Financial Liabilities

The following are the undiscounted contractual cash flows of financial liabilities as at 31 March.

Group	Group	
	2022 LKR	2021 LKR
Interest Bearing Loans & Borrowings (Note 11.3)	4,826,339,668	4,048,206,665
Bank Overdrafts (Note 16.2)	1,214,580,199	1,223,181,352
Lease Liabilities (Note 11.2)	25,765,335	33,320,641
Trade and Other Payables (Note 13)	198,729,178	139,144,447
	6,265,414,380	5,443,853,105

b. Below table illustrates the maturity periods of financial liabilities .

Group	1 - 6 Months	7 - 12 Months	1 - 5 Years	More than 5 Years	Total
	LKR	LKR	LKR	LKR	LKR
Interest bearing Loans & Borrowings payable in LKR	170,856,999	241,962,719	2,576,144,218	60,882,449	3,049,846,385
Interest bearing Loans & Borrowings payable in USD	146,867,370	144,554,537	1,479,350,782	5,720,591	1,776,493,280
Bank Overdrafts	1,214,580,199	-	-	-	1,214,580,199
Lease Liability	2,065,995	2,108,996	14,311,819	7,278,524	25,765,335
Trade and Other Payables	198,729,178	-	-	-	198,729,178
Total 2022	1,733,099,742	388,626,252	4,069,806,819	73,881,564	6,265,414,378
Total 2021	1,364,624,388	548,460,858	3,392,019,071	138,748,787	5,443,853,105

c. Following are the maturities of financial liabilities and assets denominated in foreign currency

Financial liabilities denominated in foreign currency	1 - 6 Months LKR	7 - 12 Months LKR	1 - 2 Years LKR	3 - 5 Years LKR	More than 5 Years LKR	Total LKR
Interest bearing Loans and Borrowings payable in USD	(491,196)	(483,459)	(2,917,167)	(2,030,494)	(19,132)	(5,941,449)
Financial assets in USD and EUR (in equivalent USD)	476,129	165,445	-	-	-	641,574

Net financial assets/ (financial Liabilities) expressed in USD

Net Total 2022 (Net Asset/ (Net Liability))	(15,067)	(318,014)	(2,917,167)	(2,030,494)	(19,132)	(5,299,875)
Net Total 2021 (Net Asset/ (Net Liability))	275,722	(654,831)	(1,816,275)	(2,613,543)	(941,855)	(5,750,782)

Notes to the Financial Statements Contd.

d. Undrawn borrowing facilities:

The Group has undrawn borrowing facilities amounting to LKR 960,419,801/- as at 31 March 2022. (LKR 976,818,648/- in 2021)

23.3 Market Risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices that will affect the Group's income or the value of its holdings of financial instruments.

a. Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Group has exposure to foreign currency risk as it has foreign currency transactions and balances which are affected by foreign exchange rate movements.

An analysis of the carrying amount of financial instruments based on the currency they are denominated as at 31 March are as follows:

Group	In USD	In EURO
Cash at Bank and in Hand	156,830	33,669
Other Current Financial Assets	445,760	-
Trade Receivables	304	957
Interest bearing Loans & Borrowings payable in USD	(5,941,449)	-
Net Aggregate Carrying Value in respective currencies	(5,338,554)	34,626
Net aggregate carrying value in LKR - 2022	(1,596,227,791)	11,564,948
Net aggregate carrying value in LKR - 2021	(1,181,020,597)	2,470,214

Foreign Currency Sensitivity

The following table demonstrate the sensitivity of Group's profit before tax to a reasonably possible change in USD exchange rates, assuming all other variables being held constant.

Group		Sensitivity related to Interest bearing Loans & Borrowings		Sensitivity related to Deposits and Other Balances	
		Effect on Profit Before Tax	Effect on Profit Before Tax	Effect on Profit Before Tax	Effect on Profit Before Tax
		31.03.2022 LKR	31.03.2021 LKR	31.03.2022 LKR	31.03.2021 LKR
Change in USD Rate	(+10%)	(177,649,328)	(121,983,144)	18,026,549	3,880,663
Change in USD Rate	(-10%)	177,649,328	121,983,144	(18,026,549)	(3,880,663)
Change in USD Rate	(+25%)	(444,123,320)	(304,957,859)	45,066,374	9,701,657
Change in USD Rate	(-25%)	444,123,320	304,957,859	(45,066,374)	(9,701,657)

In managing the foreign currency risk, the Group invoices tour operators and travel agents based on the contracted foreign currency. Tour operators and certain key travel agents make settlements in foreign currency.

Notes to the Financial Statements Contd.

b. Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in market interest rates relates primarily to the Group's long-term debt obligations with floating interest rates.

Interest rate sensitivity

The following table demonstrates the sensitivity of the Group's profit before tax as affected through an impact on floating rate borrowings to a reasonably possible change in interest rates assuming all other variables being held constant.

Group	Assumed impact due to Increase/ (decrease) in basis points	Effect on Profit Before Tax had the assumed impact taken place as at 31.03.2022 LKR	Effect on Profit Before Tax had the assumed impact taken place as at 31.03.2021 LKR
Sensitivity to Interest rates of Interest bearing & Borrowings in LKR	+ 200 basis points	(60,996,928)	(56,567,505)
	- 200 basis points	60,996,928	56,567,505
	+ 500 basis points	(152,492,319)	(141,418,761)
	+ 500 basis points	152,492,319	141,418,761
	- 1000 basis points	(304,984,639)	(282,837,523)
	- 1000 basis points	304,984,639	282,837,523
Sensitivity to Interest rates of Interest bearing & Borrowings in USD	+ 50 basis points *	(8,882,466)	(6,099,157)
	- 50 basis points *	8,882,466	6,099,157
	+ 100 basis points *	(17,764,933)	(12,198,314)
	- 100 basis points *	17,764,933	12,198,314
	+ 200 basis points *	(35,529,866)	(24,396,629)
	- 200 basis points *	35,529,866	24,396,629

The assumed movement in basis points for interest rate sensitivity analysis is based on the currently observable market environment changes to base rate of LIBOR and AWPLR.

*Excluding exchange rate transaction fluctuations and their effects.

An explanation of significant changes that occurred after the reporting date is given in Note 25.

23.4 Capital Management

The Board's intention is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The Group's objective for managing its capital is to ensure that Group will be able to continue as a going concern while maximizing the return to shareholders, as well as sustaining the future development of its business. In order to maintain or adjust the capital structure, the Group may alter the total amount of dividends paid to shareholders, issue new shares, and draw down additional debt. Further information of capital and reserves and their external borrowings are included in Note 10 and 11.

24. FAIR VALUE

The fair values of the financial assets and liabilities are included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale. The following methods and assumptions were used to estimate the fair values:

- Cash at bank and in hand, trade and other receivables, short term deposits and trade and other payables approximate their carrying amounts largely due to the short-term maturities of these instruments.
- Long-term variable-rate borrowings are evaluated by the Group based on parameters such as interest rates, risk characteristics of the financed project etc. As at the reporting date, the carrying amounts of such borrowings are not materially different from their calculated fair values.

Notes to the Financial Statements Contd.

24.1 Fair Value Hierarchy

As at 31 March 2022, the Group held the following financial instruments carried at fair value on the Statement of Financial Position.

The Group uses the following hierarchy for determining and disclosing the fair value of financial instrument by valuation technique:

	Total LKR	Level 1 LKR	Level 2 LKR	Level 3 LKR
2022				
Quoted Equity Investment (Note 7.1)	1,021,532	1,021,532	-	-
Total	1,021,532	1,021,532	-	-
2021				
Quoted Equity Investment (Note 7.1)	935,826	935,826	-	-
Total	935,826	935,826	-	-

Level 1 : Quoted (unadjusted) market prices in active markets for identical assets or liabilities.

Level 2 : Other valuation techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly.

Level 3 : Techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data.

25. EVENTS OCCURRING AFTER THE REPORTING DATE

There have been no material events occurring after the reporting date that require adjustments to or disclosure in the Financial Statements other than the following.

Interest Rate

The Monetary Board of the Central Bank of Sri Lanka, at its meeting held on 08 April 2022, decided to increase the Standing Deposit Facility Rate (SDFR) and the Standing Lending Facility Rate (SLFR) of the Central Bank by 700 basis points to 13.50 per cent and 14.50 per cent, respectively, effective from the close of business on 08 April 2022. The policy response was made by the Central Bank of Sri Lanka after the reporting period and consequently, no adjustments were necessary to the amounts recognized in the financial statements. Given the continuing volatility of interest rate movement that resulted as a consequence, the Group is not able to make an estimate of its financial effect with acceptable precision.

Foreign Currency Exchange Rates

In March 2022, the Central Bank of Sri Lanka abandoned the temporary peg on US Dollar / LK Rupee (USD / LKR) Exchange Rate. The resulting impact of exchange rate movement during the period have been adjusted to these financial statements. The USD / LKR exchange rate continued to substantively increase subsequent to the period end. However, no adjustments to these financial statements were necessary, as such large increases arose only after the period end. Given the continuing volatility of USD/ LKR movement, the Group is not able to make an estimate of its financial effect with acceptable precision.

Related Companies which had Transactions with the Group/Company

Name of the Company	Nature of Transactions	Transaction with Group Companies		Transaction with the Company	
		2022 LKR	2021 LKR	2022 LKR	2021 LKR
Jetwing Hotels Ltd	Hotel Operation and Marketing Fee	67,263,522	16,416,202	-	-
	Advertising Expenses and Other Reimbursements	10,215,170	7,793,481	2,104	-
	Gratuity Transfer	211,383	186,467	-	-
	Sale of Accommodation	797,723	18,700	-	-
	Vehicle Hire income	200,000	-	-	-
Jetwing Travels (Pvt) Ltd	Transportation Charges	872,865	144,000	-	-
	Sale of Accommodation	57,189,052	5,289,155	-	-
	Purchase of Other Items	28,350	-	-	-
	Other Expenses	10,769	3,000	-	-
	Vehicle Hire Income	7,332	11,327	-	-
	Support Services	11,208,609	-	-	-
	Advertising Expenses and Other Reimbursements	12,655	-	-	-
Capital Alliance Investments Ltd	Capital gain from AFS investment	54,920	40,845	-	-
	Net Investment in Corporate Treasury fund	-	700,000	-	-
Negombo Hotels Ltd	Sale of Accommodation	17,709	154,040	-	-
	Purchase of Beverage & Others	74,000	-	-	-
	Sale of Beverage & Others	7,500	-	-	-
	Vehicle Hire Income	2,961	-	-	-
	Sale of Rice	337,500	-	-	-
Jetwing Hotels Management Services (Pvt) Ltd	Laundry Charges	8,305,512	3,379,354	-	-
	Advertising Expenses and Other Reimbursements	156,342	125,866	-	-
	Vehicle Hire Income	146,288	-	-	-
	Other expenses	-	-	-	-
Seashells Hotel (Pvt) Ltd	Advertising Expenses and Other Reimbursements	175,480	-	-	-
	Sale of Accommodation	-	75,800	-	-
	Gratuity Transfer	-	328,710	-	-
	Purchase of foods & beverage	-	850	-	-
	Sale of goods	-	63,619	-	-
	Vehicle hire income	3,619	6,016	-	-
	Sale of Rice	250,000	256,500	-	-
	Sale of Beverage & other items	412,516	171,670	-	-

Related Companies which had Transactions with the Group/Company Contd.

Name of the Company	Nature of Transactions	Transaction with Group Companies		Transaction with the Company	
		2022 LKR	2021 LKR	2022 LKR	2021 LKR
Blue Oceanic Beach Hotel (Pvt) Ltd	Transport Charges	2,315	15,225	-	-
	Purchases of Beverage & Others	540,382	672,232	-	-
	Sale of Goods	1,388,188	782,517	-	-
	Sale of Accommodation	364,205	400,867	-	-
	Gratuity Transfer	924,688	-	-	-
	Purchase of foods & beverage	-	61,330	-	-
	Other Expenses	-	6,304	-	-
	Vehicle hire income	6,439	12,972	-	-
	Advertising Expenses and Other Reimbursements	216,140	-	-	-
	Sale of Rice	721,250	1,264,000	-	-
	Purchase of Bottled Water Expenses	730,660	-	-	-
Villa Properties (Pvt) Ltd	Support Services	19,896,612	14,989,040	-	-
Jet Enterprises (Pvt) Ltd	Purchases of Beverage & Others	5,371,195	19,950,051	-	-
	Sale of Beverage & Others	455,294	-	-	-
Jetwing Events (Pvt) Ltd				-	-
	Sale of Accommodation	1,025,548	2,404,526	-	-
Go Vacation Lanka Company (Pvt) Ltd	Sale of Accommodation	904,080	-	-	-
The Lighthouse Hotel PLC	Sale of Accommodation	761,191	296,732	-	-
	Gratuity Transfer (Net)	1,230,052	416,708	-	-
	Purchase of food & beverage	77,578	24,725	-	-
	Sale of Beverage & Other Advertising	2,041	-	-	-
	Expenses and Other Reimbursements	25,567	-	-	-
	Other Expenses	286,035	1,698	-	-
	Vehicle hire income	-	44,039	-	-
	Vehicle rent expense	400,000	439,940	-	-
	Sale of Rice	152,500	431,275	-	-
St. Andrews Hotel (Pvt) Ltd	Purchase of Beverage & others	521,228	3,110	-	-
	Sale of Accommodation	145,137	130,029	-	-
	Other Expenses	-	-	-	-
	Transportation Charges	71,205	269,328	-	-
	Vehicle hire expense	600,000	600,000	-	-
	Sale of other items	-	3,825	-	-
	Gratuity Transfer (Net)	224,671	-	-	-
	Sale of Rice	103,125	151,500	-	-

Related Companies which had Transactions with the Group/Company Contd.

Name of the Company	Nature of Transactions	Transaction with Group Companies		Transaction with the Company	
		2022 LKR	2021 LKR	2022 LKR	2021 LKR
Yarl Hotels (Pvt) Ltd	Sale of Accomodation	47,620	22,072	-	-
	Vehicle hire income	36,190	49,256	-	-
	Sale of Rice	13,000	78,500	-	-
	Gratuity Transfer (Net)	21,875	-	-	-
	Other Expenses		113,500	-	-
The Royal Heritage Hotel (Pvt) Ltd	Sale of Accomodation	301,257	696,721	-	-
	Advertising Expenses & Other Reimbursements	12,899	-	-	-
	Gratuity Transfer	67,600	842,564	-	-
	Other Expenses	525,276	-	-	-
	Sale of Rice	455,100	157,400	-	-
	Purchase of Beverage & Other goods	175,930	-	-	-
	Sale of Beverage & Other goods	664,029	475,141	-	-
Negombo Properties (Pvt) Ltd	Reimbursement of other expenses	2,734	-	-	-
Jetwing Eco Holidays (Pvt) Ltd	Sale of Accomodation	4,942,472	-	-	-
Unawatuna Properties (Pvt) Ltd	Sale of Rice	-	15,000	-	-
Thirteen Development Lanka (Pvt) Ltd	Sale of Accommodation	540,759	59,813	-	-
	Advertising Expenses & Other Reimbursements	785,981		-	-
	Laundry Charges	39,725		-	-
	Purchase of food & beverege	2,253,511	1,997,176	-	-
The First Resort (Pvt) Ltd	Sale of Accomodation	628,566	92,184	-	-
	Gratuity Transfer (Net) - Payment	2,700,161	-	-	-
	Other Expenses		306,352	-	-
	Sale of Beverage & Other Goods	144,273	67,541	-	-
	Vehicle hire income	2,068	-	-	-
	Advertising Expenses and Other Reimbursements	175,831	-	-	-
	Sale of Rice	295,000	398,500	-	-
	Purchase of Beverage & others	1,191,368	51,129	-	-

Related Companies which had Transactions with the Group/Company Contd.

Name of the Company	Nature of Transactions	Transaction with Group Companies		Transaction with the Company	
		2022 LKR	2021 LKR	2022 LKR	2021 LKR
Jetwing Ayurveda (Pvt) Ltd	Vehicle hireIncome	7,500	-	-	-
	Sale of Beverage & Other Items	10,000	-	-	-
	Sale of Accomodation	5,500	41,300	-	-
	Sale of Rice	-	22,950	-	-
Lanka Dhiviya (Pvt) Ltd	Sale of Accomodation	40,802	61,337	-	-
CECCATO Colombo (Pvt) Ltd	Purchase of Goods	1,324,648	781,387	-	-
Herbert Cooray Trust	Reimbursement of Other Expenses	1,454,053	2,138,372	-	-
Jetwing Journeys (Pvt) Ltd	Sale of Accommodation	668,100	552,136	-	-
Saman Villas Ltd	Gratuity Transfer (Net) - Payment	4,142,911	-	-	-
Thalahena Villas (Pvt) Ltd	Sale of Accommodation	-	17,000	-	-
Jetwing Academy (Pvt) Ltd	Reimbursement of Expenses	2,861	-	-	-
Hotel J City Beds (Pvt) Ltd	Vehicle Hire Income	6,345	-	-	-
	Purchase of Goods	701,365	-	-	-
D. H. H. Lanka (Pvt) Ltd	Vehicle Hire Income	11,656	-	-	-
Jetwing City (Pvt) Ltd	Reimbursement of Other Expenses	-	-	-	2,911
Cultural Heritage (Pvt) Ltd	Temperory Loan Settlement	-	-	-	1,000,000
	Temporary Loan Interest	-	-	-	530,771
Yala Properties (Pvt) Ltd	Temporary Loan	-	-	1,600,000	-
	Temporary Loan Settlement	-	-	433,880	-

A stunning pool inspired by royalty, overlooking the verdant greenery of Jetwing Kaduruketha's very own organic paddy fields.



Names of the Directors of the Related Companies which had Transactions with the Group

DIRECTORS OF SUBSIDIARIES

Cultural Heritage (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe

Uppuveli Beach (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe

Jetwing Kaduruketha (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe
Mr. L.R.M.G.L. Kadurugamuwa
Mr. U.L. Kadurugamuwa
Mr. C.S.R.S. Anthony

Kaduruketha Farmers (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray,
Mr. R.A.E. Samarasinghe
Mr. L.R.M.G.L. Kadurugamuwa

Yala Properties (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe
Mr. N.H.V. Perera

Uppuveli Villas (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe

Pottuvil Point (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe

Yala Safari Beach Hotel (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe
Mr. N.H.V. Perera

The Riverbank (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe

Jetwing City (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe
Mrs. A.M.J. Cooray

DIRECTORS OF OTHER RELATED COMPANIES

Jetwing Travels (Pvt) Ltd

Directors

Ms. N.T.M.S. Cooray
Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe
Mr. R.J. Arasaratnam
Mr. P.B.M. Withana
Mr. I.D.D. Gunewardene
Mr. P.M.D. Dinesh

Blue Oceanic Beach Hotel (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mrs. A.M.J. Cooray
Mr. R.A.E. Samarasinghe
Mr. N.H.V. Perera
Ms. M.D.H. Gunawardena

Villa Properties (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe

St. Andrew's Hotel (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe

Negombo Hotels Ltd

Directors

Mr. N.J.H.M. Cooray
Ms. N.T.M.S. Cooray
Mrs. A.M.J. Cooray
Mr. R.A.E. Samarasinghe

Yarl Hotels (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe
Ms. N.T.M.S. Cooray
Mr. R.N. Asirwathan
Mr. B.A.B. Goonetilleke
Mr. K. Balasundaram
Mr. H.D.A.D. Perera

Mr. W.L.P. Wijewardena
Mr. T.E.W. Hansen
Mrs. J. Moragoda

Capital Alliance Investment Ltd

Directors

Mr. W.A.T. Fernando
Ms. H.M.S. Perera
Mr. E.R.G.C.G. Hemachandra
Mr. A.D. Pushparajah
Mr. K.D. Bernard
Mr. S.A.N.T.I. Subasinghe

Thalahena Villas (Pvt) Ltd

Directors

Mr. N. J. H. M. Cooray
Mr. R. A. E. Samarasinghe

Names of the Directors of the Related Companies which had Transactions with the Group Contd.

Jetwing Hotels Management Services (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Ms. N.T.M.S. Cooray
Mrs. A.M.J. Cooray

Seashells Hotel (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe
Mr. B.K. Chaudhary
Mr. R.K. Chaudhary

Unawatuna Properties (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe

Thirteen Developments Lanka (Pvt) Ltd

Directors

Mr. L.K. Porter
Ms. V.L. Porter

Jetwing Air (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Ms. N.T.M.S. Cooray
Mr. R.J. Arasaratnam
Mr. Y.S. Peiris

Jet Enterprises (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe
Ms. N.T.M.S. Cooray
Mr. C.S.R.S. Anthony
Mr. J.S.W. Kasturi Arachchi

Jetwing Events (Pvt) Ltd

Directors

Ms. N.J.H.M. Cooray
Mr. R.J. Arasaratnam

Go Vacation Lanka Co (Pvt) Ltd

Directors

Ms. N.T.M.S. Cooray
Mr. R.J. Arasaratnam
Mr. K.U. Sperl
Mr. C.C.E.J. Mueller

Jetwing Hotels Limited

Directors

Mr. N.J.H.M. Cooray
Ms. N.T.M.S. Cooray
Mr. R.A.E. Samarasinghe
Mr. C.S.R.S. Anthony
Mr. J.S.W. Kasturi Arachchi
Mr. D.K.D. Nanayakkara
Ms. M.D.H. Gunawardena
Mr. J. Avuity
Mr. N.J.D.M. Cooray

The Lighthouse Hotel PLC

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe
Ms. N.T.M.S. Cooray
Mr. N. Wadugodapitiya
Mr. C.S.R.S. Anthony
Mr. Ranil de Silva
Mr. E.P.A. Cooray
Ms. A.M. Ondaatjie
Dr. C. Pathiraja
Mr. T. Nadesan
Mr. A.T.P. Edirisinghe

The Royal Heritage Hotel (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe
Mr. B.K. Chaudhary
Mr. R.K. Chaudhary

Negombo Properties (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe

Jetwing Eco Holidays (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe
Mr. R.J. Arasaratnam
Mr. C.S.R.S. Anthony

Jetwing Ayurveda (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe

Jetwing Adventure (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mr. R.J. Arasaratnam

The First Resort (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Mrs. A.M.J. Cooray
Mr. R.A.E. Samarasinghe
Mr. C.S.R.S. Anthony

Lanka Dhiviya (Pvt) Ltd

Directors

Mr. N.J.H.M. Cooray
Ms. D.J. Cooray
Mr. N.J.D.M. Cooray
Mr. N.J.H. Cooray

Ceccato Colombo (Pvt) Ltd

Directors

Mr. G. Rocchi

The Herbert Cooray Trust

Director

Mr. N.J.H.M. Cooray
Ms. N.T.M.S. Cooray

Total Holiday Options Lanka (Pvt) Ltd.

Directors

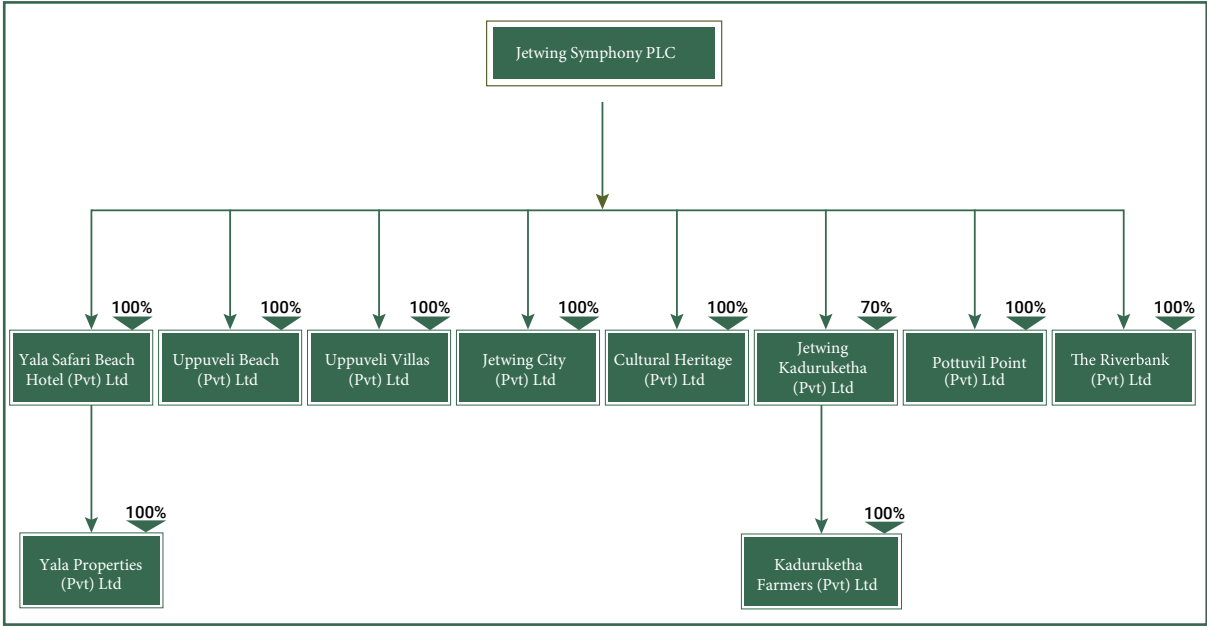
Mr. N.J.H.M. Cooray
Mr. R.J. Arasaratnam
Mr. F.A. Khan
Ms. A. Thomas

Jetwing Journeys (Pvt) Ltd.

Directors

Mr. N.J.H.M. Cooray
Mr. R.A.E. Samarasinghe
Mr. R.J. Arasaratnam

Group Structure



Information to Shareholders and Investors

We realize that we are accountable to our dear investors. At Jetwing Symphony we strive to keep our investors well-informed. To strengthen investor confidence we have ensured transparency and openness in all our business operations. Our valued institutional and individual investors who provide financial capital expect satisfactory returns.

The Number of Shareholders as at 31st March 2022

Number of Shares held	Residents			Non-Residents			Total		
	No of Share holders	No. of Shares	%	No of Share holders	No. of Shares	%	No of Share holders	No. of Shares	%
1-1,000	629	162,609	0.03	3	900	0.00	632	163,509	0.03
1,001-10,000	220	790,831	0.16	3	20,010	0.00	223	810,841	0.16
10,001-100,000	67	2,114,988	0.42	2	89,354	0.02	69	2,204,342	0.44
100,001-1,000,000	20	5,682,411	1.13	6	3,139,286	0.63	26	8,821,697	1.76
1,000,001 & Over	25	385,123,403	76.69	4	105,064,767	20.92	29	490,188,170	97.61
Total	961	393,874,242	78.43	18	108,314,317	21.57	979	502,188,559	100.00

Categories of Shareholders	Total		
	No of Share holders	No. of Shares	%
Individuals	931	120,397,670	23.97
Institutions	48	381,790,889	76.03
Total	979	502,188,559	100.00

There were no non voting shares as at 31st March, 2022

17.99% of the issued capital of the Company was held by the public, comprising of 959 shareholders and a float adjusted market capitalisation of LKR 948,609,079/- as at 31st March, 2022. In terms of Rule 7.14.1(i)(b) of the Listing Rules of the Colombo Stock Exchange, the Company qualifies under option 2 of the minimum public holding requirement.

Information to Shareholders and Investors Contd.

20 Largest Shareholders as at 31st March

Name of Shareholder	No of Share as at 31.03.2022	%	No of Share as at 31.03.2021	%
JETWING TRAVELS (PRIVATE) LIMITED	93,767,471	18.67	93,767,471	18.67
R.O.K. INTERNATIONAL HOLDINGS LIMITED	90,909,091	18.10	90,909,091	18.10
BLUE OCEANIC BEACH HOTEL (PRIVATE) LIMITED	66,214,150	13.19	66,214,150	13.19
EMPLOYEES PROVIDENT FUND	35,454,545	7.06	35,454,545	7.06
MR. N.J.H.M.COORAY	34,747,339	6.92	34,747,339	6.92
MISS N.T.M.S.COORAY	32,866,324	6.54	32,866,324	6.54
N J COORAY (BUILDERS) (PRIVATE) LIMITED	29,088,096	5.79	29,088,096	5.79
AMALIYA PRIVATE LIMITED	25,109,400	5.00	25,109,400	5.00
MR. L.WEINMAN	22,701,028	4.52	22,727,273	4.53
RMP PARTNERS LIMITED	11,505,676	2.29	11,505,676	2.29
JETWING HOTELS MANAGEMENT SERVICES (PRIVATE) LIMITED	5,562,059	1.11	5,562,059	1.11
ST. ANDREWS HOTEL LIMITED	5,100,000	1.02	5,100,000	1.02
SEYLAN BANK PLC. - A/C NO. 3	3,328,749	0.66	3,328,749	0.66
MR. N.J.D.M.COORAY	3,286,997	0.65	3,286,997	0.65
MR. N.H.V.PERERA	3,186,609	0.63	3,186,609	0.63
NILAVELI BEACH HOTELS (PRIVATE) LIMITED	3,102,755	0.62	3,102,755	0.62
MR. N.A.H.COORAY	2,861,439	0.57	2,861,439	0.57
MR. N.J.H.COORAY	2,861,439	0.57	2,861,439	0.57
MR. G.R.COORAY ARASARATNAM	2,861,439	0.57	2,861,439	0.57
ASSOCIATED ELECTRICAL CORPORATION LIMITED	2,321,414	0.46	2,000,000	0.40
TOTAL	476,836,020	94.95	476,540,851	94.89

Market Value and Trading of Shares	31.03.2022	31.03.2021
Last traded price per share as at (LKR)	10.50	9.00
Highest Market Value per share - During the period (LKR)	15.80	11.00
Lowest Market Value per share - During the period (LKR)	8.70	7.50

Share Trading during the period	31.03.2022	31.03.2021
Number of transactions	3,129	4,033
Number of Shares Traded	4,282,269	6,006,339
Value of Shares Traded (LKR)	50,568,822	54,919,253

Real Estate Holdings of the Group

Description of the Property	Location	Buildings in Sq.Ft.	No. of Buildings	Land Extent Area (in Acres)		Net Book Value as at 31st March, 2022 LKR '000
				Freehold Property	Leasehold Property	
Yala Properties (Pvt) Ltd Jetwing Yala	Yala	243,657	21	-	54.00	890,136
Jetwing Kaduruketha (Pvt) Ltd Jetwing Kaduruketha	Wellawaya	30,513	24	-	63.00	286,753
Culturala Heritage (Pvt) Ltd Jetwing Lake	Dambulla	153,768	8	17.18	-	2,044,251
Jetwing City (Pvt) Ltd Jetwing Colombo Seven	Colombo	155,844	3	0.44	-	3,697,924
Uppuveli Beach (Pvt) Ltd	Uppuveli	-		14.01	-	337,997
The Riverbank (Pvt) Ltd Jetwing Kandy Gallery	Kandy	47,306	1	3.41	-	583,046
Uppuveli Villas (Pvt) Ltd	Uppuveli	-		6.00	-	168,000
Pottuvil Point (Pvt) Ltd Jetwing Surf	Pottuvil	41,996	25	7.29	-	559,788

Five Year Summary

GROUP Year ended 31st March,	2022 LKR '000	2021 LKR '000	2020 LKR '000	2019 LKR '000	2018 LKR '000
OPERATING RESULTS					
Revenue	1,288,040	556,856	1,525,016	1,911,321	1,515,032
Profit/ (Loss) Before Taxation	(912,419)	(828,504)	(463,929)	(271,250)	(347,000)
Taxation (Expense)/ Reversal	16,387	(1,586)	4,138	(9,337)	(1,618)
Profit/ (Loss) After Taxation	(896,032)	(830,090)	(459,791)	(280,587)	(348,618)
SHAREHOLDERS' FUNDS					
Stated Capital	5,509,276	5,509,276	5,509,276	5,509,276	5,509,276
Reserves	1,646,345	1,004,852	994,246	934,175	709,327
Retained Earnings / (Losses)	(3,274,441)	(2,394,833)	(1,575,798)	(1,124,389)	(845,144)
	3,881,180	4,119,295	4,927,724	5,319,062	5,373,460
Non Controlling Interest	(5,039)	4,832	14,309	21,434	22,543
Shareholders' Funds	3,876,141	4,124,127	4,942,033	5,340,496	5,396,003
LIABILITIES					
Interest Bearing Loans & Borrowings	6,066,685	5,304,709	4,811,633	4,277,341	4,260,981
Current Liabilities	287,810	201,022	319,639	271,817	276,776
Other Liabilities	36,018	51,050	41,925	30,516	23,880
Deferred Tax liabilities	370,287	251,637	249,322	247,390	210,867
TOTAL EQUITY AND LIABILITIES	10,636,941	9,932,545	10,364,552	10,167,560	10,168,506
ASSETS					
Property, Plant & Equipment	9,488,290	9,040,569	9,340,934	8,987,612	8,846,778
Leasehold Property/Prepaid Lease Rent	-	-	-	47,049	49,010
Right of Use Assets	58,407	72,344	88,297	-	-
Deferred Tax Assets	49,870	15,806	7,689	-	-
Intangible Assets	578,207	581,436	582,529	582,926	583,576
Investments/Other Non-Current Financial Assets	135,729	60,979	813	885	3,065
Current Assets	326,438	161,412	344,289	549,088	686,076
TOTAL ASSETS	10,636,941	9,932,545	10,364,552	10,167,560	10,168,506
CASH FLOW					
From Operating Activities	192,304	(195,737)	304,955	112,585	(354,629)
From Investing Activities	(63,982)	(85,455)	(432,709)	6,731	(647,394)
From Financing Activities	(85,908)	145,151	284,260	(603,208)	853,740
Net Cash Inflow/(Outflow)	42,413	(136,041)	156,507	(483,891)	(148,282)
Cash & Cash Equivalents as at 31 March - Favourable / (Unfavourable)	(1,143,844)	(1,186,257)	(1,050,217)	(1,206,723)	(722,832)
KEY INDICATORS					
Earnings/(Loss) per Ordinary Share (LKR)	(1.76)	(1.63)	(0.90)	(0.56)	(0.74)
Net Assets per Ordinary Share (LKR)	7.72	8.20	9.81	10.59	10.70
Market Value per Share (LKR)	10.50	9.00	8.50	9.70	13.50
No. of Operating Hotels					
	06	06	06	05	05

Corporate Information

NAME OF COMPANY

Jetwing Symphony PLC
Company Number PV/PB 13254 PQ

LEGAL FORM

Public Quoted Company

BOARD OF DIRECTORS

N.J.H.M.Cooray - Chairman
N.T.M.S.Cooray (Ms)
N.Wadugodapitiya
K.K.Reddy (Ms)
V.J.Kannangara (Dr)
L.K.Porter
G. Rocchi
S.D. Amalean

AUDIT COMMITTEE

N. Wadugodapitiya - Chairman
K.K. Reddy (Ms)

REMUNERATION COMMITTEE

V.J. Kannangara (Dr) - Chairman
L.K. Porter
K.K. Reddy (Ms)

RELATED PARTY TRANSACTIONS

REVIEW COMMITTEE

N. Wadugodapitiya - Chairman
V.J. Kannangara (Dr)

SECRETARIES

Corporate Services (Pvt) Ltd.
216, De Saram Place
Colombo 10.
Phone : 4718200

AUDITORS

Messrs Ernst & Young
Chartered Accountants
201, De Saram Place
Colombo 10.

HOTEL OPERATION & MARKETING

Jetwing Hotels Ltd.
“Jetwing House”
46/26, Nawam Mawatha
Colombo 2.
Phone : 2345700

REGISTERED OFFICE

“Jetwing House”
46/26, Nawam Mawatha
Colombo 2.

BANKERS

Commercial Bank of Ceylon PLC
Hatton National Bank PLC

Notice of Meeting

Notice is hereby given that the eleventh (11th) annual general meeting (“AGM”) of Jetwing Symphony PLC (the “Company”) will be held on Thursday, 14th July 2022 at 11.00 a.m. at “Jetwing House II” 7th Floor, 46/26, Navam Mawatha, Colombo 02 and via virtual platform for the purpose of considering and if thought fit passing the following resolutions.

1. To receive and consider the annual report of the board of directors along with the financial statements of the Company for the year ended 31st March 2022 and the report of the auditors thereon.
2. To propose the following resolution for the re-appointment of Mr. N. Wadugodapitiya, who has reached the age of seventy (70) years. IT IS HEREBY RESOLVED THAT the age limit referred to in section 210 of the Companies Act No. 07 of 2007 shall not apply to Mr. N. Wadugodapitiya who has reached the age of seventy (70) years and that he be re-appointed as a director of the Company.
3. To propose the following resolution for the re-appointment of Mr. L.K. Porter, who has reached the age of seventy (70) years. IT IS HEREBY RESOLVED THAT the age limit referred to in section 210 of the Companies Act No. 07 of 2007 shall not apply to Mr. L.K. Porter who has reached the age of seventy (70) years and that he be re-appointed as a director of the Company.
4. To re-appoint M/s Ernst & Young, Chartered Accountants, who are deemed to be re-appointed as auditors until the conclusion of the next AGM of the Company in terms of section 158 (1) of the Companies Act No. 07 of 2007, to audit the financial statements of the Company for the financial year ending 31st March 2023 and to authorise the directors to determine their remuneration therefor.
5. To authorize the directors to determine the contributions to charities for the ensuing year.

By order of the Board,

Corporate Services (Private) Limited

Secretaries

Jetwing Symphony PLC

On this 22nd day of June 2022

Note:

Any shareholder entitled to attend and vote at this meeting is entitled to appoint a proxy to attend and vote/speak in his/her stead and a form of proxy is sent herewith for this purpose. A proxy need not be a shareholder of the Company.

A completed form of proxy must be deposited with the secretaries of the Company at 216, de Saram Place, Colombo 10 or via corporateservices@corporateservices.lk not less than 48 hours before the time appointed for the holding of the meeting.

Form of Proxy

*I/We.....

of.....being *a shareholder/shareholders of JETI WNG SYMPHONY PLC do hereby appoint

- | | |
|---|-----------------|
| 1. Mr. Nawalage Joseph Hiran Mahinda Cooray | or failing him, |
| 2. Ms. Nawalage Therese Manouri Shiromal Cooray | or failing her, |
| 3. Mr. N. Wadugodapitiya | or failing him, |
| 4. Ms. Kamini Kirithi Reddy | or failing her, |
| 5. Dr. Vijith Julian Kannangara | or failing him, |
| 6. Mr. Leonard Keith Porter | or failing him, |
| 7. Mr. Giuseppe Rocchi | or failing him, |
| 8. Mr. Sharad Dayalal Amalean | or failing him, |

.....of

..... as my/our proxy to attend and vote at the annual general meeting of the Company to be held on the 14th day of July 2022 and at any adjournment thereof.

	For	Against
1. To receive and consider the annual report of the board of directors along with the financial statements of the Company for the year ended 31st March 2022 and the report of the auditors thereon.		
2. IT IS HEREBY RESOLVED THAT the age limit referred to in section 210 of the Companies Act No. 07 of 2007 shall not apply to Mr. N. Wadugodapitiya who has reached the age of seventy (70) years and that he be re-appointed as a director of the Company.		
3. IT IS HEREBY RESOLVED THAT the age limit referred to in section 210 of the Companies Act No. 07 of 2007 shall not apply to Mr. L.K. Porter who has reached the age of seventy (70) years and that he be re-appointed as a director of the Company.		
4. To re-appoint M/s Ernst & Young, who are deemed to be re-appointed as Auditors until the conclusion of the next AGM of the Company in terms of section 158 (1) of the Companies Act No. 07 of 2007, to audit the financial statements of the Company for the financial year ending 31st March 2023 and to authorise the directors to determine their remuneration therefor.		
5. To authorise the directors to determine the contributions to charities for the ensuing year.		

Signed this.....day of.....Two Thousand and Twenty Two

.....
*Signature/s of the Shareholder(s)

Note:
Please delete the inappropriate words.

INSTRUCTIONS AS TO COMPLETION

1. Kindly complete the Form of Proxy by filling in legibly your full name and address and sign in the space provided. Please fill in the date of signature.
2. A shareholder entitled to attend and vote at the meeting is entitled to appoint a proxy who need not be a shareholder, to attend and vote instead of him.
3. In the case of a corporation, the Form of Proxy must be completed under its Common Seal, which should be affixed and attested in the manner prescribed by the articles of association.
4. If the Form of Proxy is signed by an Attorney, the relevant Power of Attorney should also accompany the completed Form of Proxy in the manner prescribed in the articles of association.
5. The completed Form of Proxy should be deposited at Corporate Services (Private) Limited, 216 de Saram Place, Colombo 10 or forwarded via e-mail to corporateservices@corporateservices.lk not less than 48 hours before the appointed time for the meeting.



Jetwing

SYMPHONY

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